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OECD ECONOMIC SURVEYS

HUNGARY

1997

SPECIAL FEATURES

- PRIVATISATION, BANKING
TRADE POLICY
AND LABOUR MARKET

OECD ECONOMIC SURVEYS

1996-1997

HUNGARY

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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BASIC STATISTICS OF THE REPUBLIC OF HUNGARY

1995

THE LAND

Area (sq. km)	93 036
Arable land (sq. km)	47 159

THE PEOPLE

Population (thousands, end-year)	10 230	Population of major cities, (thousands):	
Urban population (percentage of total)	63	Budapest	1 907
Rural population (percentage of total)	37	Debrecen	210
Projected population in 2000 (1990 = 100)	98	Miskolc	180
Employment (thousands)	3 622.9	Employment by sector (percentage of total):	
Unemployment rate (per cent, national definition)	9.5	Agriculture, forestry and fishing	8.1
Participation rate of population aged 15-74 (per cent)	58.3	Industry (mining, manufacturing, electricity, water and gas)	27.1
Private farms (thousands)	1 201	Construction	6.0
		Services	58.8

THE PARLIAMENT

Parliament	386 seats
Number of political parties (elections of May 1994)	35 (7 in the Parliament)
Share of seats held by governing coalition (per cent)	72
Next election	1998

PRODUCTION

GDP (billion forints, current prices)	5 493.8
GDP per capita (US$, official exchange rate)	4 286.8
Consumption (private, percentage of GDP)	68.0
Gross fixed capital formation (percentage of GDP)	19.3

PUBLIC FINANCE

State budget deficit (percentage of GDP)	–1.5
General government revenues (percentage of GDP)	63.7
Total consolidated public deficit (percentage of GDP)	–6.8

FOREIGN TRADE

Exports of goods and services (percentage of GDP)	34.9
Imports of goods and services (percentage of GDP)	37.1
International reserves (months of imports)	9.4
Total gross external debt (billion US$)	31.7
Total gross external debt (percentage of GDP)	72.3

THE CURRENCY

Monetary unit: Forint	Currency units per US$:	
	Year average, 1996	152.64
	April 1997	169.70

This Survey is based on the Secretariat's study prepared for the annual review of Hungary by the Economic and Development Review Committee on 13th May 1997.

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After revisions in the light of discussions during the review, final approval of the Survey for publication was given by the Committee on 30th May 1997.

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The previous Survey of Hungary was issued in the context of the Partners in Transition programme in September 1995.

Assessment and recommendations

Overview of current policy issues

This review is the first of Hungary as a member country. The previous review of the Hungarian economy was carried out in the context of the Partners in Transition programme in June 1995, just after the introduction of a major stabilisation package. The programme, which consisted of a devaluation, an import surcharge, the introduction of a pre-announced crawling-peg exchange rate and drastic wage restraint, was designed to restore macroeconomic balance to an economy characterised by mounting imbalance in the external and government-sector accounts. The 1995 stabilisation package also included a wide variety of structural measures aimed at raising the momentum of ongoing reform in areas such as banking and privatisation. Against this background, the focus of the present *Survey* is on the progress made towards establishing a macroeconomic environment conducive to sustainable, non-inflationary growth and the creation of a market-oriented institutional framework which maximises the country's longer-run growth potential. A sustained strategy for promoting employment growth forms part of this strategy and has to comprise a broad range of measures aimed at ensuring both short- and long-term labour market flexibility. In this context, Chapter IV follows up the general structural policy recommendations of the OECD Jobs Study with specific recommendations for Hungary.

The conditions for sustainable growth have been re-established...

The fall in real disposable income due to the wage restraint imposed by the stabilisation programme dominated domestic macroeconomic developments in 1995 and 1996. Personal consumption fell by more than 10 per cent and the weakness of domestic markets led to a sharp decline in investment. The fall in domestic demand led to a marked slowing in GDP growth, but not an actual decline because of very strong net export performance. The fall in real wages produced a major transfer in the distribution of income from labour to capital. Profitability increased and exporters took advantage of increased competitiveness to expand foreign sales by more than 20 per cent over the two years. Meanwhile the combination of weak domestic demand and the import surcharge kept import growth very moderate in 1995 and the first half of 1996. The trade and current account balances improved dramatically as the government deficit shrank and domestic absorption fell. Inflation fell back to around 20 per cent, December on December. While employment continued to decline in 1995 and 1996, this was less rapid than in previous years despite the slowdown in output growth. Reduced rates of labour shedding were also reflected in a substantial rise in unfilled vacancies, while an offsetting decrease in participation rates meant that the unemployment rate actually fell somewhat to 10 per cent.

... and there are indications of a return to growth, although little progress will be made in reducing inflation and unemployment

During the past two years significant progress has been made in improving the external and internal balances, thus laying the ground for renewed economic growth, signs of which were increasing towards the end of 1996. Recent data indicate an acceleration of private-sector manufacturing investment and export sales and a strengthening business confidence. Despite these encouraging signs, domestic sales remain weak and the pick up in growth in 1997 is likely to be slow. While real disposable income should

begin to expand again in 1997, translating into improved consumer confidence, private consumption is unlikely to grow by more than 1.5 per cent a year over the next two years unless there is an unexpectedly large – and unwelcome – fall in the saving ratio. Government consumption is projected to continue to decline although at a decelerating rate. Overall GDP growth could be around 2½ per cent this year, rising to 3½ per cent in 1998. Unemployment may continue to fall to around 9 per cent. At the same time, progress in reducing inflation will be limited this year. The crawling peg has been reduced to an adjustment rate of 1.1 per cent a month as of April 1997, but the implicit inflation target of 17-18 per cent for 1997 represents only moderate disinflation.

Monetary policy has played a vital role in creating a stable environment...

The fact that Hungary has emerged successfully from a period of destabilising exchange-rate uncertainty is due in large part to a more credible stance of monetary policy. The previous exchange rate regime of discretionary devaluations (and eroding policy credibility) was replaced in March 1995 by a pre-announced crawling peg, which, in conjunction with a better-balanced macroeconomic policy mix, has acted as an effective anchor for inflation expectations, albeit at a high level. The fact that the forint has become increasingly attractive to financial investors points to the increasing credibility of this approach. The risk premium attaching to forint instruments has declined substantially since 1995. With fiscal policy better balanced and central bargaining mechanisms producing a deceleration in wages, the dilemma previously faced by monetary policy in meeting the multiple tasks of external stabilisation, financing the public sector deficit and containing inflation has been reduced. The banking sector appears to be much healthier than at the time of the previous *Survey* (see below); the interbank market appears to be working

smoothly; and the full independence of the central bank was established by the amendment to the Central Bank Law that came into force on 1 January 1997. Persistent money-financing of the government deficit is now forbidden and the National Bank of Hungary is no longer required to hold the foreign debt of the government.

... but the high costs of inflation call for a faster rate of disinflation

There is, however, a persisting contradiction between the central bank's aim of price stability and an exchange rate/ interest rate stance which is effectively assigned to preserving external competitiveness and hence cushioning output and employment. Monetary policy has intentionally not attempted to engineer a faster pace of disinflation, because external equilibrium improvements and real GDP growth were considered vulnerable. In this situation it was considered advisable not to put the results of the 1995 stabilisation measures at risk for a larger reduction in the inflation rate. Though a lower inflation rate could have been targeted and even reached by a sharper reduction of the rate of the crawl – taking the fiscal policy and nominal wage increases as given – this option was ruled out by the authorities because of fears that it would lead to a real appreciation of the domestic currency (as observed in 1992-93) and hence to a worsening in the external balances due to a deterioration in competitiveness and a consumption-driven increase in domestic demand fuelled by higher real wages. In this case, disinflation gains could have proved temporary. The current high rate of inflation has substantial costs in terms of distorting savings and investment decisions in Hungary, implying substantial long-term gains to a strategy based on more rapid disinflation if, as recent experience suggests is possible, the negative short-term effects on employment and output can be contained. Such a strategy would require a re-definition of the exchange rate target as part of a package, including appropriate fiscal action, which

exploited the capacity of Hungary's centralised wage-bargaining system (discussed further below) to lower nominal wage growth in combination with a substantially slower rate of crawl. Experience elsewhere in the OECD shows that forward-looking commitments of this kind can substantially reduce the adverse short-term employment consequences of reducing inflation.

Far-reaching changes in the banking sector have yielded a more competitive, but cautious banking sector.

Convergence to a low and stable inflation regime is a prerequisite for permitting the full exploitation of the financial market reforms which have transformed the Hungarian banking system into perhaps the healthiest and most completely privatised banking sectors in the region. Bank balance sheets have dramatically improved, loans are fully provisioned, banks are profitable and problem-free loans now represent almost 90 per cent of all loans. With the balance sheets of the banks cleaned up, the government proceeded in 1995 with a wholesale programme of privatisation. Enhanced competition is evident in the fact that interest rate spreads are declining, especially for loans to ''blue chip'' firms, and the average lending rates charged by large banks and by other banks are converging. On the other hand, the lending rates charged to ''marginal'' customers suggest continued market segmentation and, in important sectors, banks remain relatively cautious. Evidence suggests that banks are requiring as much as three times the value of a loan in collateral, and this is an important reason for enterprises' failure to take out loans. High collateral requirements appear to be related to the difficulty banks have in enforcing collateral provisions. High inflation is a problem here. In addition, the property registry is often out of date, with the result that it is impossible to be sure of title, and a wide range of legal and administrative obstacles make repossession difficult. Recent legislation to establish a mortgage lending sector may help to resolve the

situation, but some urgency is required to overcome the fundamental problem.

While fiscal policy is restrictive, controlling medium-term spending pressures requires further consolidation, including pension reform.

Fiscal consolidation continues to be an essential part of the stabilisation programme. The general government deficit, which had grown significantly after the introduction of a number of social policy reforms in 1992, has been more than halved, from 8.4 per cent of GDP in 1994 to 3.1 per cent in 1996. Due largely to privatisation revenues, the gross domestic debt of the central budget, which had remained at 86 per cent of GDP for 1994-95, fell to 75 per cent in 1996 and is expected to decrease to 70 per cent in 1997. Non-interest government expenditures have declined from 47 per cent of GDP in 1994 to an estimated 40 per cent, the consolidation effort relying to an important extent on measures which address the structural nature of the deficit. Government expenditure is expected to continue to decline in real terms, and on an accrual basis the budget deficit is scheduled to decrease by a further 0.5 per cent of GDP in 1997. A significant part of the combined budget savings has, nevertheless, been due to transitory measures, including revenues from the import surcharge and delayed investment expenditures. The 1997 budget anticipates a relaxation of restraint in these areas, but this should not be allowed to result in a worsening of the consolidated government's budgetary position over the medium term. Indeed, this is all the more necessary given the above-mentioned need for fiscal policy to support the disinflationary process, while in the longer run, Hungary, like most OECD economies, faces demographic pressures on the health and pension systems which require pre-emptive action. The pension reform plan currently before the parliament will go a long way towards assuring the long-term viability of the government balance and these proposed reforms should be implemented without delay.

More effective tax enforcement is needed, including further measures to bring social security spending and its finance under control

More effective revenue collection is critical to achieving a sustainable medium-term balance in the public accounts, while permitting cuts in Hungary's extremely high tax rates. Tax revenues as a share of recorded income are well below the levels that should be generated by official tax rates and the tax and contribution base is, in general, severely eroded. Solving the problem of non-compliance is of central importance if a settled tax regime is to be created. Indeed, no lasting tax reform can be achieved without a solution to the tax evasion problem, which is both the cause and the effect of very high marginal tax rates in Hungary. The government is addressing these problems and has actively pursued measures aimed at improving tax compliance, which also depends on correcting failures of institutional control endemic in the local and social-security sectors. The social security funds have experienced difficulty controlling their expenses and collecting the fees due to them. The payroll taxes levied to fund social security are high (they raise labour costs by some 50 per cent) and act as an important incentive to both firms and individuals to under-report or not report labour income. If payroll taxes were lowered by transferring some programme funding to non-payroll taxes, firms would have less incentive to under-report workers' wages which, in turn, would reduce the opportunity of workers to avoid income and social security taxes. Efforts to further integrate the collection of social security contributions and the general tax-collection regime would generate efficiency savings by eliminating unnecessary duplication (on the part of both firms and public servants) and should improve the capacity of the authorities to detect tax evasion.

The process of privatisation is drawing to a close, but a number of cleaning-up issues remain to be dealt with

The privatisation programme has substantially reduced the intrusiveness of the public sector in the economy. Prior to the passage of a new law in May 1995, the credibility of the privatisation programme was threatened by a lack of transparency in implementation. The Hungarian Privatisation and State Holding Company (ÁPV Rt.), was charged with overseeing both privatisation and the process of liquidating unprofitable state-owned firms. Although not without controversy, the ÁPV Rt. has gone ahead with its mission rapidly and has been relatively free from charges of arbitrariness. Residual concerns about the use of non-pecuniary conditions to award contracts, and the existence of secret clauses should be met by the recent amendments to the privatisation law which prohibit change in the conditions of a sale once the tender process has started. By the end of 1996, between 60 and 70 per cent of the economy was in private hands, including a number of so-called natural monopolies, such as telecommunications, gas and electricity distribution. Although the ÁPV Rt. portfolio contains almost five hundred companies, only a small number of problem enterprises remain in state hands. As the privatisation process enters the final stages, the management and disposal of the remaining state assets need to be defined more clearly. The ÁPV Rt. is committed to selling off its minority stake holdings and liquidating uneconomic firms, but current law requires the government to maintain an ownership share in some 89 companies and golden shares in several others. Whichever model is chosen for the ÁPV Rt. in respect of overseeing these, it will be important to avoid using its resources to bail out or subsidise uneconomic enterprises. Although the government has demonstrated a laudable willingness to allow uneconomic enterprises to disappear, in the case of large employers it has sometimes intervened to prevent liquidation. There is also a need for a re-examination of the overall rationale behind the golden shares and minimum government holdings. The

''strategic nature'' of a number of the firms covered by the Hungarian legislation is not always obvious.

Enhanced product-market competition and international openness are changing the structure and composition of trade, but import quotas are counter-productive

Privatisation and market opening have been fundamental to establishing a competitive enterprise economy by increasingly exposing it to international competition and production techniques and the Office of Economic Competition has played an important supporting role in ensuring successful product-market competition. The economy has responded well to the challenge of market opening, the volume of trade has increased by 40 per cent since 1990 and trade with western countries doubled to account for over 70 per cent of trade. Foreign direct investment, in the form both of privatisation and of green-field investments, contributed importantly to this process. Hungary has become an important producer of automobile parts for the European market and manufactures represent a growing share of its exports. It conducts a fairly active general export promotion strategy, including some measures targeting particular agricultural products. Hungary is also going through a process of import liberalisation. Abstracting from the temporary import surcharge, tariff levels have been falling and Hungarian firms are increasingly subject to international competition. However, some non-tariff barriers remain in place, the most restrictive of which are the global quota on consumer goods and regulations governing imports of new and used cars. The selectivity of the products still covered by the global quota suggests that industrial policy considerations play an important role in the process of liberalisation. The government will be obliged to remove the import quotas as part of the European Union accession process, but more rapid action in this regard appears necessary.

High unemployment may be indicative of structural rigidities and requires a wide-ranging policy response

At 10.0 per cent, the unemployment rate in Hungary is high, being approximately the same level as in other European OECD countries. The magnitude of the economic transition undergone by the economy makes it difficult to judge to what extent this unemployment is structural and to what extent it can be expected to decline as growth returns. However, a number of the institutional structures observed in Hungary are disturbingly similar to ones which, in other European countries, have given rise to high levels of structural unemployment. The rise in the incidence of long-term unemployment, even as unemployment is falling, may be an early indicator of the kinds of structural rigidities that currently plague many western European countries. In the face of this uncertainty, structural reform would seem to be called for in a number of areas, besides those of non-wage labour costs noted above, including wage flexibility, job protection, education and technological innovation. These could be expected to improve resource utilisation, and help to reduce the risk of unemployment becoming structural.

Wage formation represents both a short-term asset and a long-term liability

Currently there are no clear signs of wage compression or relative wage rigidity. Indeed, the dispersion of wages is growing and returns to human capital formation are high. However, with the notable exception of the 1995-1996 episode of falling real wages, aggregate wages have tended to be relatively sticky, with wage drift accounting for between 3 and 5 percentage points of additional wage inflation. Over the short term, as noted above, the authorities should consider using their influence in the *Interest Reconciliation Council* to support a faster decline in inflation. Over the longer term, however, especially in a low inflation environment, a central bargain combined with sectoral and regional bargaining tends to be inflationary and to lead to wage compression and the unemployment of low-skill workers. Therefore once low inflation is achieved, the role of the

council in determining wage guidelines should be reduced, so as to avoid this kind of relative inflexibility.

Strict employment protection legislation represents a risk for future flexibility and should be relaxed

The legal rules and regulations concerning hiring, firing, hours worked, overtime pay and fixed versus indefinite contracts are similar to those observed in a number of western European countries. So far, there is no direct evidence that these rules have impinged importantly on firms' productive activities, although the tendency for firms to use contracting out and the high incidence of ''entrepreneurial'' employment suggest that working arrangements are being distorted by their existence. The authorities should be concerned that similar rules in other OECD countries have led to serious rigidities, including low rates of hiring and permanently high rates of long-term unemployment. Efforts to relax these rules now, before they become binding, would bear long-term fruit.

A complex benefit system, and easy access to benefits by older workers generate low employment rates

The limited duration of benefits and strict eligibility criteria make the unemployment insurance system one of the most strict in Europe. Its generosity is reduced even further by the effect of inflation on *ex post* replacement rates. Nevertheless, the treatment of earned income for people on benefits leads to a poverty trap, since beneficiaries may earn as much as half the monthly minimum wage without penalty, but any more than that amount leads to total benefit cut-off. This treatment of earned income continues in the unemployment assistance programme, which until recently was of unlimited duration. The incidences of sick-leave and disability-pension participation are much higher than in some other OECD countries and appear to reflect excess use. Efforts to increase self-policing of the sick-leave programme have had some success in reducing levels of sick-leave but more may need to be done. Recent efforts to tighten access to the disability pension and review the eligi-

bility of individuals already receiving these benefits should be reinforced and extended.

Active labour market policies should focus more on individuals in particular need and on those most likely to be helped

Both unemployment insurance and active labour market policies (ALMP) are the responsibility of the Public Employment Service in Hungary. Total expenditures on ALMP as a percentage of GDP are relatively small although programme participation rates are high and almost half of unemployment spells terminate in an ALMP. Programme evaluations completed to date indicate limited effectiveness in improving work prospects, making it necessary to focus programmes more narrowly on groups in the greatest need and upon those most likely to benefit from intervention. The government's recent introduction of special programmes for the disabled, school-leavers and the long-term unemployed not having had previous contact with ALMPs is a step in the right direction.

Over the longer term, labour market success will depend on a well-educated population and technological diffusion

Over the longer term, efforts to raise the average quality of education need to be pursued further. While the Hungarian education system is of generally high quality it is excessively streamed and fails to deliver a high average level of education to the majority of students. As students enter the secondary level, enrolment rates drop and the majority (although a shrinking majority) follow a vocational stream. In the past, this course of studies was too narrow for the requirements of a market economy and the degree of transferability of credits to the more academically-oriented gymnasium insufficient. Recently efforts have been made to make it more general and to increase the transferability of credits. Similar complaints have been made at the tertiary level, and although significant steps have been taken to increase enrolments and improve the recognition of course work within the same institution, more needs to be done to improve transferability across institutions. At the same

time, technology policy should continue to support the adoption of best practice, while attempting to further integrate the academic and state-financed research community with industry. The process of privatisation and the opening of the Hungarian economy brought a significant diffusion of technology and know-how to Hungary, the benefits of which are already clear in rising income levels and employment in outward-looking sectors of the economy. This knowledge transfer to the domestic economy will continue to need fostering.

Summing up

Overall, the progress made in structural reform over the last two years has placed Hungary in a position where it should be able to exploit the benefits of a competitive, enterprise-based economy. Short-term indicators suggest a pick-up in growth in the next two years, based on better external and budgetary balance. The country is no longer constrained by the burden of foreign debt. However, high inflation and unemployment indicate that the macroeconomic adjustment has further to go before it is completed, while remaining impediments to longer-run growth are apparent in the problems of tax evasion and assessment of collateral. These problems remain to be tackled. Provided they are effectively resolved, and pre-emptive labour-market reforms are undertaken to prevent unemployment becoming structural, the economy can look forward to a process of convergence towards levels of development in Western Europe, which should allow the achievement of the country's longer-run goals.

I. Recent trends and prospects

Overview

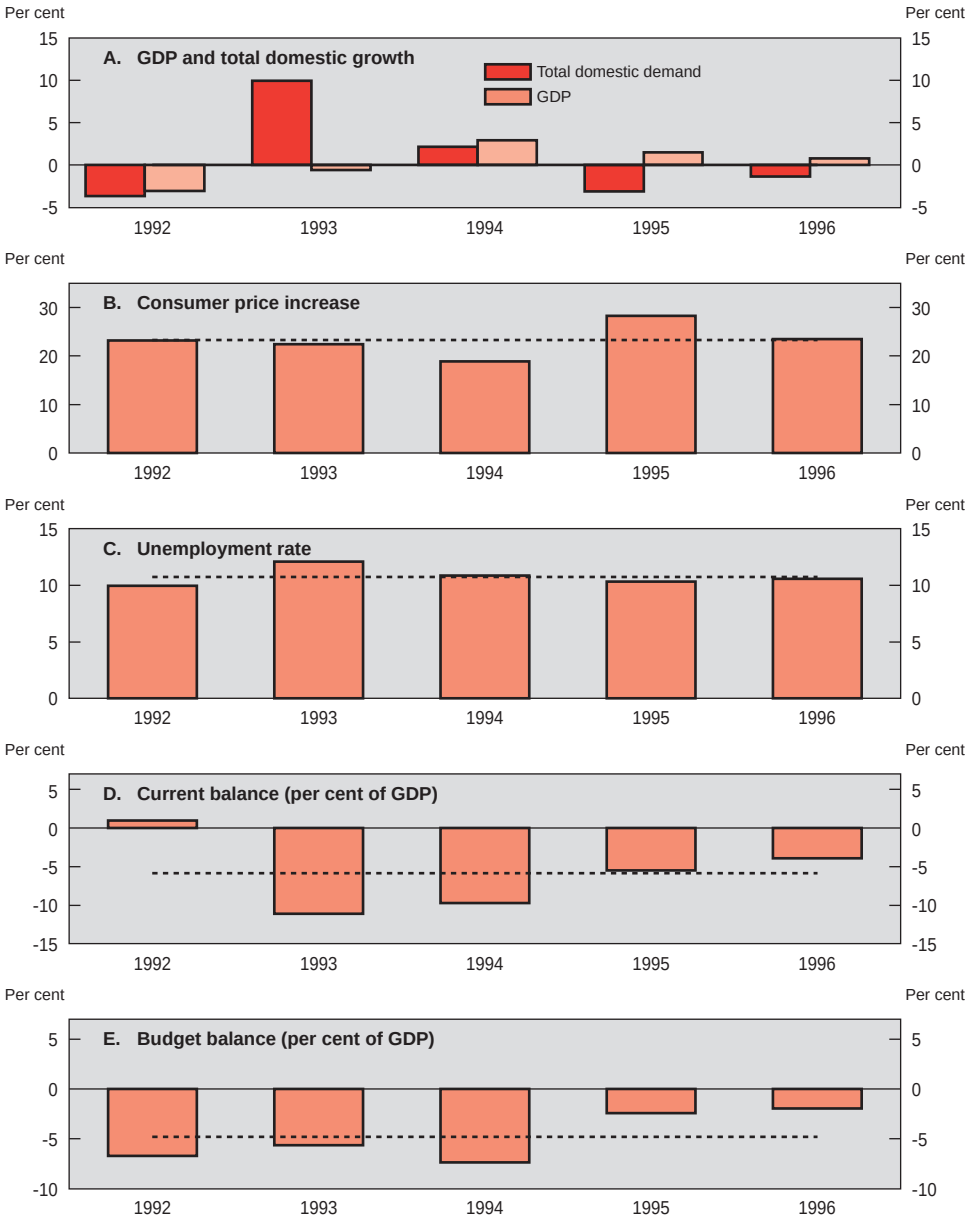
The Hungarian economy has undergone a dramatic adjustment in the past two years, following a period, from mid-1993 to early 1995, when it was characterised by rising demand, high and variable inflation and mounting fiscal and current account imbalances (Figure 1). An extensive stabilisation programme was initiated in March 1995, combining devaluation with a programme of fiscal restraint and reductions in real wages, which brought about a collapse in domestic demand in both 1995 and 1996. GDP growth slowed sharply, but continued to be positive because of a strong contribution to overall growth from net exports. Under the additional influence of a temporary 8 per cent import surcharge, the current account deficit has been reduced by more than half, as has the government deficit. Inflation, having risen initially in response to sharp energy price increases and the depreciation of the forint, has fallen back to previous rates. It remains substantially above the OECD average. There are now increasing signs of a recovery in output and business sector confidence is improving. While growth momentum is still dependent on the export sector, the impulse that this is giving to investment should gradually translate into higher domestic incomes and consumption, which will make for more balanced growth over the next two years.

The transition to sustainable growth

An export-based recovery

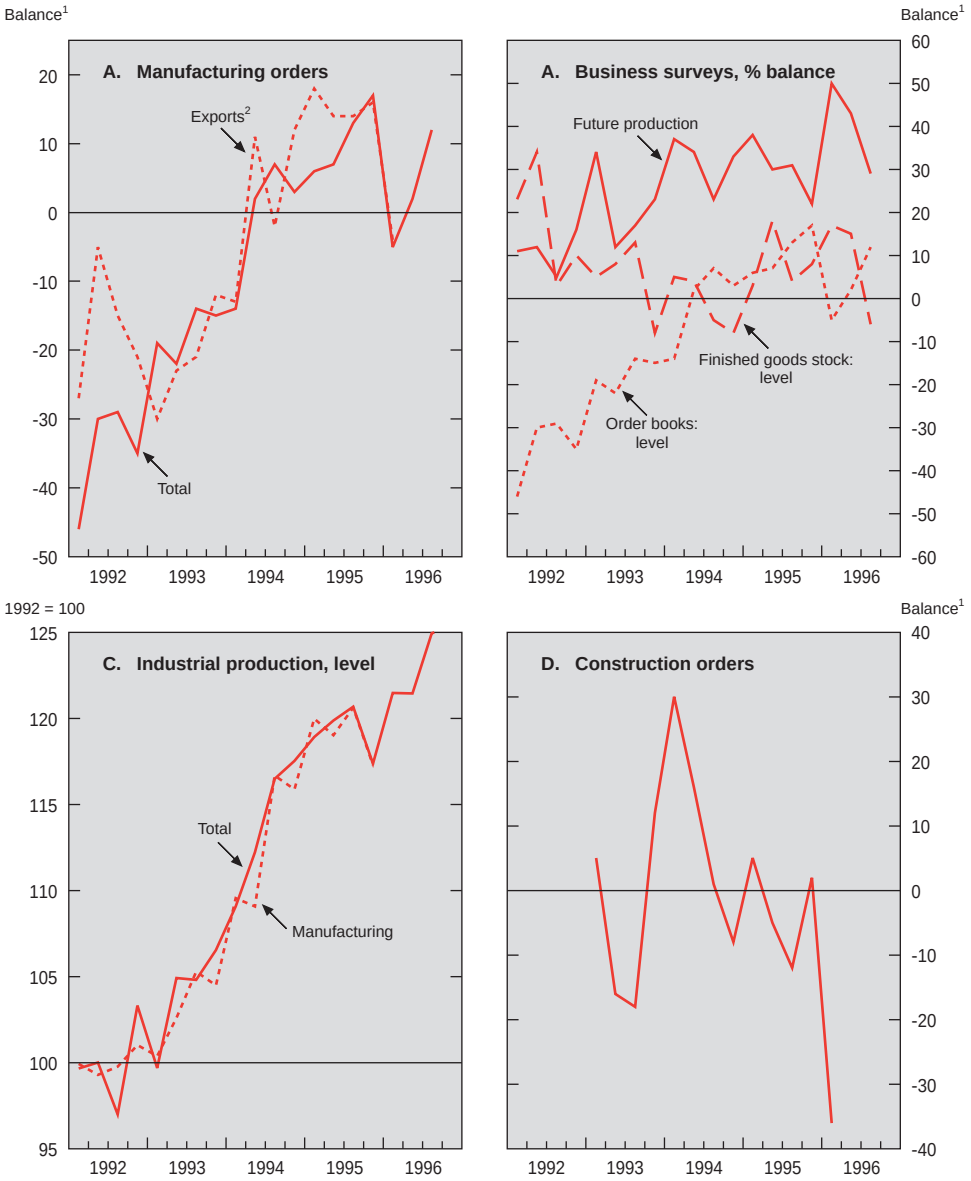
Economic developments in 1995 and 1996 were dominated by the effects of the March 1995 stabilisation package, described in the previous *OECD Economic Survey of Hungary*. Its main features were a one-time 9 per cent depreciation of

Figure 1. **MACROECONOMIC PERFORMANCE**[1]



1. The broken line is the average for 1992-96.
Source: OECD.

Figure 2. **THE CLIMATE IN THE BUSINESS SECTOR**



1. Balance of positive-negative replies.
2. Western exports only.

Source: OECD.

the forint and the institution of a crawling-peg exchange regime (discussed in Chapter II), together with the imposition of an 8 per cent import surcharge. The associated programme of wage restraint, together with severe cuts in government consumption, meant that domestic demand fell by 3.1 per cent in 1995 and 1.5 per cent in 1996. The result was a sharp slowdown in GDP growth, from a rate of 2.9 per cent in 1994 to 1.5 per cent in 1995 and an estimated 0.8 per cent in 1996.

GDP growth remained positive because of a strong rebound in net exports, the increase in which was equal to 4.9 and 2.2 per cent of GDP in 1995 and 1996 respectively. The devaluation of the forint and the operation of the crawling peg mechanism served to boost export growth in 1995, while the fall in domestic demand and the import surcharge were probably the most important determinants of the 9.5 percentage point fall in import growth. Nearly all indicators of business activity are currently rising: the OECD Business Survey Indicator has shown a favourable balance since the second quarter of 1996, while manufacturing firms report rising orders for both the domestic and export markets (Figure 2). By late 1996 a recovery in investment and output could be discerned. Industrial output for 1996 as a whole grew by 3.4 per cent, with the machinery sector registering a 23.5 per cent increase, mainly concentrated in the second half of the year. From August onwards, output growth accelerated on a consistent basis. Export orders in December 1996 were double their value in 1995. The latest data also indicate declining stocks of finished goods. Retail sales data, nevertheless, confirm the weakness of domestic demand. Sales from April to July 1996 were roughly at the same level as in 1995 before declining towards the end of the year. They were 8 per cent below their 1995 level in December 1996.

The process of adjustment

The principal effect of the stabilisation package and, in particular, the fall in real wages, was to increase the share of capital in total income. This shift induced a transfer of resources into the export sector and a marked shift from consumption to investment. Consumer demand fell by around 11 per cent over the two years 1995-96, roughly matching the fall in real disposable income (Table 1). This was accompanied by severe cuts in government expenditure, in terms of both declining real wage rates and employment.

Table 1. **Demand and output**

Percentage change form previous year, constant prices

	1992	1993	1994	1995	1996[1]
Private consumption	0.0	1.9	–0.2	–7.1	–3.0
Government consumption	4.9	27.5	–12.7	–4.1	–3.0
Gross fixed investment	–2.6	2.0	12.5	–4.3	–2.0
Construction	–16.4	–5.6	10.9	2.2	n.a.
Machinery and equipment	–2.0	0.7	13.5	–2.8	n.a.
Change in stocks[2]	–3.6	5.0	1.7	3.2	1.4
Total domestic demand	–3.6	9.9	2.2	–3.1	–1.3
Exports of goods and services	2.1	–10.1	13.7	13.4	13.0
of which: Goods	–4.8	–8.1	15.2	14.6	n.a.
Imports of goods and services	0.2	20.2	8.8	–0.7	6.5
of which: Goods	–6.6	–24.5	9.3	–2.5	n.a.
Foreign balance[2]	0.6	–10.6	0.5	4.9	2.2
Gross domestic product	–3.1	–0.6	2.9	1.5	0.8
GDP price deflator	21.5	21.3	19.5	25.6	20.9
Private consumption deflator	22.6	21.0	19.6	26.8	22.7
Unemployment rate	9.9	12.1	10.8	10.3	10.0

1. Estimates.
2. As a percentage of GDP in the previous period.
Source: OECD.

The devaluation and the decline in real wages during 1995-96 improved business sector profitability and in this respect substantially increased firms' capacity to invest. While real gross fixed capital formation fell by 4 per cent on a national accounts basis in 1995, the aggregate decline reflects a fall of about a third in the value of public sector investment, the profile in the enterprise sector being flat. Overall, investment began to recover in the second half of 1996, having been stable or falling in the first half. Preliminary data indicate a 5.6 per cent increase in the fourth quarter compared with the same period in 1995, while the manufacturing and industrial sectors registered 10 per cent growth in 1996. The most dynamic rise, of 14 per cent, was reported by real estate, leasing and other services supporting economic activities, two-thirds of which was accounted for by home construction.[1] Construction in the fourth quarter of 1996 was 10 per cent higher than in 1995, reflecting a partial recovery from depressed levels. Activity was concentrated in new building as opposed to renovations and mainte-

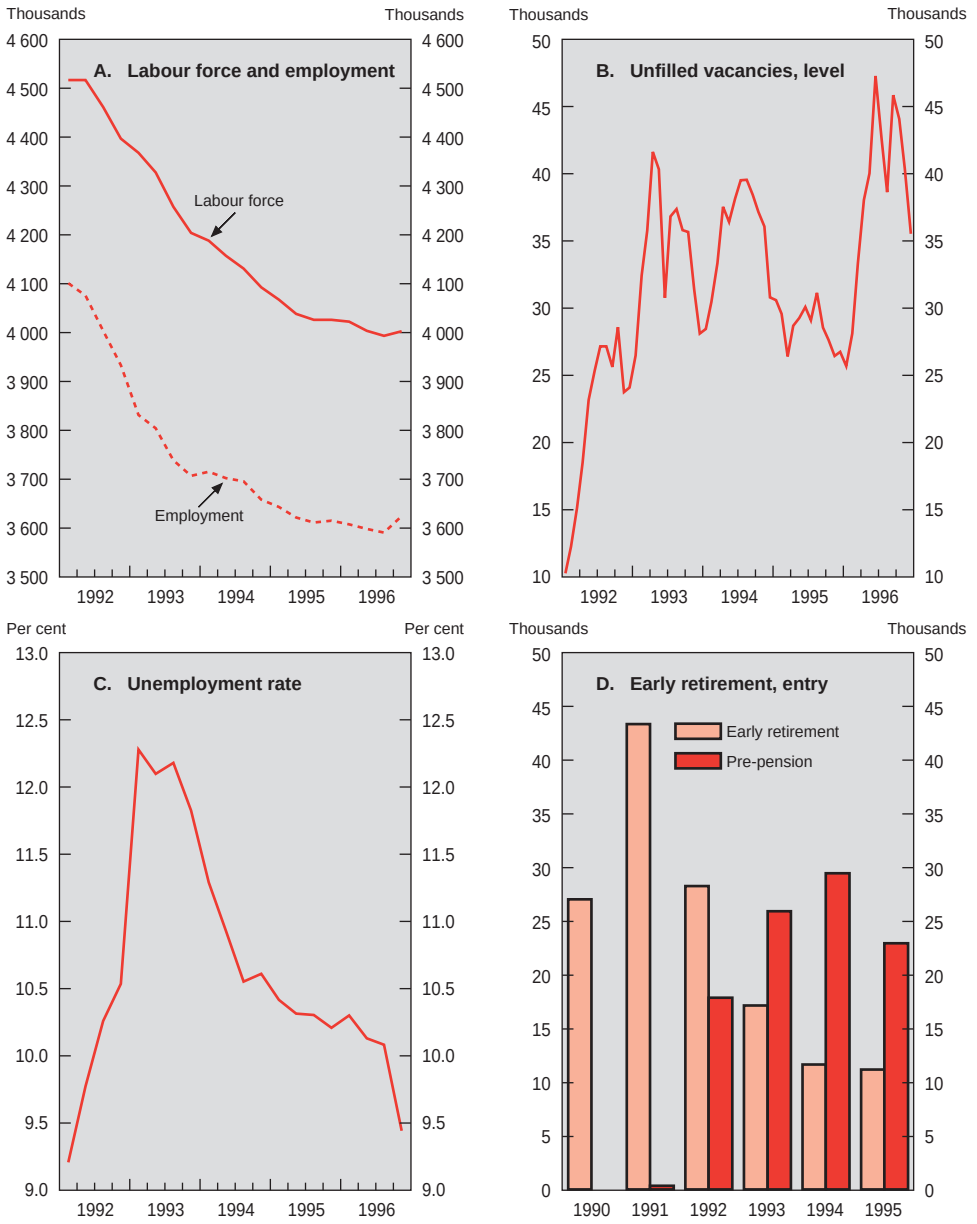
nance. The number of dwellings started and completed in the first three quarters of 1996 was up 21 per cent over the same period in 1995. Gross fixed capital formation for the year as a whole was down by about 4 per cent, but up by about 40 per cent in construction, wholesale and retail trade, and by between 10 and 15 per cent in real estate and manufacturing. Investment by this measure fell by between 15 and 30 per cent in areas of government activity such as social security, education, health and social work.

Employment continued to decline in both 1995 and 1996, although at a somewhat slower pace than in preceding years (Figure 3). In a number of sectors, including construction, financial services, retail trade, catering, transport and communication, employment grew, while it continued to sustain significant losses in the mining, power and water utilities sectors. An offsetting decrease in participation rates meant that the unemployment rate actually declined to 10.4 per cent in 1995, before declining further to 10.0 per cent in 1996. Women's share in total employment is declining somewhat, but employment rates for both men and women between 25 and 50 years old are as high as or higher than those in other OECD countries. The slowdown in labour-shedding is reflected in a 75 per cent rise in unfilled vacancies.

The fall in real wages instituted as part of the March 1995 package affected all sectors of the economy, but derived in large measure from significant cuts in the government wage bill (Table 2). As the dominant shareholder in a wide range of firms at that time, the government also exercised an influence on wage bargaining in the enterprise sector. Approximately half of wage-earners were covered by these direct measures while moral suasion and normal propagation effects delivered supporting restraint in the rest of the economy. For the economy as a whole, real wages fell by 7 per cent in 1995 and 3 per cent in 1996.[2] The Interest Reconciliation Council (IRC) failed to agree to a central bargain in 1995, but its central wage agreement helped to ensure further real wage falls in 1996 (see Chapter IV).

Year-on-year CPI inflation peaked at over 30 per cent in June 1995, following increases in regulated prices and the pressures caused by the depreciation of the currency (Figure 4). For the year as a whole inflation was 28 per cent, and it fell to 23.6 per cent in 1996 responding to the disinflationary influence of falling real wages and disposable income. ''Core'' inflation, excluding food and energy prices, rose less sharply. It did not peak until February 1996, probably reflecting

Figure 3. **EMPLOYMENT, UNEMPLOYMENT AND THE LABOUR FORCE**



Source: OECD and Central Statistical Office.

Table 2. **Wages and prices**

Annual growth rate, per cent

	1992	1993	1994	1995	1996 [1]
Productivity per employee, total economy	7.2	6.2	5.1	3.5	1.6
Compensation per employee, total economy	27.6	25.3	18.3	18.1	19.4
Unit labour costs, total economy	19.1	18.3	12.3	13.1	16.3
Compensation per employee, business sector	26.7	25.9	18.0	18.1	19.5
Unit labour costs, business sector	17.8	17.9	11.7	14.0	17.6
Monthly earnings, manufacturing	34.3	15.6	20.1	20.3	24.0
Unit labour costs, manufacturing	23.9	8.9	10.7	7.9	9.5
GDP deflator	21.5	21.3	19.5	25.6	20.9
Private consumption deflator	22.6	21.0	19.6	26.8	22.7

1. Estimates.
Source: OECD.

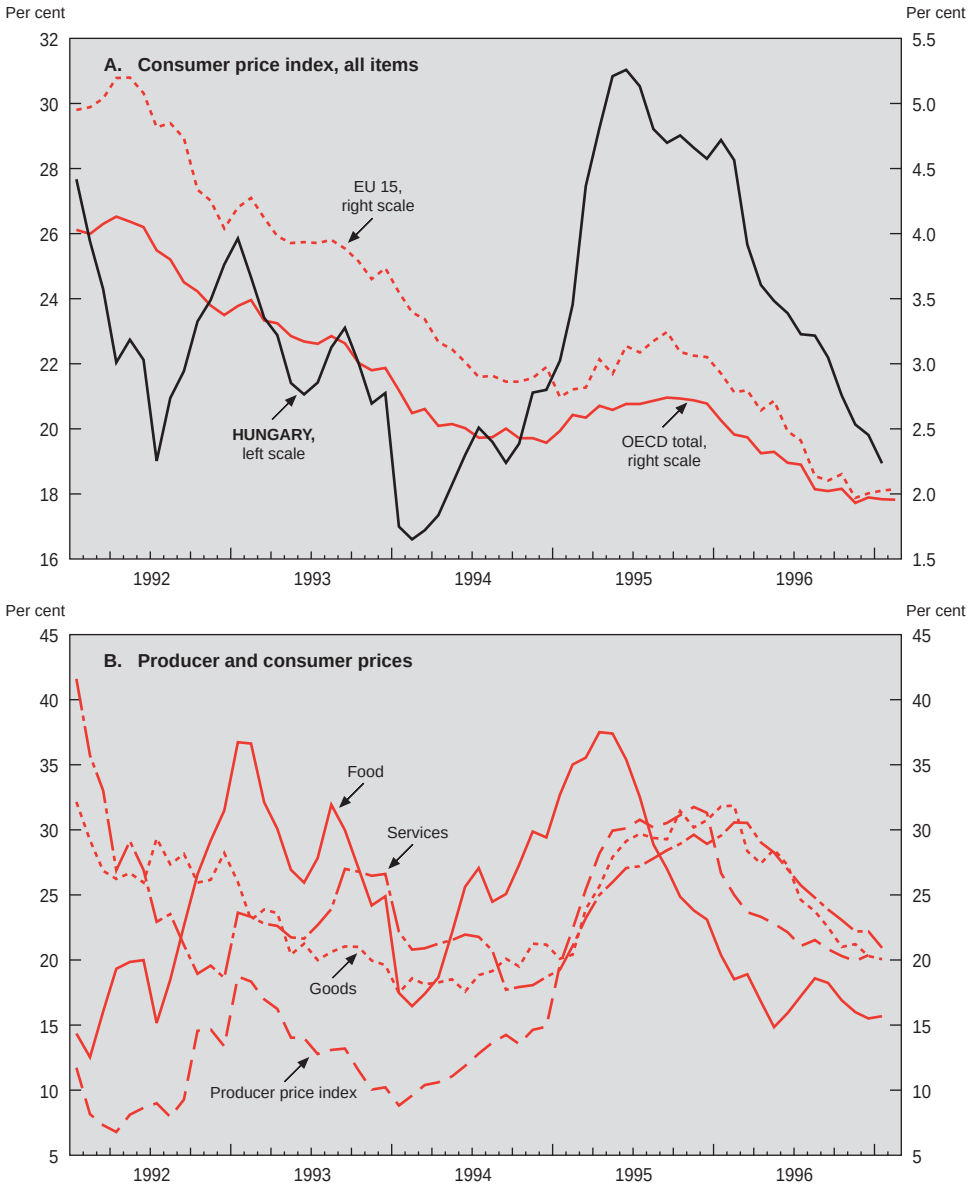
the gradual pass through of the 24 per cent ''jump'' in energy prices in March 1995. On a 12-month basis, inflation rose from 21.2 in December 1994 to 28.3 per cent in the same month of 1995 before falling to 19.8 per cent in December 1996. Producer price inflation followed a very similar pattern, it peaked in the first half of 1995 and fell to 20.8 per cent by December 1996.

Trade performance and the balance of payments

Industrial and manufacturing productivity in 1996 grew by about 7 per cent. For the economy as a whole, slower output growth and a reduction in employment losses translated into a deceleration in productivity growth from 3.4 per cent in 1995 to 1.6 per cent in 1996. Nominal unit labour costs, however, increased only moderately because of wage restraint. With the real exchange rate in terms of relative export prices approximately stable, real unit labour costs dropped dramatically both in forint terms and in US dollar terms, with the result that international competitiveness improved significantly. According to provisional balance of payments data, Hungary expanded its share in world markets in both 1995 and 1996. For 1995, merchandise exports grew strongly while imports actually fell due to depressed domestic demand and the import surcharge. Data for 1996 indicate a slight recovery in imports and slower but still strong export growth. Exports to developed countries represented 70 per cent of all exports,

Figure 4. **INFLATION DEVELOPMENTS**

Per cent change from one year ago



Source: OECD.

with the share of the EU equal to 62 per cent. Former socialist countries accounted for 23.5 per cent of all exports. For manufactured goods in general, and machinery and transport equipment in particular, the western developed economies had an even larger share in Hungary's export markets.

The merchandise trade deficit, which had risen to $3.6 billion in 1994, fell by a third in 1995 before growing somewhat to $2.6 billion in 1996 (Table 3). The improvement in the trade account was magnified in the current account, where the deficit fell from $3.9 billion (9.7 per cent of GDP) in 1994 to $2.5 billion in 1995 and to $1.7 billion (4 per cent of GDP) in 1996. Nearly all items of the current account supported the more positive story. Tourism was a particularly important contributor to current receipts with revenues exceeding expenditures by some $659 million in 1995 and by $1.3 billion in 1996. The almost doubling of net tourism revenues in 1996 explained almost all of the fall in the current account deficit. The net increase reflected a 30 per cent rise in

Table 3. **Current account of the balance of payments**

$ million

	1990	1991	1992	1993	1994	1995	1996
Exports	6 346	9 258	10 028	8 094	7 613	12 810	14 183
Imports	5 998	9 069	10 076	11 340	11 248	15 252	16 828
Trade balance	348	189	–48	–3 247	–3 635	–2 442	–2 645
Services and income							
Freight and shipment, net	–164	–80	–116	–106	–176	–186	292
Government services, net	17	63	78	–17	–12	–13	0
Travel							
Receipts	818	1 006	1 231	1 181	1 428	1 714	2 246
Expenditures	473	446	641	739	925	1 056	957
Net	345	560	590	442	503	659	1 288
Other services, net	302	67	103	–104	–55	195	–154
Direct investment income, net	–24	–32	–45	–56	–117	–194	–256
Other investment income							
Receipts	230	297	420	456	661	758	1 144
Expenditures	1 644	1 628	1 636	1 586	1 947	2 357	2 321
Net	–1 414	–1 331	–1 216	–1 130	–1 286	–1 599	–1 177
Labour and property income, net	18	–20	9	–6	–43	–52	–20
Unrequited transfers, net	727	860	859	732	909	1 127	922
Other payments, net	–28	–9	110	38	1	25	13
Current account balance	**127**	**267**	**324**	**–3 455**	**–3 911**	**–2 480**	**–1 677**

1. The – sign implies an increase.
Source: National Bank of Hungary.

receipts and a 9 per cent fall in expenditures (in dollar terms). Investment income contributed net outflows of $1.4 billion which were partially offset by unrequited transfers from abroad of $0.9 billion.

Hungary is an important destination for foreign direct investment (FDI) (Table 4). In 1995 Hungary received $4.5 billion in FDI (about 10 per cent of GDP), almost two-thirds of the total received in the previous seven years. A rapid privatisation of a number of state-owned assets explains much of the surge. In 1996 FDI fell to $1.8 billion, a level more in keeping with previous experience. Net portfolio investment was $856 million. The strong inflow of FDI allowed Hungary to reimburse a significant share of its foreign debt before maturity: between 1994 and 1996 net foreign debt fell from $19 billion (45 per cent of GDP or two years of exports) to $12.9 billion (an estimated 30 per cent of GDP or less than one year's exports).[3] These investments contributed directly to

Table 4. **Financial/capital account of the balance of payments**[1]

$ million

	1993	1994	1995	1996
Financial account	2 676	3 721	1 255	–342
Medium and long-term capital	5 631	2 295	5 600	–727
Direct investment, equity				
Foreign in Hungary	2 339	1 146	4 453	1 788
Hungarian abroad[2]	–11	–49	–43	3
Assets, net[3]	237	36	118	296
Liabilities, net[3]	3 066	1 162	1 072	–2 814
Short-term capital	–320	770	187	–1 075
Change in reserves[2]	–2 635	656	–4 532	1 458
Memorandum items:				
Current account	–3 455	–3 911	–2 480	–1 677
Capital account[4]				156
Intercompany loans, net[5]				195
Net errors and omissions	778	190	1 224	1 864

1. As of 1996, the classification of data in the financial account of the balance of payments was changed according to the new IMF methodology (see, National Bank of Hungary, Monthly Bulletin, April 1996). Data for 1996 are reported here according to the old classification in order to facilitate comparison with previous years.
2. The – sign implies an increase.
3. Inclusive of net inter-company loans.
4. Category introduced in 1996 and different from the capital account reported prior to 1996.
5. Introduced as a separate item in 1996.

Source: National Bank of Hungary.

Hungary's strong export performance. As discussed in Chapter III, those sectors with the highest rate of export growth tend to have a strong foreign presence, with foreign ownership presumably bringing with it market access as well as technical and marketing know-how.

Short-term outlook

While the export sector continues to grow strongly, during 1997 and 1998 increased investment and an end to the decline in private consumption should mean that domestic demand will play a more important role in the expansion. Although household disposable income remains depressed because of limited real wage growth, the savings ratio is expected to fall somewhat in 1997, as returning consumer confidence allows some deferred purchases to take place in anticipation of future real earnings growth. Stabilising domestic incomes and consumption, coupled with much improved profitability and a strong international competitive position are expected to support a sustained surge in investment. Overall, GDP growth could be in the region of 2½ per cent this year, rising to 3½ per cent in 1998 (Table 5).

As more resources are employed to meet recovering domestic demand, export growth should slow somewhat in 1997, although overall competitiveness is expected to improve throughout the projection period as productivity continues to outpace real wage growth. The elimination of the import surcharge by 1 July 1997 should combine with stronger domestic demand to raise import growth. The improvement in the trade balance will thus be checked. The current account balance is expected to deteriorate somewhat but to remain below 5 per cent of GDP. Developments in the tourism balance are important here. The rise in the expenditure of foreigners in Hungary probably represents a permanent increase. Hungary is a geographically close and inexpensive destination for Europeans (especially Germans and Austrians) and an affordable, safe but exotic destination for tourists from elsewhere. As it becomes better known as a destination, more visitors can be expected. Already, there are signs that the provenance of visitors is diversifying. In overall terms, the surplus in net tourism credits should thus continue to expand, although perhaps at a slower pace as foreign visits by Hungarians resume.

Table 5. **Short-term projections**

Percentage changes (1991 prices)

	1995	1996	1997	1998
Private consumption	–7.1	–3.0	0.4	1.1
Government consumption	–4.1	–3.0	–3.3	–1.1
Gross fixed investment	–4.3	–2.0	10.5	12.0
Final domestic demand	–6.1	–2.8	2.2	3.5
Change in stocks [1]	3.2	1.4	0.2	0.2
Total domestic demand	–3.1	–1.3	2.3	3.5
Exports of goods and services	13.4	13.0	11.1	11.0
Imports of goods and services	–0.7	6.5	10.3	10.5
Foreign balance [1]	4.9	2.2	0.1	–0.1
GDP at constant prices	1.5	0.8	2.4	3.5
Memorandum items:				
GDP price deflator	25.6	20.9	17.2	14.9
Private consumption deflator	28.6	22.7	17.7	15.5
Total employment	–1.9	–0.5	0.5	0.6
Unemployment rate, level	10.3	10.0	9.1	8.8
Short-term interest rate, level	31.3	23.8	19.5	18.5
Long-term interest rate, level	31.3	23.8	19.5	18.5
General government budget balance, per cent of GDP	–6.7	–3.1	–5.2	–5.0
Current balance, per cent of GDP	5.5	–3.9	–4.0	–4.0

1. Changes expressed as a percentage of GDP in the previous period.

Source: OECD.

Further progress towards disinflation in 1997 is likely to be slow. The 1997 national wage bargain was moderate and real wages should still grow less than productivity. However, the government and the central bank have set an inflation goal of 17-18 per cent in 1997, which implies only a 2 percentage point decline in December year-over-year inflation rates. Carry-over effects mean that even if the government were to achieve a 5 or 6 percentage point reduction in year-over-year inflation in 1998 (as is assumed here), annualised inflation reduction would appear modest. The rate of depreciation of the crawling peg was slowed from 1.5 per cent per month to 1.3 per cent in January 1996, and again in April 1997, to 1.1 per cent per month. The current rate of crawl will exercise only a slight disinflationary influence in 1997, which will disappear by the end of the period.

The principal risks attach to the external balance and inflation performance, but should not be overstated. The growth in private consumption and imports in

the near term will depend importantly on wage and consumer confidence developments. Recent macroeconomic developments have been dominated by the real income shock faced by households. If consumer confidence rebounds strongly with the return to disposable income growth, there is a risk that consumption growth will outstrip income growth. Strong consumer demand might, in turn, exceed the domestic economy's capacity to supply in the near term, with the result that import growth could pick up markedly. The removal of the import surcharge could result in a stronger increase in imports than projected, but even a substantial worsening of the trade balance for a time should not pose serious difficulties. The export sector is much larger than it was in 1995, while a continued strong surplus in the non-factor service account and continued strong inflows of foreign direct investment should allow any shortfall to be financed without problem.

Perhaps the main uncertainty relates to wages and the outlook for inflation. The projection builds in a historically small 2 percentage points of wage drift, and if this margin is substantially exceeded then disinflation may be even less than projected. On the other hand, the authorities are currently considering embarking upon a more ambitious disinflation programme for 1998 that would combine a more aggressive exchange-rate policy and a co-ordinated reduction in nominal wage and prices growth; if such a policy were introduced, the inflation outturn in 1998 could be better than projected.

II. Macroeconomic policies

Hungary emerged during the course of 1995 and 1996 from a period when monetary and fiscal policies were on an unsustainable path, characterised by high inflation and budget imbalances. Macroeconomic policy is now better focused and provides a more coherent and predictable framework for economic development. The previous exchange rate regime of discretionary devaluations was replaced in March 1995 by a pre-announced crawling peg, which, in conjunction with a better-balanced macroeconomic policy mix, has brought the monthly inflation rate back to around 20 per cent. Tight fiscal and incomes policies have been the principal instruments in rebalancing the economy. The consolidated government deficit fell from 8.4 per cent in 1994 to 3.1 per cent in 1996, largely as a result of expenditure cuts, while there was a 12 per cent fall in economy-wide real wages. However, progress towards further disinflation is rather slow, given the expectations entrenched in existing wage bargaining institutions.

Monetary policy

Establishing credibility...

Prior to the adoption of the March 1995 stabilisation programme, monetary policy was mildly restrictive. However, in the face of an expansionary fiscal stance, the policy of gradual tightening was ultimately not successful in restoring external balance, and instead led to a steady erosion of policy credibility. With the adoption of the March 1995 programme, price stability became the official aim of monetary policy (Table 6). More immediately, the objectives were to cut the current account deficit to $2.5 billion (or 4 per cent of GDP), to be financed entirely by non-debt capital flows, while reducing the rate of inflation to 17 per cent by December 1996. As an integral element in the overall stabilisation

Table 6. **Summary of the main features of monetary policy**

	Pre-1995 package	Post-1995 package
Objectives(s)	• Reducing inflation • Current account sustainability	• Price stability
Intermediate targets	• Stability of real exchange rate	• Maintenance of the pre-announced crawling peg
Instruments	• Repo rate [1]	• Repo rate adjusted to maintain differential compatible with the rate of crawl
	• Reserve requirement (sparingly) • Refinancing of general government and of commercial banks	• Open market operations
Indicators monitored by NBH	• Domestic savings/GDP • Monetary aggregates	• M0 – M4 • Current account • Real exchange rate • Domestic savings • Growth rate

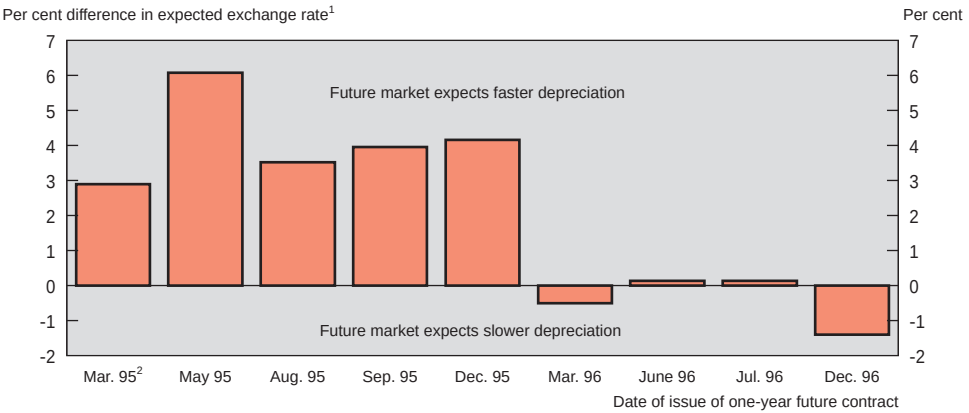
1. Main policy variable.
Source: OECD.

programme, the Hungarian authorities adopted a crawling peg regime, with fairly narrow fluctuation bands, to serve as a nominal anchor against speculative attacks on the currency.[4] Success has been achieved in this respect. After some initial oscillations, the forint exchange rate has remained close to the lower limit of the band (implying strength relative to the pre-announced crawl) and forex futures contracts point to increasing credibility (Figure 5). More recently, there are even indications that the market expects a further reduction in the rate of crawl.[5]

Up to February 1995, the central bank's multiple tasks of stabilising the external deficit while promoting economic expansion, financing the public sector deficit (albeit under strict limits) and reducing inflation represented a classic dilemma of too many targets and too few instruments. With fiscal policy better balanced and central bargaining mechanisms producing a deceleration in wages, the dilemma has been reduced. But even in the present case, monetary policy has the dual goal of lowering inflation and preserving external competitiveness (hence cushioning output and employment). The crawling-peg exchange rate regime has acted as an effective anchor for inflation expectations, and makes for

Figure 5. **EXCHANGE RATE FUTURES AND THE EXCHANGE RATE BAND**

Per cent change from one year ago



1. Difference between expected depreciation in the futures market and depreciation implied by the crawling-peg at the time of issue. Until September 1995, expectations are measured by a weighted average of US dollar and deutschmark futures; thereafter they are measured by a weighted average of US dollar and ECU futures.
2. Value on 16th March 1995 of one-year future issued on 1st December 1994.

Source: National Bank of Hungary.

a more predictable policy environment but monetary authorities did not attempt to engineer a faster pace of disinflation because external equilibrium and real GDP growth were thought to be vulnerable.

... thanks to an improved institutional framework

The problems of reconciling disinflation and output-stabilisation goals have, in the past, been complicated by operational constraints, stemming from the state of the banking system, the financing of the public sector and capital inflows. As noted in the previous *Survey*, the inter-bank money market has been considered too thin and the demand for money sufficiently unstable to cause severe problems for those banks which are net borrowers of reserves. At the same time, the financing demands of an expansionary fiscal stance made the money creation process relatively open-ended. These constraints have been substantially resolved. The banking sector appears to be much healthier than at the time of the previous *Survey* (see Chapter III); the interbank market appears to be working smoothly; and the full independence of the central bank was established by the amendment to the Central Bank Law that came into force on 1 January 1997.

Box 1. **Central bank independence**

The National Bank of Hungary (NBH) is fully independent and is solely responsible for the conduct of monetary policy. Each year, the NBH presents its monetary strategy to parliament. The programme represents a frame of reference for the conduct of monetary policy rather than a binding set of rules. There are no automatic mechanisms for triggering a more (less) restrictive monetary policy if the targets appear to be out of reach nor are there ''sanctions'' if they are not reached. The monetary programme, so far, has been formulated in such a way as to be consistent with the government's forecasts of inflation and other monetary variables. The independence of the NBH is established by the Central Bank Law, which was approved in 1991 and strengthened by the amendment that came into force on 1 January 1997. Under the revised law, direct financing of the government by the central bank is now prohibited. The overdraft facility with the NBH is limited to 2 per cent of the planned revenues of the central budget and must be extinguished within 15 days. There must be no outstanding overdraft at the end of the fiscal year.* The amendment also transferred responsibility for reimbursing foreign public debt from the NBH to the government. Before 1991, the foreign-currency denominated debt of the state was held by the central bank, and the Government formally owed forint-denominated debt to the NBH. Because of this arrangement, the foreign currency liabilities of the bank far exceeded its foreign currency assets and forint devaluation continuously increased the net foreign exchange liabilities measured in forints. This was offset by the creation of unspecified-duration, interest-free debt held by the NBH against the government's account. This method for dealing with the revaluation of the government's foreign denominated debt distorted the balance sheet of the NBH, disguised the actual costs of financing the budget deficit and reduced NBH profitability.

In 1993, an amendment to the Central Bank Law was passed, requiring that the non-interest-bearing debt should be gradually converted into government securities. The pace of this securitisation, however, did not prevent the stock of non-interest-bearing government debt from increasing. The problem was resolved once and for all with passage of the Act on the Budget of 1997, which eliminated all non-interest bearing domestic government debt held by the NBH and replaced it with an equal amount of foreign-currency denominated loans.

The Ministry of Finance – on behalf of the Government – raised foreign currency denominated loans from the NBH, with maturities and interest rates that match those of the bulk of the net foreign exchange exposure of the NBH. At the same time, the Government reduced its domestic currency denominated liabilities at the NBH by the forint amount of the foreign currency-denominated loans. This transaction closed the short position of the NBH in foreign exchanges and made it possible for the NBH to align its treatment of revaluation gains/losses with international accounting standards.

The debt conversion had no impact on the amount of government debt nor on the budget deficit. The primary balance of the government in 1997 will be the same as it

(continued on next page)

(continued)

would have been without the debt-swap. The interest balance of the government will deteriorate, but the profit of the NBH will improve. As a result, the total deficit of the consolidated general government will not be affected by this transaction on an accrual basis.

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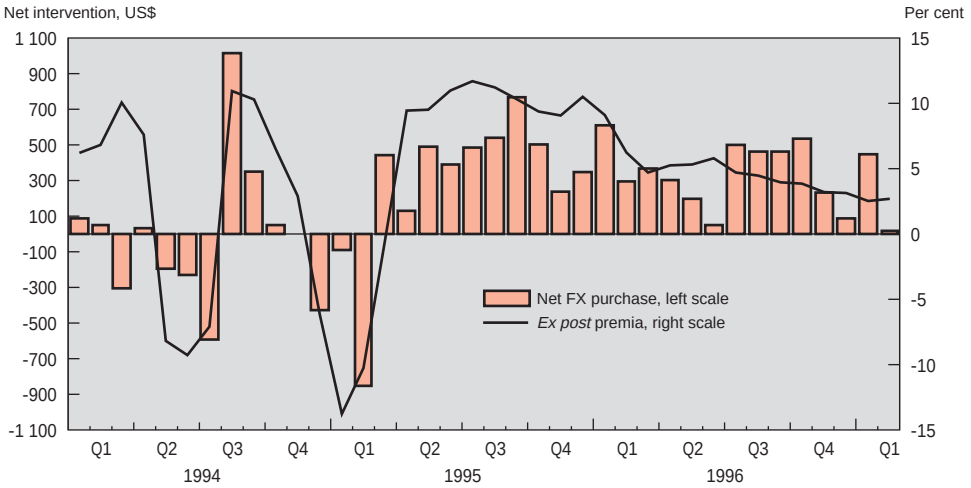
* Before 1 January 1997, limits were set by the law concerning central bank financing of government deficits: the NBH could subscribe up to 5 per cent of the bonds issued by the government, with transitional arrangements applied until the end of 1994 (the NBH had already elected to restrict its purchase of government bonds on the primary market below that limit in 1996). In the past, seignorage was an important way of financing government deficits. See Hochreiter, Rovelli, Winkler (1996) for an analysis of seignorage in Hungary and in other transition economies.

Permanent money-financing of the government deficit is now forbidden and the National Bank of Hungary (NBH) no longer has obligations for the foreign debt of the government (Box 1).

As restrictions on capital flows were lifted in 1995, capital inflows became a potential source of monetary pressure. The government began a massive process of privatisation which brought in unprecedented levels of foreign investment, at a time when the deficit of the current account, although still large, was shrinking. Privatisation receipts have been sterilised by drawing down Hungary's foreign debt. Other, capital inflows have required intervention by the Bank. Indeed, the NBH has had to make substantial net purchases of foreign exchange since the implementation of the March 1995 package as capital inflows responded to improved *ex post* interest-rate differentials (Figure 6). The accumulation of foreign currency reserves in 1996 has been impressive and allowed the central bank to reimburse $1.7 billion of the country's foreign debt ahead of schedule and a further $0.8 billion in the first quarter of 1997. The increase in reserves was successfully sterilised by the NBH at an estimated cost of about 1.4 per cent of GDP. Continuous purchases of foreign currency to stabilise the exchange rate are effective only if the turbulence in the foreign exchange market is of a temporary nature,[6] whereas the data presented in Figure 6 appear to indicate that this is no longer the case for Hungary.[7]

Figure 6. **FOREIGN EXCHANGE PURCHASES AND INTEREST RATE PREMIA**[1]



1. The premium is defined as the annualised interest rate on 90-day Hungarian T-bills less the expected depreciation given the crawling-peg less the weighted average of the corresponding DM and US$ interest rates.

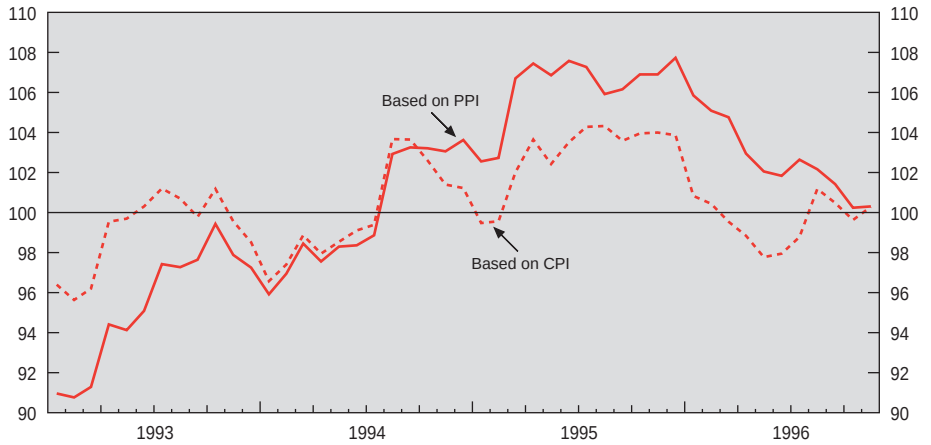
Source: National Bank of Hungary.

... and prudent management of interest rates

Since March 1995, the authorities have followed a policy of maintaining a differential between domestic and foreign interest rates consistent with the rate of crawl. However, there are clearly constraints to this policy since interest rates have had to be kept within a range that both ensured a smooth financing of the government debt and did not affect households' spending behaviour.[8] In the process, real interest rates have been slightly positive since March 1995. In *ex post* terms, monetary policy appears to have concentrated – successfully – on avoiding appreciation of the real exchange rate, with respect to the 1994 average and maintaining real interest-rate stability[9] (Figures 7 and 8). The overall monetary stance has thus been accommodating. However, bank lending rates have been slow to follow changes in other market rates (Figure 9). The tight credit conditions faced by the private sector derive from cautious behaviour on the part of banks, stemming, in part from problems of credit-worthiness which are outside central bank control (see Chapter III).

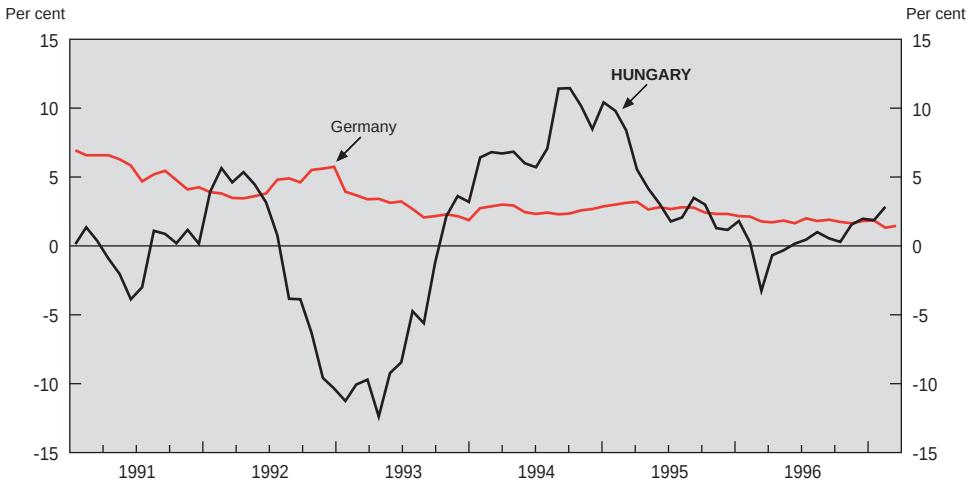
Figure 7. **REAL EXCHANGE RATES**

1994 = 100



Source: National Bank of Hungary.

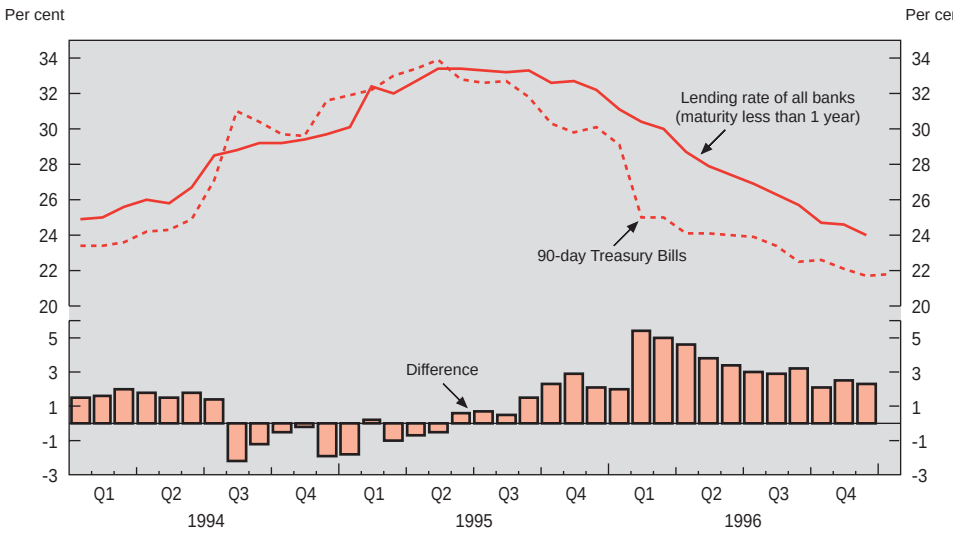
Figure 8. **REAL *(EX POST)* SHORT-TERM INTEREST RATES**[1]



1. 90-day Treasury Bill for Hungary and 3-month FIBOR for Germany.

Source: OECD.

Figure 9. **INTEREST RATES ON BANK LENDING AND TREASURY BILLS**



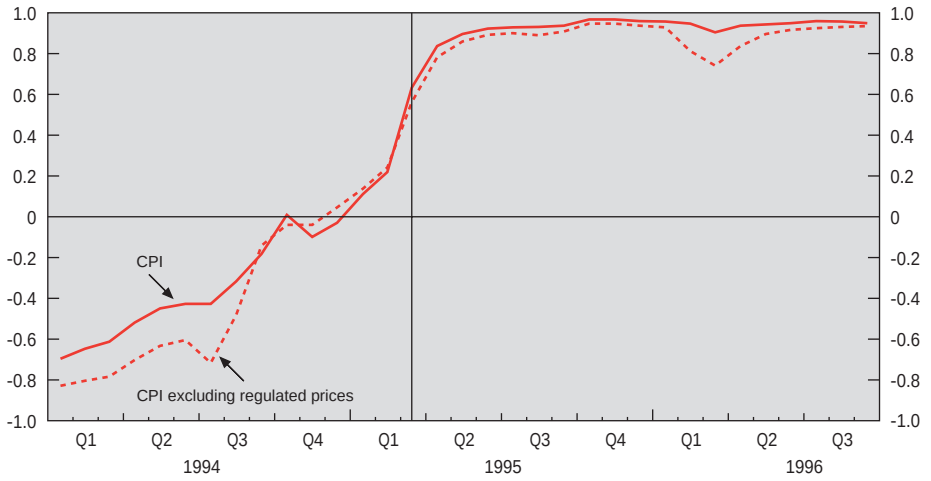
Source: National Bank of Hungary.

Challenges to monetary policy

Achieving a faster rate of disinflation...

Since 1995 the correlation between domestic inflation and the rate of crawl has been almost perfect[10] (Figure 10). Although no causality is implied by this relationship, it appears that the rate of exchange-rate depreciation has so far been fully incorporated into pricing behaviour, given the increasing credibility of the exchange-rate regime. The essential problem faced by the authorities remains that of promoting disinflation while at the same time maintaining a credible exchange rate and real-side competitiveness. So far, the central bank has concentrated on the last two objectives, the onus of disinflation being borne by restrictive fiscal and income policies. However, the risk with a crawling-peg regime is that it can act as a floor for inflation. The rate of change in prices of tradeable goods will converge to the rate of depreciation[11] plus foreign inflation. The current rate of crawl (1.1 per cent per month), corresponds to a 14 per cent depreciation per year, and given a 2 per cent rate of inflation among Hungary's main trading

Figure 10. **CORRELATION BETWEEN INFLATION AND EXCHANGE RATE DEPRECIATION**



Source: OECD.

partners, the current regime is consistent with 16 per cent inflation in the tradeables sector. Price increases in the service sector, where competition is traditionally less intense, will be the same or higher.

... calls for a new approach

Recently, the authorities have been exploring the possibility of engineering a faster reduction in inflation by exploiting Hungary's wage-bargaining system. To increase the rate of disinflation without unacceptable costs in terms of output, wage and price expectations need to adapt relatively quickly. In this respect, the NBH's independence and its increasing credibility would permit it to take a lead in setting inflation objectives, which can then be incorporated into wage-bargaining contracts. The central bargaining process was used in 1995 and 1996 to shift resources from labour to capital through a significant deceleration in nominal wages and ultimately a sharp drop in real wages. It is neither necessary nor desirable at this stage to induce a further drop in real wages, but the same mechanism could be used to reduce inflationary expectations by simultaneously lowering wage and price inflation.

The combination of a substantially lower inflation target, a much slower rate of crawl and a low centrally-negotiated wage guidelines, which nevertheless preserves real wages, has been used to engineer large reductions of inflation in Ireland, Portugal and Iceland among other countries. As inflation falls, the rate of crawl can be dropped further, and ultimately give way to a fixed nominal exchange rate. The costs of inaction are high and the benefits of a lower inflation rate cannot be overstated. A policy that focuses on preserving the real exchange rate runs the risk, over the long term, of neutralising the efficiency enhancing effects of external competition and confirming high inflationary expectations.

Fiscal policy

The economic crisis that gave rise to the March 1995 stabilisation package was, in major part, due to an unsustainable fiscal stance. The general government account shifted from a surplus of 3.1 per cent of GDP in 1989 to a deficit of 8.4 per cent in 1994. In each of the years 1992 to 1994 the initial estimate of the central budget deficit was exceeded and the budget deficit grew. Since the introduction of the March 1995 stabilisation package, the authorities have reduced the government deficit by more than half as a ratio of GDP, to 3.1 per cent in 1996. Deficit reduction was achieved through dramatic expenditure cuts, concentrated in public wage restraint. Since the beginning of the transition, non-interest government expenditures have declined from 50 per cent of GDP in 1990 to an estimated 42 per cent in 1996. Despite the import surcharge, revenues as a share of GDP actually declined.

The 1995-1996 budget outcomes

Budget developments have shown a substantial net improvement, as the central government primary balance moved from a small deficit in 1994 to a surplus of 5.5 per cent of GDP in 1996. Both revenues and expenditures fell as a percentage of GDP, from 32 per cent to 30 per cent in the case of revenues and even more, from 32 to 24 per cent, in the case of primary expenditures. The fall in revenues largely reflected substantial falls in real disposable income, which resulted in reduced receipts from consumption and personal income taxes. These were offset, in part, by the import surcharge, which increased revenues from customs duties by 1.1 per cent of GDP. However, one of the biggest surprises in

1996 was the performance of corporate taxes. In the 1995 budget, enterprise tax rates were cut from 36 to 18 per cent for profits not expatriated and a nominal fall in revenues of 20 per cent was anticipated. In the event, revenues actually rose by 11 per cent, and fell by only 10 per cent in real terms, suggesting that levels of tax evasion and avoidance declined dramatically.[12]

Among spending categories, budgetary transfers to the social security funds and central budget institutions were subject to the largest cuts. However, in 1996 the deficit of the social security funds reached 1.1 per cent of GDP, almost completely offsetting narrowing deficits in the local government and other extra-budgetary funds (Table 7). The shortfall in the social security funds resulted both from a poor collection record and a failure to recoup arrears. Several large (government-controlled) organisations, such as the police force,[13] the state railroad, and the bus-maker Ikarus owe substantial sums to the social security funds. The 1996 budget included large social security revenues from the collection of past debts from these organisations which, in the event, did not materialise. A cut in the number of public servants (20 per cent between 1991 and 1997) and savings deriving from the ''privatisation'' of a wide variety of non-economic and non-profit organisations also contributed to the budgetary improvement. In addition, the government took steps in 1996 to tighten discipline at the local level, including a 4 per cent reduction in municipal public servants and legal limits on local authorities' capacity to incur debt.

Table 7. **Budget balances**

	GFS basis, billions of forints			
	1994	1995	1996 (preliminary)	1997 (planned)
Central government	–272.7	–300.7	–130.4	–359.7
Social security funds	–34.4	–40.4	–69.4	–13.5
Local governments	–56.5	–17.2	–0.3	–5.0
Extra-budgetary funds	0.5	–9.7	–9.5	–14.8
General government	–363.1	–368.0	–209.0	–393.0
Per cent of GDP	–8.3	–6.6	–3.1	–4.9

Source: Ministry of Finance.

Even allowing for the social security deficit, the general government primary balance swung from a deficit of 2.7 per cent of GDP in 1994 to a surplus of 3.6 per cent in 1996 (including the NBH balance). However, the improvement in 1995 was partially offset by an increase in net interest payments of 2.8 per cent of GDP, due, in part, to the impact of higher inflation on borrowing costs. As a result the adjustment in the overall general government deficit was less strong. Net interest payments, as a percentage of GDP, fell in 1996, but this is somewhat misleading as it partly reflects a statistical rather than structural or conjunctural improvement. The Hungarian accounts are calculated on a cash basis. Accrual based accounts are available in the national accounts but with a considerable delay. In 1996 the central bank of Hungary pursued a sterilisation operation which changed the term structure of its debt, delaying until 1997 a substantial amount of interest payments. As a result, the cash-based consolidated government deficit improved dramatically in 1996 but will worsen in 1997. The government estimates that on an accrual basis the improvement in 1996 would have been much less significant and that in 1997 the consolidated deficit will fall further (Table 8).

Privatisation revenues in 1995 nearly quintupled compared with those in 1994, and increased a further 36 per cent in 1996. The income was used to anticipate the reimbursement of foreign debt, the stock of net foreign debt having fallen from $21.5 billion in March 1995 to about $12.8 billion (30 per cent of GDP) at the end of 1996. Net external debt is currently equal to approximately one year's exports as compared with almost two years of exports in 1994. The government also moved to make more transparent its financial relations with the

Table 8. **General government balances on a cash and accruals basis**

Per cent of GDP

	1995	1996	1997
A. Primary balance (*less* NBH balance)	1.8	4.4	3.5
B. NBH balance	0.0	–0.8	0.7
C. Interest balance (cash basis)	–8.4	–6.7	–9.1
D. Interest balance (accrual basis)	–9.2	–8.3	–8.4
GFS balance (A + B + C)	–6.6	–3.1	–4.9
Accrual balance (A + B + D)	–7.4	–4.7	–4.2

Source: Ministry of Finance.

NBH. As a result, some $11 billion in debt which had been accumulated by the central bank on the behalf of the government was transferred to the government.

The 1997 budget programme

The 1997 budget foresees a substantial fall in central government revenues (as a percentage of GDP) and a somewhat smaller fall in expenditures. The result is that the central government primary balance is expected to decline to 3.5 per cent in 1997. The increase in net interest payments mentioned above will cause the overall central government deficit to increase substantially on a cash basis, but the underlying trend is downward in accrual terms. The abolition of the import surcharge will contribute 1.2 percentage points of the 4.2 per cent of GDP decline in projected revenues, but a resurgence in consumption is expected to contribute to improved revenues from the VAT and other excise taxes. A reduction in the top personal income taxes from 48 to 42 per cent is projected to lead to a reduction in revenues equal to 0.8 per cent of GDP. The contribution of central budgetary institutions to central government revenues falls by 1.2 percentage points of GDP. Finally privatisation revenues, which reduce the government's borrowing requirement but not its financial deficit, are expected to fall by 2.8 percentage points, from 3.6 to 0.8 per cent of GDP.

Primary expenditures of the central government are expected to decline by 2.5 per cent of GDP. Reductions in agricultural and consumer price subsidies will account for 0.4 percentage points of the reduction, while government investment expenditures will fall by around 0.1 per cent of GDP. The largest saving is expected from reduced transfers to the social security funds: transfers for family allowances will decline by 0.3 per cent of GDP while other subsidies and income supplement benefits will fall by 0.2 per cent of GDP each. At the same time, the government expects the deficits of the social security funds to fall from –1 to –0.2 per cent of GDP.

Fiscal policy challenges

The authorities have had considerable success in controlling and reducing expenditures. With the exception of the social security funds, budgetary outcomes have met or surpassed projections. Engineering further reductions is complicated because a substantial proportion (13.5 per cent of GDP) of expenditures and revenues lies outside of the direct control of the central authorities.

Until 1995, there were 29 off-budget funds, financed by earmarked revenues, with independent sources of income (including commercial activities). Like the local governments, they had independent spending and borrowing authority. Whereas deficits were inevitably made up from the central budget, surpluses remained the property of the lower-level organisation. The number of off-budget funds has been cut to five (social security funds excluded) and both their and the local governments' budgetary independence has been curtailed. The revenues of the two social insurance funds now pass through the Treasury Board, which enables the central government to keep abreast of the evolution of their budgets and allows for more cost-effective cash management. As of 1996, the social security funds can no longer present their budgets directly to the parliament. They must first be presented to the Ministry of Finance, which may make amendments before submitting the revised budget to parliament. The social security funds may, if they are dissatisfied with the modified budgets, submit their original budget to the parliament which must then decide between the two options. In addition, there are plans to integrate further the tax collection functions of the government and the social insurance funds. One proposal would integrate the information systems of the three organisations by the end of 1997 with a fully integrated operation beginning by the end of 1998. A joint system would help to avoid duplication and improve efficiency and should also reduce the scope for tax evasion.

Nevertheless, there remains considerable scope for further spending reduction. At the level of the social security funds,[14] disability payments and early retirement expenditures are all candidates for savings (see Chapter IV). The pension system itself is currently being reformed to prevent it from becoming a major future burden on government resources. Recent reforms, including the gradual increase of retirement ages to 62 years and the widening of the contribution base, have improved the medium term viability of the system. However, in the absence of further action, by early in the next century demographic pressures will push the pension system into a deficit of around 3 per cent of GDP. A proposal before parliament would transform the current pay-as-you-go (PAYG) system into a multi-tier system consisting of a scaled-down PAYG first tier; a fully-funded, compulsory and privately-operated second tier; and a third, voluntary fully-funded tier. By revising the indexing scheme of the PAYG system, the plan generates a short-term surplus that will be used to help finance the transition

of one third of the PAYG liabilities to the fully funded system.[15] As a result of these reforms, the annual contribution of the pension system to net national savings will average 0.5 per cent of GDP over the next 53 years as compared with an average –0.7 per cent in the absence of reform (see Annex I for more details).

There is also a recognition that the health care system is in need of reform. Here government planning is less advanced. A number of problems are obvious and need to be addressed. At a practical level, reflecting incentives under the previous planned economy, there are too many doctors and their salaries are too low. At the same time, there is a chronic shortage of nurses with professional qualifications. A number of reforms introduced recently have helped to control the growth in expenditures, but much more needs to be done to determine the extent to which particular services can and should be supported given the economy's current capacities. In this regard, the system of subsidies for pharmaceuticals should be examined more closely.

One of the most fundamental problems concerns tax compliance and tax policy. As much as 30 per cent of economic activity may be escaping taxation (see Chapter IV), and this is both the cause and effect of very high marginal tax rates. Tax revenues as a share of recorded income are well below the levels that should be generated by official tax rates. Although the average production worker faced a marginal tax rate of 43.5 per cent in 1995, his statutory liability was only 16 per cent of his gross income after accounting for deductions and exemptions and only 8.1 per cent of household incomes were collected in income tax (Table 9). Similarly, despite VAT rates ranging between 12 and 25 per cent, VAT and other excise taxes represented only 16.7 per cent of final consumption. Total contributions to the pensions system should be 30.5 per cent but are only 25 per cent of wages and salaries. The government is concerned by these problems and has actively pursued measures aimed at improving tax compliance and controlling the spending of the extra-budgetary funds. Solving the problem of non-compliance is of central importance if a settled tax regime is to be created. Indeed, changes to tax policy have been too frequent and implemented without sufficient consultation, with the result, on several occasions, that major tax initiatives have been withdrawn or substantially altered very shortly after implementation.

Table 9. **Tax ratios**

Per cent

	1991	1992	1993	1994	1995	1996
Enterprise direct taxes/operating surplus	17.8	12.8	11.3	12.4	8.5	7.9
Social security contributions/wages and salaries	37.2	37.2	38.5	36.3	33.3	30.3
VAT and other excise + dues/import	n.a.	n.a.	n.a.	15.9	16.8	16.7
Customs duties + dues/import	n.a.	n.a.	n.a.	9.6	12.2	9.5
Personal income taxes/personal income	6.9	7.1	7.7	7.4	8.2	8.3

Source: OECD and Ministry of Finance.

Successive budgets have increased allocations for tax audit and compliance functions, including provision in the 1996 budget for 3 000 new posts and a plan to train surplus educators to take these places.[16] Another recent policy initiative in this area subjects entrepreneurial income to presumptive minimum taxes in an effort to reduce what is considered to be widespread non-payment of tax from these sources. Similarly, a wide range of non-pecuniary, in kind incomes were made taxable in 1995. A new tax directive announced in December 1996 obliges self-employed business persons to report their revenues and expenses even if no tax is owing. The Ministry expects the measure to generate as much as 1.8 billion forints in additional revenues. The surprisingly small fall in real revenues following the halving of corporate tax rates in November 1995 suggests that the elasticity of revenues to falling tax rates may be small (see above).

III. Progress in structural reform: selected issues

The previous OECD *Economic Survey of Hungary* analysed a number of structural issues affecting the performance of the Hungarian economy. Some of these issues, as they impact on product-market competition, are discussed in the context of the discussion of the *OECD Jobs Study*, in Chapter IV. This chapter deals with three policy areas: the situation in the banking sector; the progress made in privatising state assets and the changing role of the state in the economy; and trade performance and trade policy. Progress has been substantial in all these areas, but the analysis identifies areas where further action appears to be needed.

The banking sector

The previous survey described and analysed the main measures taken by the government since the early 1990s to tackle the problems of the banking sector. In 1993, an independent audit concluded that eight banks, including three of the five largest banks in Hungary, were technically insolvent.[17] As discussed in the previous *Economic Survey of Hungary*, the government implemented a series of measures prior to 1994 (including loan consolidation, bank consolidation and bank recapitalisation) aimed at forestalling bank insolvency and providing for bad debts. In 1994, a final programme for coping with banks' bad debts, the so-called ''debt reconciliation'' (or ''debt consolidation'') programme was launched. It put in place procedures and structures that allowed the re-capitalised banks to come to terms with their debtors outside the bankruptcy framework. The government set a very tight deadline – June 1994 – for its completion, which was then extended to 30 June 1995. The previous *Survey* covered developments in the banking sector until approximately that date, concluding that despite recapitalisation, interest margins remained high, suggesting both a high level of costs and limited competition; it recommended that privatisation needed to be forcefully

pursued as a means of encouraging greater efficiency and reduction of costs. This section analyses subsequent developments and the main actions taken by the authorities to foster the development of an efficient banking system. It is organised as follows: first, the main elements of the programme[18] and the recent changes in the ownership structure of banks are presented; second, a brief assessment is given of the outcome of the programme, in terms of the health of the banking system; third, more recent institutional developments are reviewed; fourth, recent trends in lending and, more generally, in the establishment of a competitive banking sector are presented. The last section presents recommendations for further action.

Recent developments: from consolidation to privatisation

Through the 1994 bank-consolidation programme, the government recapitalised the banks by enlarging its equity position in some, and by providing subordinated loans to smaller ones. In return, banks transferred non-performing assets to newly-created bad-debt-workout departments in order to sell them, reach an agreement with the creditors, or write them off. By June 1995, the debtor consolidation scheme was successfully completed, although banks continued to improve their balance sheets by writing-off or selling some of the remaining bad loans. Overall, between 1994 and mid-1996, Hungarian banks either sold or wrote off 290 billion forints of bad debts, or 11 per cent of their total assets at the end of 1993. In addition, debts worth 19.5 billion forints were forgiven by banks, 6.6 billion forints were rescheduled, 3.9 billion were swapped for equity, and the state agencies in charge of managing state property purchased enterprise debt worth 5 billion forints from the banks. The quality of banks' aggregate balance sheet thus improved significantly (Table 10).

The successful completion of the bank- and debtor-consolidation plans paved the way for the privatisation of the major banks. By the end of 1996, the Hungarian banking sector was almost entirely privatised[19] (Table 11), although the state retained large minority stakeholdings in some of the largest banks. In particular, it remains a large minority shareholder of OTP, the National Savings Bank, with a 25 per cent+1 voting share[20] (Table 12). For the rest, effective control lies with private-sector investors.

Overall, the banking sector appears to be much more solid than at the time the previous survey was conducted, but some ''grey areas'' still remain,

Table 10. **Breakdown of outstanding bank debts by risk catagories**[1]

	31 Dec. 1993	31 Dec. 1994	31 Dec. 1995	31 Dec. 1996
Total loans (billion forints)	1 825.9	2 378.6	2 560.8	3 687.7
of which (in per cent)				
1. Problem free	70.9	78.0	83.1	89.0
2. Qualified				
a. To be watched	6.7	7.8	7.5	5.9
b. Substandard	2.9	2.1	1.7	1.0
c. Doubtful	6.1	3.6	2.6	1.3
d. Bad	13.4	8.5	5.2	2.9
Qualified/total loans (per cent)	29.1	22.0	16.9	11.0
Bad/Qualified loans (per cent)	46.1	38.7	30.7	25.9
Memorandum items:				
Total loans/assets (per cent)	71.1	80.1	72.2	84.7
Profitability[2]	–5.9	0.7	1.4	2.1
Provisions/total assets (per cent)	15.1	9.6	6.2	3.6
Loan provision requirements:				
To be watched: 0-10%				
Substandard: 11-30%				
Doubtful: 31-70%				
Bad: 71-100%				

1. Data do not include co-operative financial institutions. In recent years total assets of these institutions amounted to about 5 per cent of the entire financial system.
2. Defined as pre-tax profits as a percentage of total assets.

Source: National Bank of Hungary.

Table 11. **Ownership structure of the banking system**

Per cent of shared capital

	1993	1994	1995	1996
Domestic ownership, total	87.5	84.6	64.8	48.3
of which:				
Direct state ownership	68.8	67.3	43.2	5.0
Other companies	17.6	14.7	17.3	9.9
Private persons	1.1	2.6	4.3	3.4
Foreign ownership	11.6	14.9	34.7	48.3
of which:				
Banks, investment funds	11.4	14.3	31.4	45.2
Others	0.2	0.6	3.3	3.1
Preference shares	0.9	0.5	0.5	1.7
Own shares				1.7
Shared capital (billion forints)	253.3	289.3	211.9	205.6

Source: National Bank of Hungary.

Table 12. **Breakdown of banking sector by size and ownership**

	1993		1996	
	Number	Per cent of total [1]	Number	Per cent of total [1]
Large banks	7	79.4	7	68.7
Private	2	8.4	6	54.5
State	5	71.1	1	14.2
Medium-sized banks	8	11.1	10	20.1
Private	3	6.7	7	14.2
State	5	4.4	3	5.9
Small banks	25	9.5	24	11.1
Private	9	6.3	16	8.8
State	16	3.2	8	2.3
Total private	23	21.4	29	77.6
Total state	17	78.6	12	22.4

1. Percentage of total banking-sector assets.
Source: National Bank of Hungary.

especially with respect to the possible impact of increasing competition on bank balance sheets. Certain features of the regulatory system, especially the ability of the banks to define their own rules for loan-loss provisioning might, in principle, lead to a weakening of bank balance sheets,[21] even though foreign ownership and past experience should limit imprudent behaviour. As competitive pressures increase, bank supervision and regulation will need to play a stronger role. In this context, new legislation on the development of money and capital markets has been recently approved by parliament. The Act on Hungarian Banking and Capital Market Supervision merged the Institutes responsible for banking and securities and stock-market supervision into a single new supervisory authority, the *State Money and Capital Market Supervisory Board*. Furthermore, pursuant to the Act on the Issuing of Securities, Investment Services Securities and the Stock Exchange, starting from 1 January 1997 banks are allowed to trade in government securities both on their own account and as brokers (via subsidiary companies), although they are still forbidden to trade in corporate securities (except for privately-placed ones). This arrangement is expected to be transitory in the light of future EU membership, which will allow for the establishment of a ‘‘universal banking’’ system.

The third piece of legislation, the Act on Credit Institutions and Financial Undertakings, changes the system of licensing of financial institutions, sets new minimum registered capital requirements, and strengthens the independence of external auditors. It reduces the maximum share of a bank that can be held by an individual or the state from 25 per cent to 15 per cent (other credit institutions, insurance companies and investment funds are exempt from this limit) and strengthens supervision of financial service activities carried out by non-credit institutions.

The banking business now

After the clean-up, a cautious attitude prevails...

Providing a sound regulatory environment is just one step towards developing an efficient banking/financial system, although a very important one. The key question is whether banks are performing their role in mobilising resources and whether competition in the banking business is strong enough to guarantee an efficient allocation of credit. In this respect, the different programmes implemented by the government have brought about some significant changes, especially in the composition of banks' assets (Table 13). Banks have been successful in attracting household deposits, a ''cheap'' source of funding, but have chosen not to use these resources for extending long-term credits to enterprises. The maturity transformation ratio[22] has, in fact, fallen from 0.47 in 1993 to 0.40 in 1996.[23] There is a noticeable increase in the share of less risky assets, as short-term and riskless assets (defined here as short-term government bonds, loans to non-residents and deposits with the central bank) have increased from 17 to 23 per cent of total assets in the past four years. Total credits to enterprises provided by domestic banks[24] have declined in recent years, not just as a share of total assets (Table 13) but also in real terms (Figure 11). More recent data show an increase in both real credits and the share of loans in total assets but it is too early to say that there has been a reversal of trend.

Many factors may explain banks' prudent lending policy.[25] First, macroeconomic uncertainty, especially concerning inflationary trends, greatly affects the banks' lending policy, making them prefer shorter-term, and less risky, assets. Second, not all bank staff may yet possess the necessary skills to evaluate both the solvency of their clients (new profitable firms have not yet established a solid reputation, given their still short lives) and the viability of investment projects.

Table 13. **Assets and liabilities of the banking sector**

Per cent of total assets

	Assets		Liabilities	
	1993	1996	1993	1996
Own funds			7.4	10.5
Long term	**48.8**	**39.3**	**20.3**	**14.9**
of which:				
Central government	20.5	15.2	0.6	0.2
Enterprises	10.4	10.6	0.2	0.3
Households	7.5	3.6	3.9	2.8
Non-residents	1.8	0.3	3.3	4.6
Central bank	3.9	5.8	9.3	5.2
Interbank	0.4	0.3	0.4	0.6
Non-credit/securities	4.4	3.3	2.5	1.3
Short-term	**48.5**	**53.6**	**65.6**	**69.4**
of which:				
Central government	2.9	4.6	4.5	3.8
Enterprises	18.3	17.9	20.1	17.8
Households	0.3	0.3	22.3	26.8
Non-residents	2.4	5.0	4.3	7.6
Central bank	11.4	16.9	4.7	0.0
Interbank	2.7	4.0	4.6	6.5
Non-credit/securities	0.9	0.8	3.7	6.9
Other s.t. assets	9.7	4.1	1.4	
Other	**2.7**	**7.1**	**6.8**	**5.1**
Total assets (billion forints)	2 569.2	4 355.7		
Maturity transformation ratio[1]	0.47	0.40		

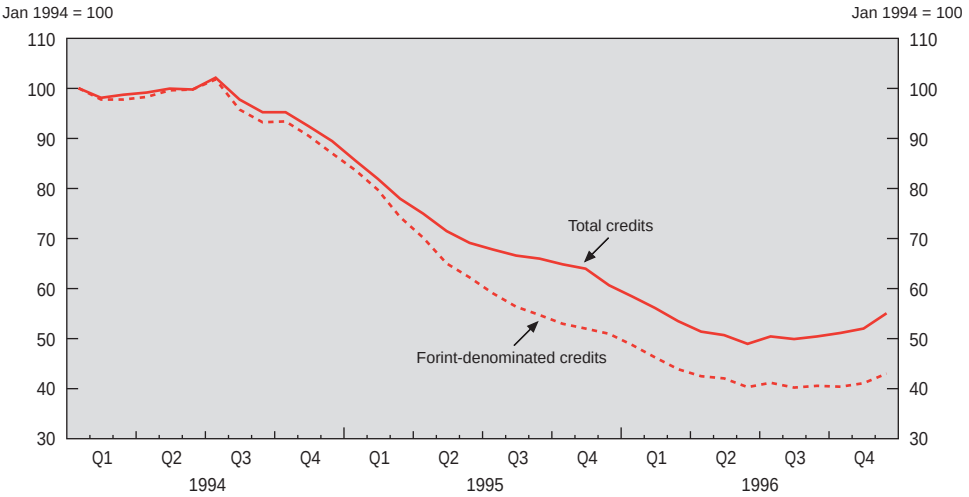
1. Defined as the ratio between long-term credits to enterprises and short-term household deposits.

Source: National Bank of Hungary.

Many thus prefer to avoid taking ‘‘unnecessary’’ risks. More importantly, however, declining enterprise credits may be the result of excessive collateral requirements, stemming from an underdeveloped mortgage market and poor maintenance of the property registry. Indeed, current collateral requirements are viewed by many potential borrowers as excessive. For some medium-sized enterprises, for example, collateral worth three times the amount of the loan is requested. Self-financing and foreign borrowing are, thus, the preferred options for those enterprises that can ‘‘afford’’ them. For others, especially small and medium-size enterprises, anecdotal evidence points to tax avoidance and retained earnings as important sources of funding.

Figure 11. **STOCK OF REAL CREDITS TO ENTERPRISES**

PPI-deflated indices



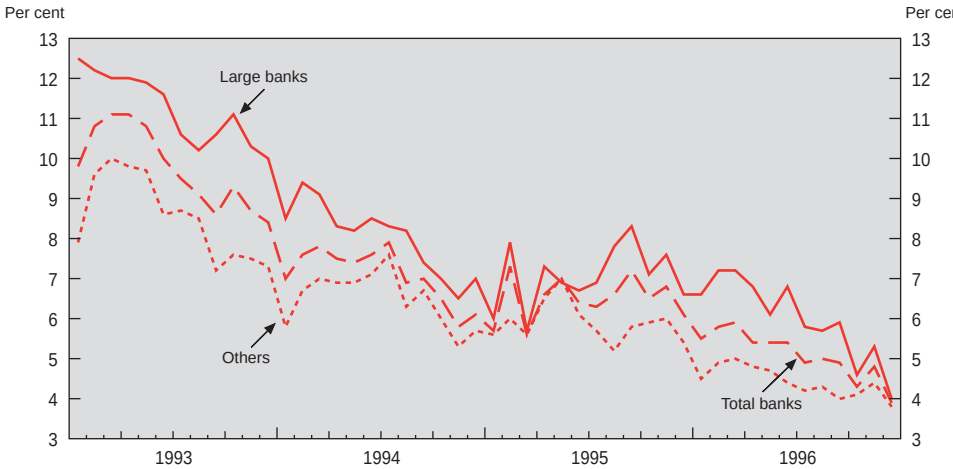
Source: National Bank of Hungary.

... while competition begins

Meanwhile, competition for customers is increasing in some segments of the market. Competition is now becoming more and more focused on the provision of services to depositors, as is the case in other OECD member countries. It is developing in the credit card and personal loans segments, especially for the purchase of cars.[26] The interest rate spread has been declining, but at a slower pace after the introduction of the March 1995 stabilisation package. The spread for larger banks has remained more or less constant since 1995, while smaller banks have reduced their spread by almost two percentage points (Figure 12). Despite the decline, the overall spread remains at between 5 and 6 per cent in recent months.[27] An analysis of the components of the spread indicates that it lies well within the spreads in other OECD members, but that the ‘‘weight’’ of the different components is strikingly different (see Annex II): taxation appears to play a bigger role than in other countries and administrative costs have shown a worrying progression. This could indicate that the process of organisational

Figure 12. **INTEREST RATE SPREADS**

Lending and deposit rates 1-year at most



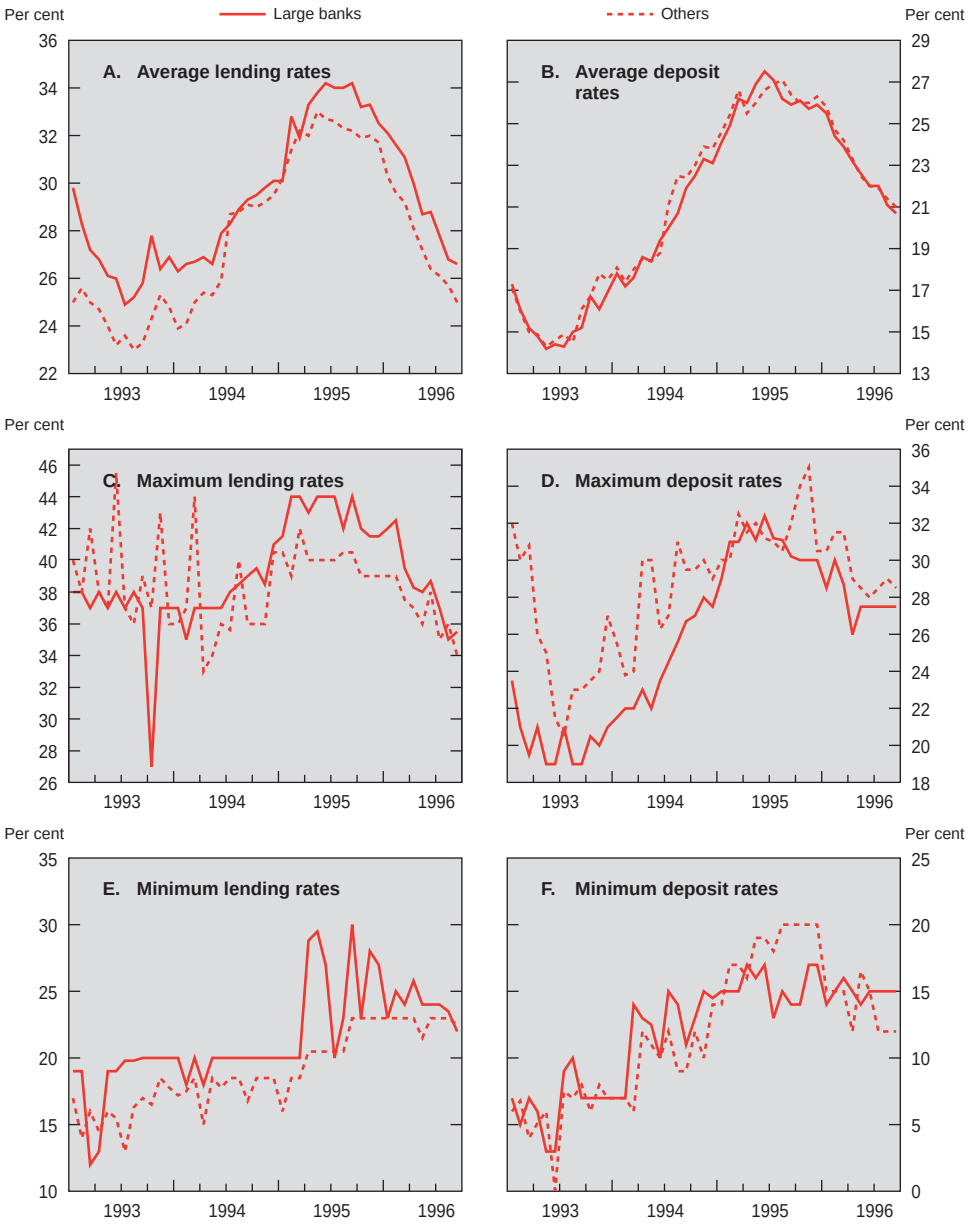
Source: National Bank of Hungary.

restructuring that is under way needs to be accelerated. The analysis of the components of the spread also shows the decreasing importance of provisions, together with the increasing role of other sources of income.

Thus far, the decline in the interest rate spread seems due more to increased competition in collecting deposits than in providing loans. Maximum deposit rates offered by smaller banks have been consistently higher than those offered by large banks and minimum rates have been much closer, although recent data show some divergence. Figure 13 shows the evolution of these rates in recent years. Competition is having its effect: the share of OTP, a monopolist in deposit collection until few years ago, has been significantly eroded (it now stands at slightly less than 30 per cent) and deposits are concentrated among a larger number of banks. The share of deposits of the five largest banks in total deposits has remained at around 60 per cent between 1992 and 1996, while that of the second five largest banks increased from less than 10 to 16 per cent in the same period.

An analysis of lending rates provides conflicting evidence on the extent of competition in this segment of the market. While the admittedly slow

Figure 13. **DISPERSION OF BANKING RATES**



Source: National Bank of Hungary.

convergence of average lending rates charged by large banks and by other banks points to an increase in competition, the lending rates charged to ''marginal'' customers suggest continued market segmentation. Judging by their higher maximum lending rates, large banks may still be exploiting their market power (or are perhaps burdened by higher costs than smaller banks). Smaller banks, many of which are foreign owned, could well be doing business with foreign companies or joint ventures, *i.e.* less risky clients,[28] since the minimum lending rates charged by smaller banks have been lower than those charged by large banks. Competition for prime clients, mostly foreign companies or joint ventures, is indeed fierce. The spread over LIBOR for foreign exchange credits to ''blue chips'' is at around 50 basis points (for loans in forints the spread is at about 150 basis points, but blue chips mostly borrow in foreign currency).

Hungarian banks, however, run the risk of being disintermediated. Local subsidiaries of foreign firms or joint ventures can easily and more advantageously borrow abroad or from their foreign parent company or partner. The National Bank of Hungary recently started to publish data on intercompany loans in 1996, the stock of which grew by 54 per cent in dollar terms. The increasing disintermediation of banks is much more evident if one considers that the stock of inter-company loans as a percentage of total bank credit to enterprise grew from 12.8 per cent to 17.4 per cent in 1996.

The challenges ahead

The improvements in the Hungarian banking sector since the previous review have been unprecedented and substantial. Bad loans do not burden banks' balance sheets as before and bank privatisation has progressed at unexpected speed: all banks now have capital adequacy ratios above 8 per cent and in the first half of 1996, only four small banks did not record a profit. The Hungarian banking sector is now among the healthiest in Central and Eastern Europe.[29] The problems and challenges which it now faces are small compared with those it faced two years ago. Some issues, nevertheless, remain to be addressed.

– The development of an efficient banking system is dependent on macroeconomic developments, especially with regard to inflation. Lower inflation and a prudent fiscal policy will lead to a decline in the whole structure of interest rates, an increase in banking activity, reduced crowding out and enhanced competitiveness. There also remains much to be

done at the micro level to improve the efficiency of banks and reduce their costs.

- High interest rate spreads suggest that competition is not yet fully developed.
- Competition is expected to increase due to the almost completed bank privatisation and a strong foreign presence, bringing about further consolidation. However, safeguarding clauses written into the privatisation contracts, such as in the case of Polgari Bank, may well delay, rather than speed up, bank-restructuring and could send the wrong signal to bankers, *i.e.* that the state is always ready and willing to rescue a bank in need rather than leaving it to market forces to tackle the issue.[30] Furthermore, there will be an increased financial burden for the state. In future privatisations of small and medium-sized banks, state buy-back clauses should be avoided, or, at least, be made public when the contract is finalised.

Perhaps most important, credits need to become more readily available. While the prudence of bank managers is understandable, unless bank credit becomes more available economic growth could be compromised, especially since the ''safety valve'' provided by tax avoidance cannot be expected to continue indefinitely. In this respect, new laws on building societies and on mortgages, expected to be approved by parliament in 1997, are welcome. In most countries, real estate is the most widely used form of collateral, both for households loans and for seed-capital loans to small entrepreneurs. The law on mortgages will allow for an increased mobilisation of resources. However, its impact could be blunted by other laws and by bureaucratic inefficiencies. In particular, under current regulations, it is basically impossible to take possession from a delinquent debtor, which reduces the value of real-estate collateral, and there is a long delay between the time a real-estate transaction is carried out and the time it is recorded in the property registry, which makes verification of ownership difficult.[31] Actions to increase creditors' rights should be taken by the authorities.

Privatisation

At the time of the previous *Survey* the credibility and transparency of the privatisation programme had been called into question. Several highly-publicised

cases had raised questions as to the authorities' commitment to privatisation and created a perception that decision-making was discretionary and not rule-based. With the enactment of a new privatisation law in May 1995, a transparent legal framework was created to implement the government's privatisation strategy and the accompanying institutional change. The pace of privatisation in Hungary in 1995 and 1996 was impressive. According to officials of the Ministry of Industry, Trade and Tourism, by the end of 1996, 60 to 70 per cent of GDP originated in the private sector. Telecommunications, gas distribution, the banking sector and almost all of the viable industrial sector were privatised. Tasks to be completed in 1997 include the further privatisation of the energy sector and the privatisation of a number of minority holdings and of companies listed in the Privatisation Act but not yet privatised.

The process of privatisation in 1995-96 was not accomplished without difficulty and a number of errors were made, from which useful lessons for the future can be drawn. Although the process of privatisation *per se* is nearly over, a number of ''clean-up'' tasks need to be completed and the authorities need to turn their attention to the regulatory and legal environment in which private firms and private monopolies operate in order to ensure that society reaps the maximum benefit from these new market structures. This section concentrates on these issues and is organised as follows: first, recent developments are briefly presented; second, some problems in the privatisation process that are still effecting the economy are analysed; third, the main actions that remain to be taken in this field are outlined and, finally, the main issues concerning the future role of the government as regulator of ''natural monopolies'' are presented.

1995 was a very important year for the privatisation process...

The privatisation law of May 1995 laid the basis for a speedier privatisation of state assets.[32] In a welcome departure from the past, implementation of the law was swift. Total revenues in 1995 in forints amounted to more than three times those recorded in 1994 (Table 14). The two state holding companies that had been in charge of privatising and managing state assets (SPA and HSHC) were merged into a new entity, the Hungarian Privatisation and State Holding Company (ÁPV Rt.), which became immediately operational with sole responsibility for the management and sale of state assets. The previous *OECD Economic Survey of Hungary* expressed concern that several aspects of the new strategy

Table 14. **Privatisation revenues**

Billions of forints

	1993	1994	1995	1996	TOTAL
Cash:					
Foreign currency	110.7	11.0	411.5	92.6	691.8
Forints	23.0	35.4	35.4	40.3	164.9
Privatisation loans in HUF	21.7	29.3	4.0	2.4	67.5
Privatisation loans in forex	0.0	16.8	0.0	0.0	16.8
Compensation coupons	14.6	64.2	30.2	40.6	151.8
Total	**169.9**	**156.7**	**481.0**	**176.0**	**1 092.8**
Billions of dollars	1.85	1.49	3.83	1.14	8.31
Exchange rate (HUF/$)	92.00	105.13	125.70	155.00	

Source: APV Rt.

could have slowed down privatisation especially the legally admitted interference of additional parties (unions, local governments, ministries) and the use of non-pecuniary clauses in sale contracts (*e.g.*, employment protection clauses or investment commitments). Although these issues did arise and slow individual privatisations, and may have meant that some details were structured in a peculiar fashion, they did not prevent the overall objectives of the strategy from being achieved.[33]

Direct sale was the preferred method for disposing of state assets. While much of the revenue from privatisation was used for the anticipated reimbursement of foreign debt, with significant fiscal benefits, the more economically important result of the process was that a large number of enterprises operating in key economic sectors were brought into the competitive sector:

- a majority share in MOL, the oil and gas conglomerate, was sold to domestic and foreign investors;
- five gas distribution companies were privatised, minority stakes (just below 50 per cent) in electricity distribution companies and in two non-nuclear power generators were sold to foreign investors;
- an additional 40 per cent stake in MATAV, the telecommunication company, was sold, bringing its private shareholding to about 70 per cent.[34]

Hungary is now well ahead of many other OECD members in privatising utilities and has already put in place a gas and electricity distribution framework that will

require no or little change to comply with EU regulations regarding competition in these sectors. With the privatisation of utilities, the government is expected to play an important role in regulating the activities of private suppliers of gas and electricity.

Unavoidably, after the record sales in 1995, privatisation revenues were down in 1996. Nevertheless, a number of important transactions were completed or initiated, including the sale of MHB and of the HungarHotel hotel chain. Opportunities for further quick sales are reduced, as a number of the remaining state-owned assets will be difficult to privatise without additional restructuring. Others will probably remain in state hands until liquidated. The pace of liquidation activity slowed in recent years, largely because the bulk of liquidations took place in 1992-93. In 1996, 33 companies were liquidated, bringing the total since the beginning of the transition effort to 650. It has been recognised that liquidation is a lengthy process taking about three years to be completed, and that bankruptcy is a more efficient way of disposing of unprofitable companies.

... but issues remain to be solved

Despite improvements with respect to the transparency and predictability of privatisation since the creation of ÁPV Rt., the decision-making process in the field of privatisation is still sometimes opaque. A series of judicial and political developments arose during 1996 that reflect lack of transparency in the privatisation process, including the compensation of local governments for privatised land. The previous *Survey* stressed that conditionality (*i.e.* requiring investors to undertake further investments and to present a business plan which will be crucial in the decision on whom to sell the enterprise) reduced transparency. In many cases, the business plan of prospective new owners still appears to have been a major determinant in the decision of whether and to whom to sell enterprises. The inability of the authorities to provide objective and quantitative explanations for the choice of one proposal over another – or for the rejection of all choices – inevitably leaves the decision and the process open to charges of arbitrariness (whether or not they are founded) and reduces the credibility and legitimacy of the process in the eyes of both the general public and of potential investors.

Amendments to the privatisation law, recently approved by parliament, tackle these problems. The main new provisions are:

- The ÁPV Rt. has to accept any reasonable offer, even if there is only a sole bidder and to re-tender unsold companies within 90 days if the first tender does not succeed.
- Sales can only be blocked by the ÁPV Rt. board of directors with a two-thirds majority.
- A written memorandum of all important privatisation decisions must be made available to the public.
- Tender conditions cannot be changed after the tender process begins.

While these changes increase communication between the ÁPV Rt. and the general public, some ambiguity rests as to the criteria which the ÁPV Rt. may use to deem an offer ''reasonable''.

The issue of compensating local authorities for privatised land may impose a severe financial burden on the ÁPV Rt. At the beginning of 1996, total claims amounted to 110 billion forints. In some cases, local authorities have been compensated through the transfer of shares in the enterprise, in other cases cash payments were made. At the end of 1996, the ÁPV Rt. agreed to transfer about 20 billion forints of ÁPV Rt.-held shares in the five regional gas supply companies (privatised in 1995 and 1996) to local authorities. Earlier in 1996, around 28.5 billion forints were paid by the ÁPV Rt. to local councils for their shares in the privatised electrical supply companies. In 1997, the ÁPV Rt. will transfer about 40 billion forints to local governments (either in cash or in shares) and an additional 30 billion will be transferred to companies that are entitled to 20 per cent of what the state received for their privatisation.[35] Extra-budgetary transfers to the social security funds were another substantial obligation of the ÁPV Rt. In 1996, it was agreed that the ÁPV Rt. would transfer the equivalent of $400 million worth of real-estate and securities to the two social security funds in 1996 and 1997. Although the funds were originally to receive assets worth about $2 billion, subsequent legislation reduced ÁPV Rt. liabilities to the present sum. The transfer of shares will account for about ninety per cent of the amount, the rest being in real-estate assets.[36]

Two important issues that remain to be addressed are the divestment of minority stakes in companies where the law does not require the ÁPV Rt. to maintain shareholdings and the management of those enterprises where the ÁPV

Rt. has either the majority of shares or a ‘‘golden share’’. As of the end of 1996 the ÁPV Rt. held stakeholdings in 493 companies, with a combined participation of about 50 per cent of the total equity (about 15 per cent of 1996 GDP) (Table 15). Approximately one-third of these assets belong to eighty-nine companies in which the ÁPV Rt. is required to maintain either majority or minority shareholdings, so-called ‘‘long-term state assets’’. Employment in these firms exceeds 100 000, or 3 per cent of total employment. Furthermore, ÁPV Rt. and/or other government agencies or ministries have a ‘‘golden share’’ in a number of companies, some of them being long-term state assets, some others being fully ‘‘privatised’’.

The management of ÁPV Rt. is committed to selling its minority shareholdings, amounting to about 130 billion forints, as rapidly as possible. The rest of privatisable assets must be sold by the end of 1997 but this may prove too ambitious a target, since many of these assets still need extensive restructuring. For example, no adequate buyer could be found for the three remaining state-owned conventional power generators (Pecs, Vertes, and Bakonyi). The ÁPV Rt. continues to pursue its efforts to sell these three generators through bilateral negotiations with potential investors. In case of failure, the unsold companies will be separated from MVM Rt. in order to facilitate the privatisation of MVM Rt. itself. The unsold generators will remain in the portfolio of the ÁPV Rt. and the development projects linked to them will be tendered to strategic investors.

With the completion of privatisation, the role of ÁPV Rt. will have to change. Preserving and managing state assets which are not slated for privatisation is already a responsibility of ÁPV Rt., but this has been overshadowed by the privatisation effort so far. The time has now come to re-define the mission of the agency as far as minority shareholdings are concerned. Two, quite different, options are being debated: either maintaining the agency as a sort of investment fund (the ‘‘treasury’’ model) or transforming it into a conglomerate, with representatives of ÁPV Rt. being fully involved in the management of the companies (the ‘‘holding’’ model). Authorities have not yet decided which model to choose, but a ‘‘treasury’’ model would be preferable since it would minimise political interference in the conduct of companies. Whatever ‘‘model’’ is chosen, the resources of ÁPV Rt. should not be used to bail out industrial enterprises or banks facing difficulties, as too often happens in other member countries.

Table 15. **Companies managed by the Privatisation Agency (APV Rt.), 1996**

Billion forints

Sector	Number	Total		APV Rt. share		Long-term APV Rt. share		Share to be privatised	
		Equity	Subscribed capital	Equity	Subscribed capital	Equity	Subscribed capital	Equity	Subscribed capital
A. Agriculture	57	66.61	36.43	58.22	29.99	47.28	23.09	10.94	6.90
B. Fishing	2	1.30	0.66	1.30	0.66	0.73	0.34	0.57	0.32
C. Mining and quarrying	3	12.55	10.49	12.05	10.15	0.00	0.00	12.05	10.15
D. Manufacturing	188	611.62	354.43	309.56	159.85	78.34	32.31	231.22	127.55
E. Electricity, gas, and water supply	23	869.25	844.47	380.49	373.95	122.44	124.80	258.05	249.15
F. Construction	17	10.85	7.50	4.33	2.93	0.00	0.00	4.33	2.93
G. Wholesale and retail trade	83	64.62	48.82	34.77	24.29	5.16	3.01	29.61	21.28
H. Hotels and restaurants	25	28.55	19.90	5.30	3.62	0.00	0.00	5.30	3.62
I. Transport, post and telecommunications	44	261.16	145.13	107.98	61.42	70.42	38.18	37.56	23.25
J. Financial intermediation	8	74.78	50.06	29.19	17.79	10.99	7.00	18.20	10.79
K. Land and buildings	28	36.56	39.62	26.20	29.18	2.24	1.49	23.96	27.69
M. Teaching	2	0.05	0.05	0.01	0.01	0.00	0.00	0.01	0.01
O. Others	13	2.06	3.28	0.97	2.13	0.00	0.00	0.97	2.13
Total	**493**	**2 039.96**	**1 560.88**	**970.37**	**715.98**	**337.60**	**230.21**	**632.77**	**485.77**

Source: APV Rt.

The challenges ahead

The most important long-term objective of a privatisation programme is to increase the efficiency of the economy. Privatisation *per se* is not sufficient to achieve this goal if other measures are not taken to allow the discipline provided by the market to increase efficiency and transfer this efficiency gains to consumers. In this respect, the Hungarian experience, so far, raises some doubts. To begin with, questions remain concerning the enforcement of a genuine hard budget constraint. Many enterprises have been liquidated or declared bankrupt but there still seems to be a case by case approach when enterprises are facing problems.[37] ÁPV Rt. can legally take responsibility for restructuring companies on the brink of liquidation and has already intervened to avoid the initiation of bankruptcy procedures for two privatised companies by re-nationalising them. In December 1996 the Ministry of Finance re-nationalised a previously privatised bank that was in difficulty.[38] Despite the progress made in privatisation, there still appears to be some resistance to carrying out the restructuring necessary in the case of some large companies. ÁPV Rt. bought back a company that had been previously privatised and was on the verge of liquidation, and also played a role in rescuing two companies that were involved in the debt-reconciliation programme, apparently motivated by the desire to avoid large-scale layoffs.

A coherent and stable legal framework is also needed if the market is to function efficiently. This does not seem always to be the case in Hungary. In the case of telephone tariffs, for example, although the formulae used for determining some tariffs contain efficiency provisions, these were not invoked, and firms were allowed to increase prices by the full amount of inflation. In the case of energy prices, a wide range of costs were excluded from the calculation of price hikes.[39] Such inconsistency in the application of laws and regulations is detrimental to the development of entrepreneurial activities.

A rationalisation in the number of, and the rights attached to, golden shares also appears to be necessary. The government, through the ÁPV Rt., has maintained a golden share (in some cases together with sizeable participations) in a number of cases. The motivations for holding golden shares and the rights attached to them cover a wide spectrum, including the maintenance of traditional brand names and the wish to ensure that the company's strategy is agreed upon with the state (Table 16). Possession of a golden share by the government is not uncommon in other OECD member countries, normally in natural monopolies,

Table 16. **Rights attached to the state's golden shares in energy companies**[1]

Special rights
Right to appoint/recall members of the Board of Directors and of the Supervisory Board
Right to convene the general shareholders' meeting
Right of veto
In case of modification of any article of the funding charter
In case of transfer of strategic assets
In case of merger, de-merger, acquisition by another company, change in the legal form of the company
In case of closing down an activity of strategic importance
Waiver of the exclusive right to supply[2]

1. MOL, electricity supply companies, power generation companies, OVIT.
2. In the case of the electricity distribution firms only.

Source: APV Rt., Ministry of Industry, Trade and Tourism.

such as the energy and telecommunications sectors. What is peculiar to Hungary is the large number of golden shares and their wide dispersion, including not just energy and telecommunications but also firms in the manufacturing and food-processing sectors.

Trade specialisation and trade policy

Changes in trade specialisation have been impressive...

Since 1990, the volume of Hungary's international trade in goods and services has expanded by just under 40 per cent. Trade with ''western'' countries has doubled. The opening up of the domestic market to international competition exposed domestic producers to world prices and provoked a substantial change in the structure of Hungarian trade as domestic comparative advantages and disadvantages were revealed. Both exports to and imports from western economies, and in particular those to and from the European Union, increased dramatically (Table 17). The composition of trade also changed. In 1985, exports of meat and petroleum oils accounted for about a fifth of total exports to OECD countries; in 1995, the main exports items were meat and electrical machinery and apparatus which accounted for 8.5 per cent of total exports. Revealed comparative advantage (RCA) provides a better indication of the changes in Hungary's trade specialisation. Although some elements of comparative advantage remain unchanged (such as a comparative disadvantage in motor-vehicle production)

Table 17. **Geographical breakdown of trade flows**

Per cent of total

	1985	1989	1995
Exports			
Market economies	39.6	52.7	73.4
EU	15.7	24.8	62.8
Non-market economies [1]	60.5	47.3	24.4
Eastern European countries	47.9	35.7	20.0
Total ($ million)	8 267.1	9 605.3	12 867.0
Imports			
Market economies	44.3	55.7	76.0
EU	21.8	29.0	61.5
Non-market economies [1]	55.8	44.4	24.0
Eastern European countries	44.2	33.1	22.1
Total ($ million)	7 846.3	8 819.2	15 466.3

1. As of 1989, including countries in transition.
Source: Statistical Yearbook of Hungary.

others have changed dramatically and reflect progress up the chain of value added. For example, in 1989, Hungary's revealed comparative advantage in its trade with the OECD area was in the categories of bovine animals and petroleum oils; in 1995, it was in edible meat and women's clothing. Only seven of the top twenty export items were in both the 1985 and in 1995 rankings (Table 18), manufactured goods now representing the majority of the items. Among imports a similarly important change can be observed.[40]

The variety of products exported increased and export concentration declined. The Hirschman's concentration index of exports fell from 0.17 to 0.13 between 1985 and 1995. Imports were already more diversified than exports due to the fairly liberal import policy under the previous regime: the concentration index has remained constant at around 0.11 during the past ten years (see Table 19 for a comparison with other countries). Increased export and import diversification also brought about an increase in intra-industry trade (Table 20).

Table 18. **Revealed comparative advantages**[1]

SITC Rev. 2	Revealed advantages (1985)	RCA	Export share	Cumulative share
11	Meat of bovine animals, fresh, chilled or frozen	9.25	9.35	9.35
334	Petroleum oils or bituminous minerals > 70 per cent oil	6.29	9.29	18.63
843	Men's or boys' clothing, of textile, knitted or crocheted	3.17	3.38	22.01
14	Meat and edible meat offal, prepared or preserved, n.e.s.; fish extracts	2.63	2.63	24.64
511	Hydrocarbons, n.e.s., and halogenated, nitr. derivative	2.41	3.23	27.87
1	Live animals other than animals of division 03	2.39	2.45	30.32
684	Aluminium	2.15	2.40	32.72
291	Crude animal materials, n.e.s.	2.00	2.10	34.82
562	Fertilisers (other than those of group 272)	1.93	2.30	37.12
335	Residual petroleum products, n.e.s., related matter	1.85	1.92	39.04
842	Women's clothing, of textile fabrics	1.79	1.93	40.97
58	Fruit, preserved, and fruit preparations (excluding juice)	1.26	1.31	42.27
54	Vegetables: roots and other edible vegetable products	1.18	1.28	43.56
423	Fixed vegetable oils, ''soft'', crude, refined or purified	1.15	1.16	44.71
287	Ores and concentrates of base metals, n.e.s.	1.14	1.26	45.98
341	Gas, natural and manufactured	1.08	1.08	47.05
851	Footwear	1.02	1.61	48.65
672	Ingots, primary forms of iron or steel; semi-finished	0.99	0.99	49.65
821	Furniture and parts; bedding and similar stuffed furniture	0.95	1.26	50.92
845	Articles of apparel, of textile fabrics, n.e.s.	0.90	1.18	52.09

SITC Rev. 2	Revealed advantages (1995)	RCA	Export share	Cumulative share
12	Other meat and edible meat offal	4.05	4.53	4.53
842	Women's clothing, of textile fabrics	3.30	3.75	8.28
684	Aluminium	2.74	3.57	11.85
841	Men's clothing of textile fabrics, not knitted	2.32	2.70	14.55
778	Electrical machinery and apparatus, n.e.s.	2.02	4.02	18.57
673	Flat-rolled prod., iron, non-alloy steel, not coated	1.90	2.19	20.76
851	Footwear	1.86	2.86	23.63
334	Petroleum oils or bituminous minerals > 70 per cent oil	1.70	2.40	26.02
845	Articles of apparel, of textile fabrics, n.e.s.	1.55	2.44	28.47
821	Furniture and parts; bedding and similar stuffed furniture	1.05	2.24	30.70
1	Live animals other than animals of division 03	0.99	1.05	31.75
571	Polymers of ethylene, in primary forms	0.97	1.28	33.04
54	Vegetables; roots and other edible vegetable products	0.97	1.15	35.15
17	Meat, edible meat offal, prepared, preserved, n.e.s.	0.96	0.97	35.15
222	Oil seeds and oleaginous fruits (excluding flour)	0.83	0.98	36.13
282	Ferrous waste, scrape; remelting ingots, iron, steel	0.82	0.83	36.96
658	Made-up articles, of textile materials, n.e.s.	0.79	0.99	37.95
844	Women's clothing, of textile, knitted or crocheted	0.76	1.14	39.09
635	Wood manufacture, n.e.s.	0.76	0.89	39.89
784	Parts and accessories of vehicles of 722, 781, 782, 783	0.73	2.07	42.05

Source: OECD.

Table 18. **Revealed comparative advantages**[1] *(cont.)*

SITC Rev. 2	Revealed disadvantages (1985)	RCA	Export share	Cumulative share
728	Other machinery for particular industries, n.e.s.	–2.71	2.95	2.95
651	Textile yarn	–2.66	2.97	5.93
598	Miscellaneous chemical products, n.e.s.	–1.91	2.14	10.42
749	Non-electric parts and accessories of machinery, n.e.s.	–1.61	2.41	12.83
514	Nitrogen-function compounds	–1.52	2.05	14.88
323	Briquettes; coke and semi-coke of coal, lignite or peat; retort carbon	–1.49	1.49	16.37
724	Textile and leather machinery, and parts thereof, n.e.s.	–1.45	1.53	17.89
745	Other non-electrical machinery, tools and mechanical apparatus	–1.44	1.52	19.42
582	Plates, sheets, films, foil and strip, of plastics	–1.38	1.43	20.84
874	Measuring, analysing and controlling apparatus, n.e.s.	–1.36	1.58	22.43
772	Apparatus for electrical circuits; board, panels	–1.21	1.44	23.87
741	Heating and cooling equipment and parts thereof, n.e.s.	–1.20	1.33	25.20
611	Leather	–1.15	1.46	26.66
533	Pigments, paints, varnishes and related materials	–1.15	1.26	27.92
653	Fabrics, woven and man-made	–1.11	1.48	29.40
583	Monofilaments of plastics, cross-section > 1mm	–1.05	2.47	31.87
721	Agricultural machinery (excluding tractors) and parts	–1.03	1.07	34.57
663	Mineral manufactures, n.e.s.	–1.03	1.07	34.57
723	Civil engineering and contractors' plant and equipment	–1.00	1.30	35.87
695	Hand and machine tools	–1.00	1.13	37.00

SITC Rev. 2	Revealed disadvantages (1995)	RCA	Export share	Cumulative share
781	Motor vehicles for the transport of persons	–2.98	3.08	3.08
542	Medicines (including veterinary medicines)	–2.79	3.08	6.15
641	Paper and paperboard	–2.24	2.57	8.72
752	Automatic data processing machines, n.e.s.	–1.83	1.89	10.62
782	Motor vehicles for transport of goods, special purpose	–1.62	1.74	14.10
653	Fabrics, woven and man-made	–1.45	1.74	12.36
642	Paper and paperboard, cut to shape or size, articles	–1.24	1.52	15.62
728	Other machinery for particular industries, n.e.s.	–1.10	1.55	17.17
611	Leather	–1.10	1.50	18.67
745	Other non-electrical machinery, tools and mechanical apparatus	–1.03	1.20	19.87
791	Railway vehicles and associated equipment	–1.01	1.09	20.96
741	Heating and cooling equipment and parts thereof, n.e.s.	–0.94	1.03	23.32
654	Other textile fabrics, woven	–0.94	1.03	23.32
874	Measuring, analysing and controlling apparatus, n.e.s.	–0.93	1.35	24.67
533	Pigments, paints, varnishes and related materials	–0.91	1.01	25.68
792	Aircraft and associated equipment; spacecraft, etc.	–0.75	0.81	26.49
743	Pumps (excluding liquid), gas compressors and fans	–0.73	1.20	27.69
893	Articles, n.e.s., of plastics	–0.69	1.40	29.08
553	Perfumery, cosmetics or toilet preparations (excluding soaps)	–0.67	0.69	29.77
657	Special yarn, special textile fabrics and related	–0.65	0.88	30.65
776	Cathode valves and tubes; diodes; integrated circuits	–0.61	0.88	31.53

1. The revealed comparative advantage index (RCA) is calculated as follows: RCA(i) = {X(i)/XTOT} – {M(i)/MTOT}* 100.
where:
i = good/commodity category, 3-digit SITC Rev.3;
X(i) = total exports of good/commodity ''i'' to the OECD area;
XTOT = total exports to the OECD area;
M(i) = total imports of good/commodity ''i'' from the OECD area;
MTOT = total imports from the OECD area.
This indicator has the advantage that the sum of RCAs for any given level of product classification is equal to zero an d is bound between 100 and –100, thus facilitating international comparisons.

Source: OECD.

Table 19. **Concentration indices for exports and imports**[1]

	1985	1989	1995
Hungary			
Imports	0.11	0.11	0.11
Exports	0.17	0.14	0.13
Austria			
Imports	0.12	0.12	0.12[2]
Exports	0.11	0.12	0.11[2]
Greece			
Imports	0.14	0.12	0.11[2]
Exports	0.20	0.19	0.18[2]
Portugal			
Imports	0.13	0.12	0.12
Exports	0.16	0.18	0.17

1. The Hirschmann concentration index (H) is computed as follows:
$H = \sqrt{\Sigma_i g_i^2}$
where g_i is the ratio between exports of good ''i'' (at the 3-digit SITC level) and total exports. If H = 1, there is complete export concentration, *i.e.*, the country exports one good only.
2. 1994.

Source: OECD.

Table 20. **Intra-industry trade indices**[1]

	1989	1994	1995
Hungary	**0.34**	**0.45**	**0.46**
Austria	0.59	0.62	n.a.
Greece	0.33	0.36	n.a.
Portugal	0.17	0.19	0.40
Czech Republic[2]	0.24	0.47	n.a.
Slovak Republic[2]	..	0.32	n.a.

1. The intra-industry trade index (III) is computed, at the 4-digit SITC level, as follows:
$III = 1 - \{\Sigma |X(i) - M(i)|\}/\{\Sigma [X(i) + M(i)]\}$
2. Trade with EU only. For 1989, the index refers to Czechoslovakia.

Source: OECD.

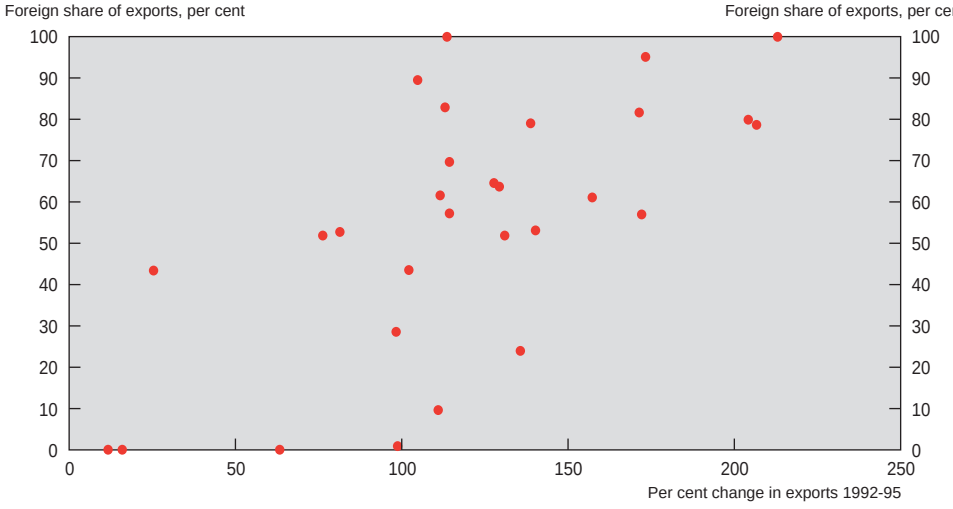
... with the help of foreign investments

The transformation of Hungary's trade patterns was substantially influenced by the process of privatisation and the large quantities of foreign direct investment attracted to Hungary during the 1990s. Among the Central and Eastern European economies, Hungary recorded the largest inflow of foreign direct

investments (FDI). The four sectors with the highest growth rate in exports were dominated by enterprises with a foreign partner (Figure 14), while three out of the four sectors with the lowest export growth rate do not have any export conducted by companies with foreign participation. Sectors with a strong foreign presence are also active in the domestic market, the correlation coefficient between the shares of domestic sales and exports of firms with foreign participation is 0.78 in the manufacturing sector.

Foreign direct investment also brought about an increase in ‘‘outward processing trade’’ (OPT) – the phenomenon by which a firm imports goods, adds value domestically, and directly exports the good – which plays an important role in Hungarian foreign trade.[41] External processing has become increasingly important for EU members, accounting for about 2.5 per cent of their total trade turnover (this percentage was slightly above 1 per cent in 1988). In recent years, the share of Central and Eastern European countries in the EU’s OPT has been around 45 per cent, with Poland and the Czech Republic being the most important partners. A recent study on European OPT[42] indicates that Hungary’s special-

Figure 14. **FOREIGN DIRECT INVESTMENT AND EXPORTS**



Note: Data derived from tax forms of double-entry book-keeping enterprises.
Source: Central Statistical Office.

isation is relatively concentrated in articles of apparel and clothing accessories. Much, though not all, foreign direct investment is located in custom-free zones, which are very easy to establish and not restricted to any one geographic area.

Export promotion policy is similar to other countries'...

Hungary pursues a fairly active export promotion policy, with some measures being particularly targeted to promote the export of particular agricultural goods or of the products of particular exporters. Many similar measures are taken by other member countries (Box 2). Agricultural subsidies have declined in recent years and Hungary is in the process of settling a dispute in this area under the auspices of the WTO.

... while imports still face constraints

Hungary has, in the past, attempted to limit competition from imports and to promote its own exports through a variety of means and is going through a process of trade liberalisation both in the context of multilateral bodies such as the GATT and WTO and numerous bilateral arrangements (Table 21). Abstracting from the import surcharge,[43] Hungarian tariff levels have been falling,

Box 2. **Export promotion measures**

Hungary implements the following measures to promote exports:

- Officially supported export credits (according to the OECD agreement).
- Other interest subsidies for SMEs that are not specifically aimed at promoting exports but that may result in export subsidisation: SMEs can obtain a loan of the maximum amount of 100 million forints, with a maturity of less than one year with a subsidy equal to 50 per cent of the interest payment.
- Import duty may be reclaimed by re-exporters, although this possibility will be reduced starting from 1 July 1997 following agreements with the EU and CEFTA on the determination of rules of origin.
- Preferential tax treatment to dynamic exporters: if a company invests more than 1 billion forints and its exports increase by at least 25 per cent then the corporate tax rate is halved.
- Agricultural price subsidies: like many other countries, Hungary developed a system for subsidising the export of several agricultural products and food items. In general, the higher the degree of transformation of the product, the lower the unit subsidy (with the important exception of meat products).

Table 21. **Uruguay Round commitments of Hungary: tariff reductions according to different categories of industrial products**

Commodity group	Average weighted duties	
	Pre-Uruguay Round	Post-Uruguay Round
Fish and fish products	8.1	8.1
Wood and paper	4.6	3.3
Textiles, clothing	12.5	7.8
Skins, footwear	9.7	6.6
Metals	6.5	4.5
Chemicals	7.3	4.5
Transport equipment	19.5	16.9
Non-electric machinery	11.1	7.5
Electric machinery	12.4	8.8
Minerals	3.3	2.5
Others	7.0	5.0
All industrial products	9.6	6.9

Source: OECD.

so Hungarian consumers increasingly have access to the products of other countries at world prices. On the other hand, some non- tariff barriers remain in place.[44] The global quota on consumer goods is probably the most important protectionist measure. The wide variety of goods covered by the quota (Table 22) suggests that industrial policy considerations play an important role in maintaining the quota. The quota is stated in value terms for most items and in quantitative terms for cars. Goods manufactured in the custom-free zones are subject to the quota.

In addition to new cars, imports of used cars under four years old are also subject to licensing, together with a tariff varying between 10 and 32 per cent, depending on the engine power and on whether the car is equipped with catalytic converter or not. Imports of older cars are forbidden, a prohibition ostensibly introduced as an environmental and safety measure: the existing stock of cars is very old (in 1995, 54 per cent of cars were 10 years old, or more). Apart from the fact that measures aimed at internalising the cost of pollution and of low safety could achieve environmental goals in a more efficient way, the combination of quantity restrictions on new car imports and high duties on the import of relatively new cars artificially limits supplies – and thus slows the rate at which the stock of existing, old cars is replaced. There are only two car manufacturers in

Table 22. **Global quotas on consumer goods**

$ million

	1995	1996
Household detergent	25	35
Footwear	65	70
Overwear	94	104
Second-hand clothing	27	29
Other clothing	65	71
Haberdashery products	17	17
Textile goods, carpets	43	47
Jewellery, precious metals	33	34
Fish, tinned fish	23	23
Other manufactured products [1]	126	133
Used cars and caravans [2]	53	55
New cars and caravans [2]	81	84
Total [3]	517	563

1. The following products are included in this category: souvenirs, hand-knitted carpets, jewellery, ornamental goods, etc.
2. In thousand units.
3. Excluding all cars and caravans.

Source: Ministry of Industry, Trade and Tourism.

Hungary and the smaller of the two operates in a custom-free zone and is therefore subject to the quota.

Systems of allocating import-quota licences precipitate rationing behaviour, especially for those goods, like ''luxury'' cars, whose demand is price-inelastic. Import quotas, not only for cars but for all the items listed in Table 22, are assigned according to the following method: 80 per cent of licences are allocated to last year's importers (on the basis of the previous year's actual imports), and 20 per cent to new importers (quotas are officially non-tradeable). Such a system restricts competition among importers. Quota-holders can sell goods at higher than international market prices and may monopolise quota-holding by re-selling imported goods to domestic distributors. The government should consider abolishing the quota as soon as possible. Its elimination is likely to be a condition of EU accession.

Summing up

The integration of the Hungarian economy in the world economy has been extensive and the re-allocation of resources to reflect its comparative advantages

is proceeding swiftly. The changes in geographical re-orientation and in the commodity composition of trade flows have been impressive. The favourable attitude of the authorities with respect to FDI allowed for a faster exploitation of the country's comparative advantages. Authorities are also playing an active role in promoting exports, along the lines followed by many other OECD members. Action appears to be needed in liberalising imports, most notably the global consumption quotas, which are used for purposes of selective industrial policy (*e.g.* the quotas on used and new cars).

The process of privatisation of industry and infrastructure is nearly complete, and, with the competition-law structure described in Chapter IV, has put in place a new ownership structure which should allow Hungary to exploit the benefits of a competitive enterprise economy. The improvements in the banking sector have also been remarkable. Banks are no longer burdened by bad debts, for the most part they are privatised, and are operating on a sound financial footing. Improvements in Hungary's trade performance and its expansion into OECD markets reflects these changes, in addition to those more directly governing the conduct of international trade.

Substantial progress has thus been made, and the pace of reform can slow as the economy adjusts to the new institutional framework. Indeed the policy imperative would now seem to be for the authorities to provide a stable macroeconomic framework so as to permit the full and effective play of market forces. Some regulatory issues remain to be tackled, however, requiring decisive action on part of the government.

- The law on mortgages should be accompanied by measure to protect and increase creditors' rights.
- State buy-back clauses in new privatisation operations should be avoided and similar clauses included in past privatisations should be disclosed to the public.
- Swift liquidation of state assets that are not economically viable should be pursued.
- The usefulness of existing ''golden-share'' clauses should be reviewed.
- The regulatory framework for natural monopolies needs to be revised.
- Remaining import quotas should be abolished.

Overall, the remaining agenda for structural reform, while of substantial significance for the future economic development of Hungary needs to be seen in

the context both of the progress already made and the need for sound macroeconomic policies to allow the full benefits of the reform to come through. In this respect, reducing inflation and creating a system of taxation which provides unbiased incentives for economic development are now of paramount importance.

IV. Implementing the OECD Jobs Strategy

Introduction

Prior to 1990, Hungary had very low recorded unemployment, while labour force participation and employment rates were high. Expenditure on social programmes to support the non-employed were, in consequence, low. These favourable aggregate statistics masked a number of serious problems in the form of low productivity, labour hoarding and involuntary employment. As the transformation to a market economy – which began in the mid-1980s – accelerated, large numbers of enterprises were revealed to be uneconomic and as they were shut down or restructured tens of thousands of jobs were destroyed. There was an initial and dramatic rise in registered unemployment from 0.9 per cent in the first half of 1990 to a high of 12.6 per cent in the first half of 1993. Since then, the registered-unemployment rate has been falling; it stood at 10.8 per cent in April 1997.

Perhaps more so than in other OECD economies, where inflation is lower and fiscal consolidation more advanced, macroeconomic policies in Hungary have a crucial role to play in establishing an environment that fosters the kind of stable and rapid growth necessary to stop the fall in employment that characterised the first six years of transition. The current high rate of inflation causes severe distortions which impede the efficient allocation of capital and labour so that a monetary policy stance which succeeds in establishing price stability is a pre-requisite of balanced growth. At the same time, a relatively tight fiscal policy, focusing on expenditure reduction, is needed to lower non-wage labour costs and reduce incentives to tax evasion and tax avoidance. In this regard, policies which reduce government entitlement expenditure and at the same time remove labour market distortions are the natural adjunct of structural policies aimed at improving performance in both labour and product markets.

This chapter follows up the general structural policy recommendations of the *OECD Jobs Study* with specific recommendations for Hungary. Its structure is as follows. The first section contains an overview of Hungarian labour market and employment performance over the past six years. The specific policy requirements to emerge from the study are discussed in the second part, while an assessment of the scope for further action is given in the final section.

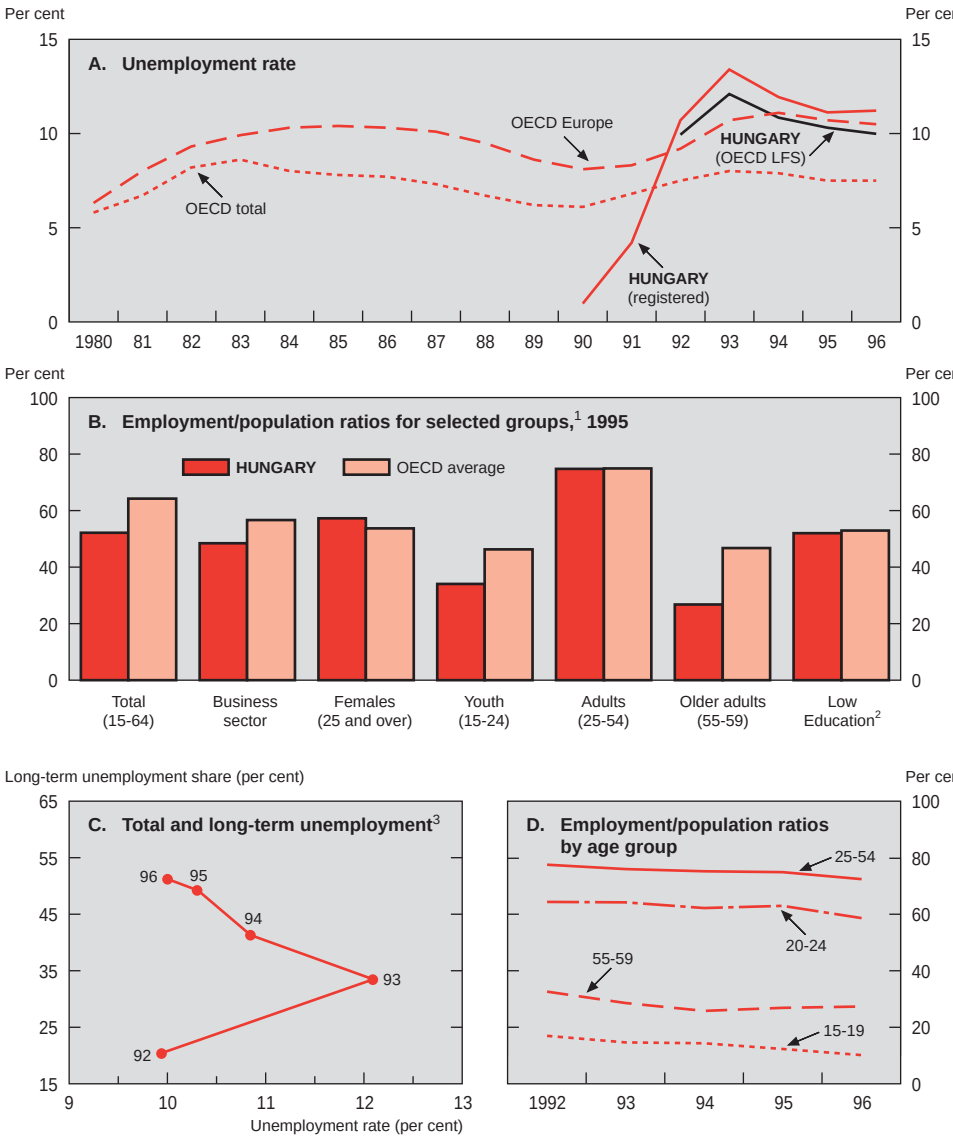
Labour market and employment performance

According to the OECD standardised definition, the unemployment rate in 1996 was 10.0 per cent as compared with OECD and European Union averages of 7.8 and 11.4 per cent respectively (Figure 15, Panel A). This unemployment rate, which is based on the Labour Force Survey (LFS), is the most reliable indicator of the rate of unemployment because it counts as unemployed only those who are looking for work (unlike the registered unemployment rate) and excludes from the count of the employed all individuals who are not working.[45] However, the registered unemployment rate, for which data are available over a longer time period, has to be relied upon for measuring unemployment trends.[46] This shows an increase from less than 1 per cent in the 1980s to a peak of 14.1 per cent in the first half of 1993 before falling to 10.8 per cent in April 1997. For more detail on the differences between labour-market measures, see Annex III at the end of this chapter.

Characteristics of employment and unemployment

The rise in the number of unemployed per job vacancy (Figure 16), suggests that the increase in measured open unemployment almost certainly coincided with a rise in structural unemployment. However, it will only be possible to discern the equilibrium characteristics of the Hungarian labour market when the pace of restructuring slows. Since the first LFS in 1992, the employment rate has fallen by 7 percentage points. However, this fall did not translate into a rise in unemployment because the participation rate fell by a similar amount (see Figure 17, Panel A). There were also important employment losses prior to 1992 but data problems make it difficult to judge their exact magnitude. Data on employment in registered enterprises indicate a loss of 673 000 jobs between 1980 and 1990 and a further 435 000 job losses in 1991. However, the reliability of these

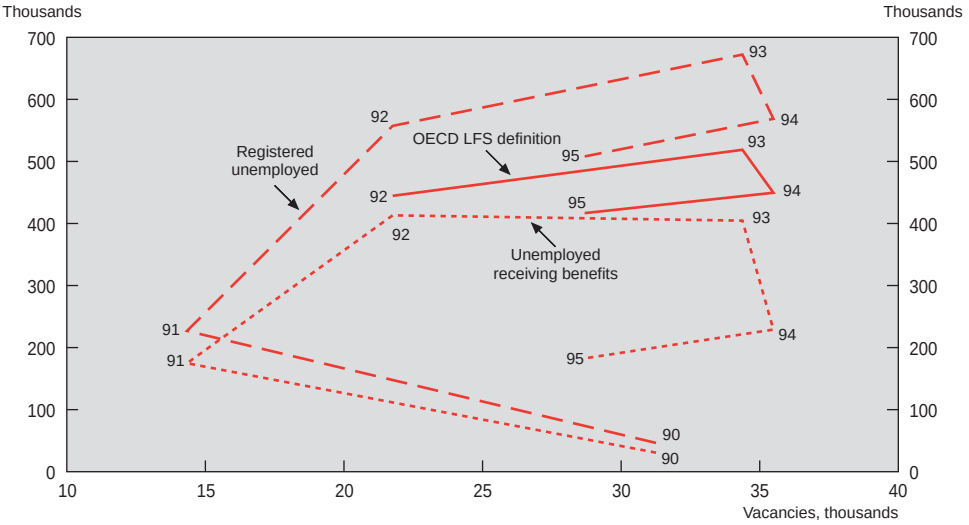
Figure 15. **LABOUR MARKET INDICATORS**



1. Defined as the percentage of each working-age population group.
2. For Hungary, individuals with less than secondary educational attainment but including those with vocational qualifications. For OECD average, individuals having completed less than the upper secondary education, 1994.
3. Long-term unemployment is defined as individuals looking for work for one year or more.

Source: OECD.

Figure 16. **UNEMPLOYMENT AND JOB VACANCIES**

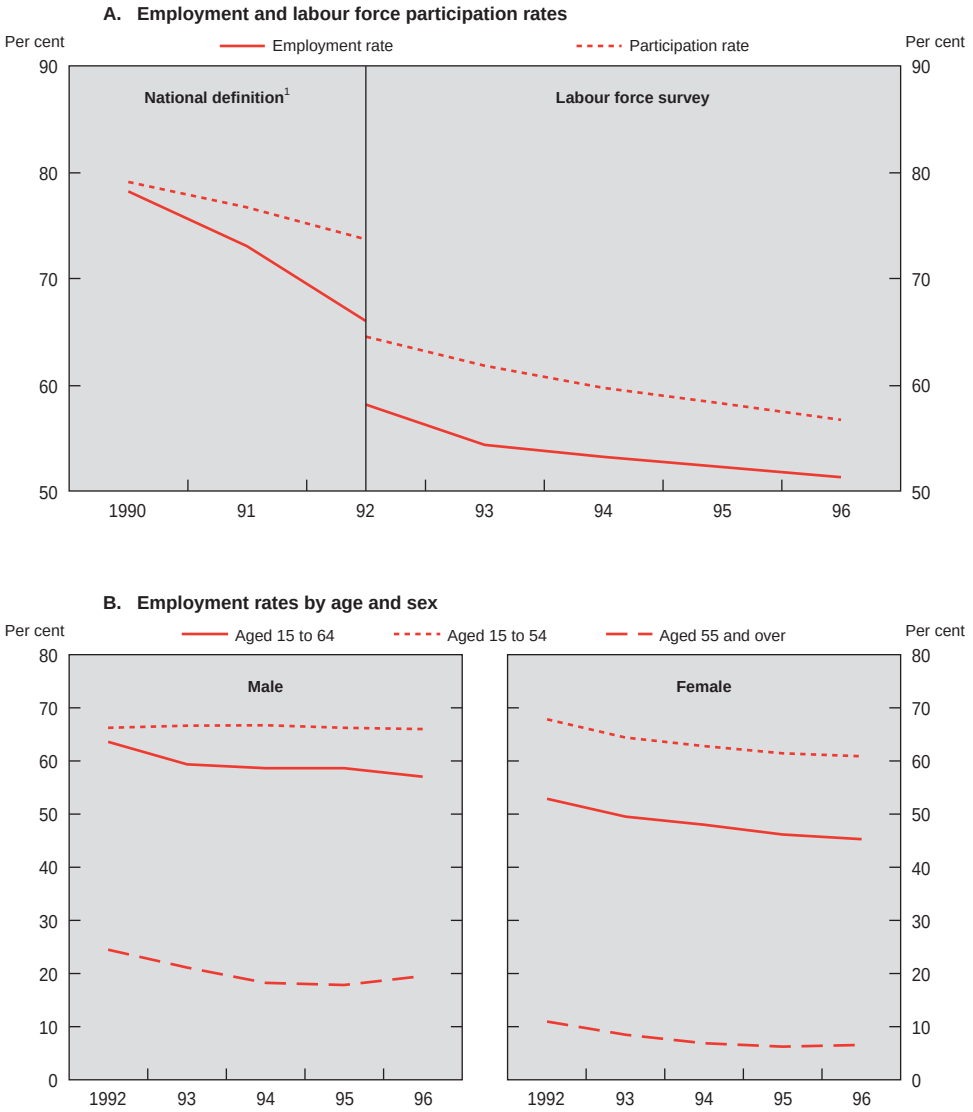


Source: OECD.

data is uncertain. In 1992 the LFS, which attempts to count all employees, reports fully 910 000 more employees than the enterprise survey for that year, and 290 000 more than in the enterprise survey records for 1991. Whatever its exact size, the extent of job loss during the first half of the 1990s was extensive, and its impact has not been shared evenly among economic sectors or demographic groups. Employment rates for men fell substantially, to 59 per cent in 1996, which is significantly below the OECD average of 66 per cent but close to the OECD Europe average of 60 per cent.[47] Female employment rates converged sharply to, and below, OECD average levels. They were 46 per cent in 1996, well below the OECD and European OECD averages. Employment losses were concentrated among older workers (over 55 years of age) whose employment rates, at 11.2 per cent in 1996, are among the lowest in the OECD. Youth employment rates are among the lowest in the OECD, although the fact that older youth rates are high suggests that this may not represent a serious problem. Employment rates for Hungarians between 25 and 50 years old are actually higher than those of similar age cohorts in most other OECD countries (Table 23), while

Figure 17. **EMPLOYMENT AND PARTICIPATION RATES**

As a per cent of working-age population



1. Persons on child-care leave and conscripts are considered economically active. The labour force is calculated as the employed plus the registered unemployed.

Source: OECD Labour Force Statistics.

Table 23. **Age-specific employment rates**[1]

Labour force survey data

Age group	**Hungary**	Germany	Spain	Sweden	United States	Austria
20-24	**62.9**	66.8	36.9	54.9	69.7	67.7
25-29	**79.1**	72.6	56.0	75.1	78.6	77.2
30-39	**78.9**	77.4	62.3	81.2	80.1	80.2
40-54	**71.1**	76.4	58.0	86.0	79.8	73.6
55-59	**26.8**	49.9	40.4	74.6	65.6	40.8
Total	**50.2**	**52.7**	**37.8**	**64.1**	**62.9**	**44.9**

1. Data are for 1995 except for Austria, 1994.
Source: OECD.

employment rates for the population 25-55 are, at 75 per cent, in the middle of the range observed among OECD countries. Despite large losses in aggregate employment over the past six years, the employment rate for males in this age group changed little over this period.

Employment losses have been unevenly shared among sectors in the economy. Sectoral employment rates (sectoral employment divided by the working-age population) actually increased between 1992 and 1996 in construction, financial services, health and education, public administration and other services. Losses were concentrated in the manufacturing sector, where net job losses were almost 3 per cent of the working-age population, and in the agriculture and mining sectors, where employment fell by between 30 and 40 per cent. Despite weak aggregate output performance, the trend decline in sectoral employment rates has slowed in recent years (Table 24). Manufacturing employment rates remained constant over 1995 and 1996 and employment in agriculture also stabilised.

As a share of total employment, self-employment rose slightly, from 14.8 per cent in 1992 to 15.5 per cent in 1995. The incidence of part-time employment is much lower than in any other OECD country (for which data are available) and is actually declining. According to the Labour Force Survey only 0.8 per cent of employed men and 2.0 per cent of employed women work in part-time employment as compared with OECD averages of 7.7 and 31.2 per cent respectively. The enterprise survey of firms, which counts posts not individuals, indicates that 6 per cent of all posts are not full-time. A very high rate of part-

Table 24. **Sectoral employment**

	Employment rates			Annual growth rates	
	1992	1994	1995	1994/1992	1995/1994
Agriculture	6.6	4.7	4.3	–15.6	–9.9
Mining	0.8	0.6	0.5	–13.8	–12.9
Manufacturing	15.2	12.8	12.3	–8.2	–4.3
Power and water	1.6	1.6	1.4	–0.1	–10.6
Construction	3.1	2.9	3.1	–3.7	8.1
Trade and catering	8.6	8.3	8.3	–1.6	–0.3
Transport and communications	5.0	4.5	4.6	–4.7	1.5
Financial services and real estate	3.0	2.9	3.1	–3.0	7.5
Health and education	7.9	8.3	8.2	2.7	–1.9
Public administration	3.4	3.8	3.8	5.0	0.1
Other services	2.7	2.9	2.8	2.0	–3.2
Total employment	**58.1**	**53.2**	**52.3**	**–4.3**	**–1.9**

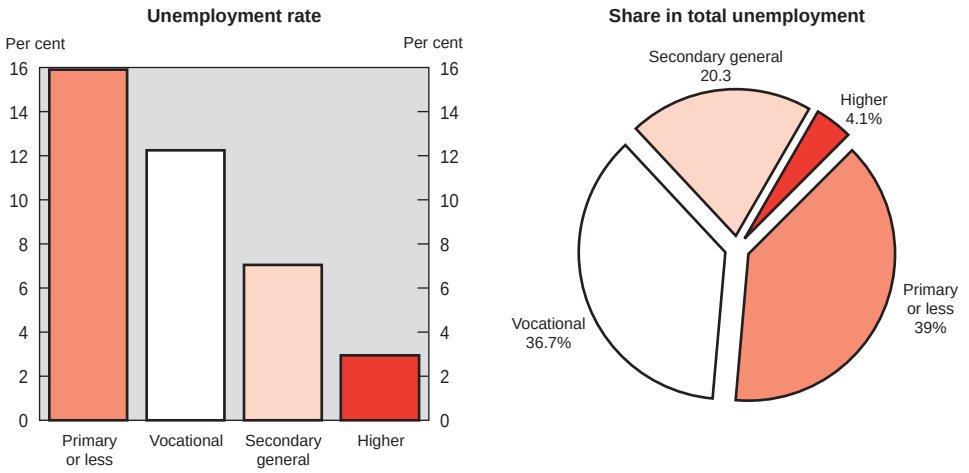
Source: OECD.

time entrepreneurial activity (salaried workers who also run private enterprises) means that the enterprise survey probably strongly overstates the incidence of part-time employment.

As in all OECD countries, unemployment is concentrated among the young, low-skill workers and in certain regions. Unemployment rates for youths are high, at 18.7 per cent, while older workers enjoy low rates: 6.6 for workers between 55 and 59 years old and 4.6 per cent for workers between 60 and 74 years of age. With the rise in unemployment there has been an important rise in the incidence of long-term unemployment; currently 50 per cent of the unemployed have been looking for work for 12 or more months. Long-term unemployment (LTU) is principally, but not exclusively, a male and unskilled-worker phenomenon. There are nearly twice as many men as women among the long-term unemployed, the incidence among the unskilled being particularly high (60 per cent). These individuals represent fully 40 per cent of the long-term unemployed. The incidence of long-term unemployment among youth is relatively low (37 per cent), although on a rising trend.

Workers with relatively low educational attainment have very high unemployment rates and represent 40 per cent of all the unemployed (Figure 18). Workers with vocational qualifications fare little better and represent a similar

Figure 18. **UNEMPLOYMENT BY LEVEL OF EDUCATIONAL ATTAINMENT**[1]



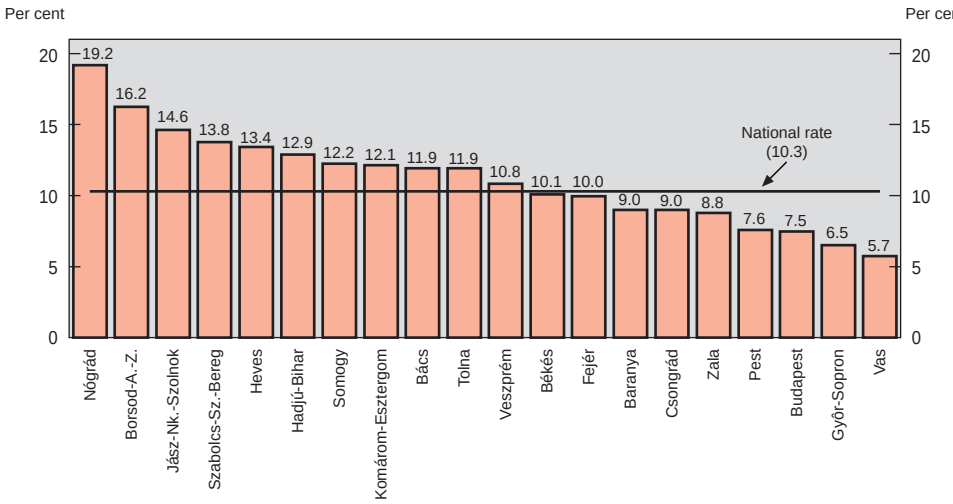
1. In 1995.
Source: OECD.

proportion of total unemployment. Workers with a secondary level diploma have relatively low unemployment rates, and those of college and university graduates are even lower.

Labour-market turnover rates are slightly above the OECD average but much lower than those observed in other countries that experienced large employment falls in the 1990s (Finland and Sweden) or comparable economic transitions (the Czech Republic and Poland). Approximately 1 per cent of the working-age population becomes unemployed each month, either through unsuccessful labour market entry or job-loss, while 10 per cent of the unemployed leave unemployment – either by finding work or leaving the labour force.[48] Some evidence suggests that direct employment to employment transitions are high.

Unemployment and employment rates vary significantly by region. Unemployment rates are lowest near Budapest and in the regions sharing a border with Austria and to a lesser extent those sharing borders with Croatia and the Federal Republic of Yugoslavia (Figure 19). Regional unemployment disparities are high and persistent.[49] Unemployment and non-employment are particularly high

Figure 19. **REGIONAL UNEMPLOYMENT RATES**
1995



Source: OECD, based on Central Statistical Office.

among Hungary's Roma (Gypsy) population.[50] Although estimates vary, approximately 4 per cent of the population can be classified as ethnic Roma. Nearly 40 per cent of Roma live in the high unemployment counties of the North-East where they represent as much as 8-10 per cent of the population.

The existence of a large underground economy (defined here to mean economic activity undertaken by firms and individuals which is otherwise legal but which is unreported or under-reported in order either to avoid bureaucratic red-tape or taxation) complicates the assessment of economic activity in Hungary. Prior to the political transition, the authorities tolerated the growth of the underground economy in order to introduce some of the flexibility that the formal, planned economy was unable to supply. With the transition to a market-based economy, anecdotal evidence suggests that the underground economy has continued to grow, and by some estimates amounts to about 30 per cent of economic activity.[51] Underground work tends to be concentrated in Budapest and in border regions,[52] over 80 per cent of under-reporting being accounted for by the self-employed or small domestically-owned firms (as opposed to foreign- and state-

Table 25. **Unreported sales**

Share of unregistered sales in total sales		Manager's perceptions of incidence of unregistered sales			
Sector	Unreported sales	Among:	Never	Rarely	Often
Food and beverages	16	Partners	79.8	13.7	6.6
Clothing	34	Competitors	43.1	23.6	33.3
Other industrial products	10	Economy as a whole	n.a.	10.6	89.4
Retail sales	16				
Services	69				

Source: Data are from surveys conducted by Kopint-Datorg (1996) for sectoral data, and Semjen and Tóth (1997*a*) for manager's perceptions.

owned firms). According to some estimates, as much as 57 per cent of household productive activity is either non-market barter or own-production work. The incidence of unreported sales varies by sector from a low of 10 per cent in some industrial activities to as much as 69 per cent in parts of the service sector (Table 25). Interestingly, perceptions of widespread tax evasion by ''others'' exceed by an order of magnitude managers' perceptions of the practice in their own sector.[53]

Wage dispersion

There is not much evidence of wage compression in Hungary. The ratio of earnings of the ninth to first deciles has increased from 2.6:1 to 4:1 in recent years. In the upper deciles, increased earnings reflect a higher rate of return to education and to recently-acquired education in particular, suggesting that specific expertise as opposed to educational achievement *per se* is being rewarded.[54] The dispersion of earnings has been increasing over time, both because of a wider wage distribution and, more importantly, because of rising rates of non-employment.[55] Rising wage inequality preceded political liberalisation and reflects rising relative wages in the two highest deciles, constant or increasing relative wages in the bottom 40 per cent of earners and a relative fall in earnings for those in between.

Indeed, returns to higher education appear to be relatively high. In 1995, the average university graduate earned nearly three times as much as someone with only 8 years of elementary school, which is higher than similar ratios for other

OECD countries, although in the range observed in other relatively low-skill OECD countries such as Portugal and Ireland.[56] Estimated private rates of return to university education range between 2.5 and 12.0 per cent,[57] while social rates of return range between 1.5 per cent and 8.9 per cent depending on area of study. Time series data indicate that these have been relatively stable for tertiary education and vocational education but rising considerably for academically-oriented secondary education. Wage differentials between male and female workers are large but have been declining. The raw earnings gap fell from 35.2 per cent in 1986 to 20.1 per cent in 1994, at least part of that decline being attributable to an increase in white-collar work where females are represented more than proportionally.[58] The wage gap is further reduced to 10 per cent if the educational content of jobs is taken into account, with the gap slightly smaller in the government sector than in the private sector.

Policy requirements

A sustained strategy for promoting employment growth has to comprise a broad range of measures aimed at ensuring both short- and long-term labour market flexibility. Short-term flexibility is called for to prevent workers from falling into unemployment and remaining there and is achieved by ensuring that relative and aggregate wages adjust to underlying productivity levels. Labour market institutions should not interfere unnecessarily in the movement of people from job to job either by imposing restrictive regulations or by interfering with normal economic incentives. High standards of education and life-long learning and labour market training are basic elements in the *OECD Jobs Strategy* to foster long-term flexibility and raise living standards. An overall labour market strategy is thus concerned with the wage formation system and the incentives built into the tax and transfer systems but also the process of human capital acquisition including active labour market policy and product market competition.

The above elements of a comprehensive strategy are all relevant to Hungarian labour market performance. The transformation to a market-oriented economy dominated developments over the past six years and will be likely to continue to play an important role over the near term. In this context, it is not always possible to identify the precise role which particular institutions played in

Box 3. **The OECD Jobs Strategy: synopsis of recommendations for Hungary**

The *OECD Jobs Study* sets out a strategy for improving the ability of OECD economies to cope with structural change, through enhancing the ability to adjust and to adapt, and increasing the capacity to innovate and be creative. With respect to labour- and product-market flexibility it identified the need for initiatives in the following areas: employment security provisions, active labour market policies, labour force skills and competencies, unemployment and related benefit systems, education, technology and product-market competition. Following the detailed review of labour market and employment performance and the assessment of policy requirements, this chapter has identified a number of areas where further attention by Hungarian authorities is required.

Increase wage and labour cost flexibility

High taxes on labour should be reduced. High social security contributions levied on workers may contribute to the non-employment of low-skilled workers. Consideration should be given to transferring financial responsibility for health insurance from the payroll tax system to a wider tax base such as the personal income tax system, thus reducing firms' incentives to under-report workers' incomes. Measures to combat tax evasion need to be reinforced.

Reform unemployment and related benefit systems

The provisions of the sick-pay and the disability pension systems should be further tightened. The rapidly rising share of disability pensioners in the working-age population suggests that the programme is being used as an alternative path to early retirement. The practice of awarding disability pensions for life should be stopped and a programme of regular re-certification begun. Recent government proposals in this regard would, when implemented, be a step in the right direction but more needs to be done. As concerns sick-leave, the recent increase in the number of days for which firms assume responsibility is a step in the right direction but continued very high rates of absenteeism suggest that a programme of more direct controls would be worthwhile.

The treatment of earned income while on benefit under the UI, UA and disability pension systems should be revised to eliminate threshold effects. Because benefits are cut off abruptly when earned income exceeds one-half the monthly minimum wage, workers are better off refusing additional work. By reducing benefits gradually as a worker earns more income, such poverty trap effects could be avoided.

Increase working time flexibility and reform employment security provisions

Employment protection legislation should be reviewed. Current regulations surrounding the layoff of workers for economic reasons are excessively constraining, although under the current enforcement regime firms have succeeded in making necessary adjustments. Evidence from other OECD countries suggests that similar regulations can, when binding, impose significant costs on firms and lead to reduced rates of hiring and disemployment.

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Enhance the effectiveness of active labour market policies

Efforts should be concentrated on enhancing the effectiveness of existing ALMP expenditure. In the first instance, a concerted effort should be made to evaluate existing programmes. Existing research suggests that many programmes have only limited impact on participant employability, although they are more successful in maintaining labour market contact.

Improve labour force skills and competencies

Continued efforts need to be made to improve the quality of education received by average students. Recent improvements in the retention of students at the secondary level and in expanding admissions to the tertiary levels are steps in the right direction. More flexibility at the tertiary level would be afforded by introducing a system of inter-university course credits (especially at the undergraduate level) and expanding the system of intra-university credits across faculties and specialisations.

Enhance the creation and diffusion of technical know-how

Efforts should continue to restructure the science system with a focus on cross-disciplinary research and improving linkages with industry. Fiscal incentives to increase private R&D spending should be complemented by programmes for diffusing technology across traditional sectors and to smaller firms.

recent unemployment and employment developments. While wage-formation institutions and employment protection legislation are, in a *de jure* sense, relatively inflexible and tax rates extremely high, in Hungary, none of these factors in themselves explains the evolution and growth in Hungarian unemployment over the past six years However, experience of other OECD countries suggests that such factors have introduced rigidities which may have contributed to the increased incidence of long-term unemployment and the concentration of non-employment among certain sections of the work force. Many benefit programmes are used to reduce labour supply rather than assist displaced workers to reintegrate themselves into the work force. Although the authorities recognise the long-term adverse consequences of such a policy orientation, many of these programmes remain in place. The remainder of this chapter attempts to analyse their significance. A synopsis of the recommendations arrived at is provided in Box 3.

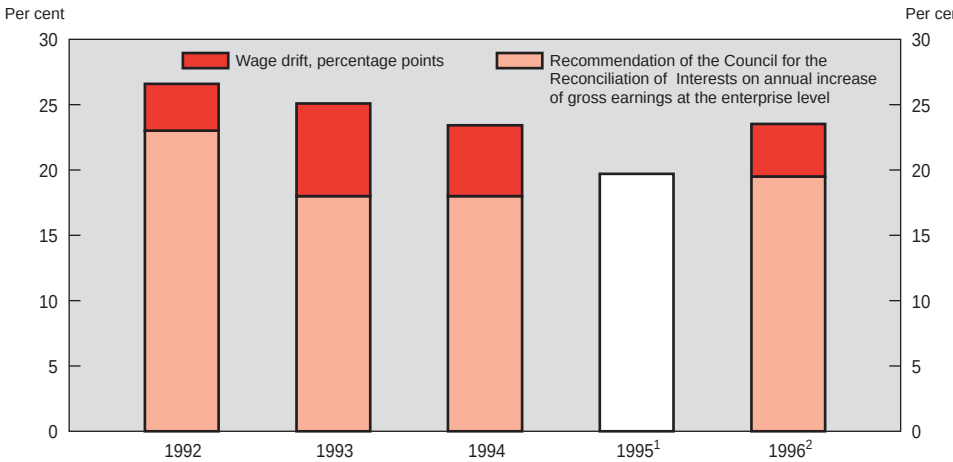
Enhancing the ability to adjust and adapt

The wage-formation system

The wage-formation system is based on national and regional level wage guidelines, modified for 30 per cent of employees by sectoral and company-level agreements. Although no precise data are available, union members are believed to account for between 30 and 40 per cent of dependent employment.[59] Sectoral wage agreements (which apply to more than one employer) have decreased in importance since 1992. Administrative extension of wage agreements to other sectors is provided for by law, but in practice is seldom used.

National-level wage guidelines for the business sector (both private firms and state-owned enterprises) are agreed to by the national *Interest Reconciliation Council* (IRC), which consists of elected workers' representatives, appointed employers' representatives and government representatives. There are six national employee organisations. In January 1997, the rules governing worker representation on the IRC were adjusted. Membership was left unchanged but the previous one union, one vote consensus-based decision-making process was changed to a three-quarters-majority rule where the votes are now weighted by union size. There are nine national employer organisations, membership of one being a legal obligation for all firms and enterprises. Before 1993, the decisions of the IRC applied to all sectors of the economy. Since then, separate Councils have been established for the civil and public services. The IRC is convened by the government, which proposes guidelines for the average annual wage increase. The guidelines actually recommended by the IRC are normally negotiated between employee and employer representatives, the government acting as a mediator only if social partners experience difficulties in reaching an agreement. The wage guidelines proposed by the IRC are fixed in terms of minimum and maximum increases that, although not compulsory, constitute a *de facto* floor for lower-level bargaining: the preponderance of lower-level wage bargains means that average wage increases tend to exceed the centrally-bargained limits by a significant degree (Figure 20). In the government sector the rate of growth of the wage bill is determined in the budget, with wage-rate increases depending upon employment developments.[60] The government faces certain constitutional limitations on its ability to set employment goals in the sphere of higher education and at the local level. It can, however, determine the size of the wage bill, so that

Figure 20. **WAGE DRIFT**



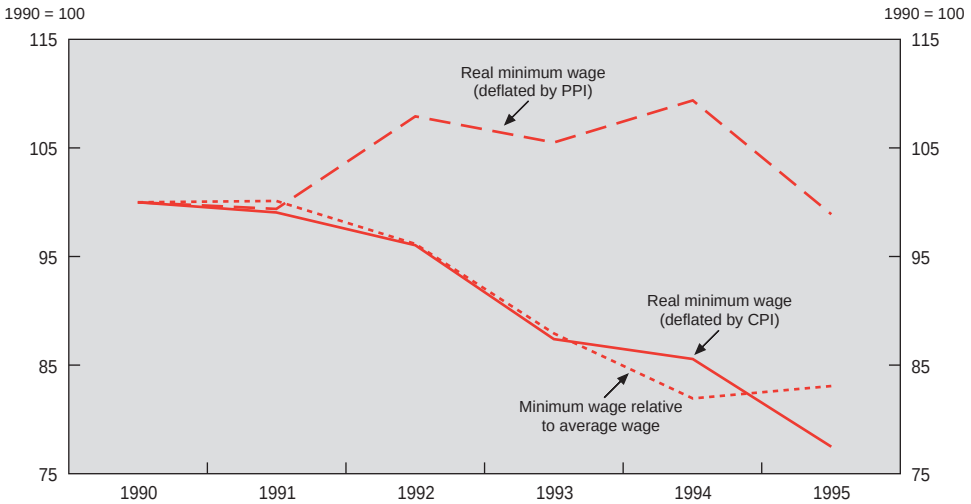
1. No agreement was reached by the IRC in 1995.
2. Preliminary data.

Source: Ministry of Labour.

employment outcomes depend upon the wage increases agreed to between agencies and labour.

The IRC also negotiates a level for the minimum wage which the government normally decrees into law, at which time the minimum wage becomes binding on all employers. Since 1989, the minimum wage has declined relative to consumer prices and average wages, but has risen relative to producer prices, at least until 1995.[61] (Figure 21). It currently stands at 31 per cent of average wages and is unlikely to represent a binding constraint on employment. There is anecdotal evidence of firms effectively paying workers at below minimum wage rates, either through subcontracting or by requiring extra unpaid work. Nevertheless, enterprise-based data indicate that among firms with more than ten employees, 10 per cent of business-sector posts and 5 per cent of all posts are remunerated at or close to the minimum wage. In other countries, such high percentages would suggest a binding minimum wage, but these data and the Hungarian figures may not be comparable because of multiple job-holding (Table 26). There is evidence to suggest that individuals may hold more than one ostensibly full-time job at the

Figure 21. **MINIMUM WAGE DEVELOPMENTS**



Source: OECD and Ministry of Labour.

minimum wage but work reduced hours at each. This introduces two biases: it inflates the number of minimum wage workers reported in the enterprise-based Hungarian data, and understates their actual hourly wages.

The Hungarian wage formation system seems to have delivered an adequate degree of flexibility so far. As might be expected given the previous planned economy, wage differentials are expanding and returns to education are rising. The centrally-determined wage guidelines were successfully used in conjunction

Table 26. **Workers earning the minimum wage or less**

	Percentage of all employees
France (1994)	8.2
Hungary (1996)	**5.0**
United States	3.4
New Zealand (1994)	3.1
Netherlands (1992)	1.9
Spain (1993)	0.8

Source: OECD, CSO.

with currency depreciation to engineer an important fall in real wages in 1995 and 1996, which contributed decisively to the re-establishment of Hungary's international competitive position. Nevertheless, wage drift has been consistently positive and the authorities have not taken advantage of the central bargaining system's innate capacity to contribute to a rapid decline in inflation. Over the longer-term, and especially in a low-inflation environment, the hybrid wage-bargaining system observed in Hungary can generate wage compression and contribute to the dis-employment of low-skilled workers. This is especially likely to be true when, as in Hungary, the representatives of labour and firms at the central level have little or loose ties to employers on the one hand and employees on the other.

Increasing the flexibility of employment and working time

All employment relationships in Hungary have to be codified in a written contract detailing the rights and obligations of both the employee and the employer. The rules governing these contracts and employment protection legislation in Hungary are detailed in four separate acts. The first, the Labour Code, applies to workers in the business sector, while the second, the Legal Status of Public Servants, and the third, the Legal Status of Civil Servants, refer to public and civil servants.[62] The Promotion of Employment and Provisions for Unemployment Act stipulates regulations concerning mass layoffs (Box 4).

The main features are as follows:

- By default, all jobs are assumed to be of indefinite duration. Fixed-term contracts are generally limited by law to a maximum of five years. Rules concerning the maximum hours that may be worked imply sharp limits, although some opportunity for flexibility is provided for. The law concerning overtime is particularly strict and many of its provisions cannot be amended even by mutual consent.
- Legal minima for annual leave are generous, beginning at 4 weeks and rising to 6 weeks.
- Notice provisions fall within the bounds observed within other OECD countries, though rules concerning large-scale layoffs lie at the stricter end of OECD practice.

Box 4. **Employment protection legislation***

Employment contracts

Unless explicitly counter-indicated all employment is of indefinite duration. Fixed-term contracts are limited by law to a maximum of five years except in the case of managers. A fixed-term contract automatically becomes indefinite if an employer knowingly allows the worker to work at least one day longer than the original contract except when the initial contract period is less than 30 days, in which case the contract length is automatically doubled. For public and civil servants, fixed-term contracts are illegal unless the individual is hired as a temporary replacement or the job itself of fixed duration (*i.e.* a special project).

Collective bargaining

The right to strike is well enshrined in the Hungarian legislation: there is no reciprocal right to lock-out. Collective labour disputes are protected by law under legislation similar to that operating in most European countries. At the request of the two parties a mediator may be called upon and any agreement entered into by the parties under her auspices constitutes a legal collective agreement. Similarly if an arbitrator is imposed her decisions are binding and constitute a legal collective agreement. In 1996 a Labour Mediation and Arbitration Service, operated by, but independent of, the IRC, was established. The service aims to achieve fast and efficient resolution of collective interest disputes.

Severance rules

The Labour Code provides for a minimum notice period of 30 days which is extended to 60 days in the case of public servants and to 6 months for civil servants. Business-sector workers and public servants are not entitled to a notice period when dismissed for cause. Although rare, the law allows for longer notice and dismissal periods to be agreed to in collective bargaining.

Temporary layoffs (sometimes called technical unemployment) are illegal in Hungary. Firms with at least 30 workers who reduce head-count by at least 25 per cent or 50 people (whichever is lesser) over a six month period must inform their employee's council or trade union and allow them time to express an opinion. If any employer reduces staff by 10 or more within a 30-day period by regular notice the employees' council has a right to be informed. Failure to respect these provisions invalidates a dismissal.

The employees' council or trade union has the right to ask the employer for information in all matters concerning the layoff and the employer cannot refuse to give

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information explaining his/her actions. The council has the right to express its opinion and initiate consultations with the employer.

Working time

The standard work-day is 8 hours. Workers in the business sector and public servants may not work more than eight hours overtime during a period of four consecutive days (the limits are four hours over two consecutive days for civil servants). The annual maximum is 144 overtime hours, although collective agreements can expand this limit to 200 hours. Collective agreements covering multiple employers may extend this limit further to a maximum of 300 hours.

Overtime work must be compensated at 150 per cent of the normal rate. Alternatively, additional time off can be provided if agreed to by both parties. Civil servants are not entitled to overtime compensation, although those who work overtime regularly are entitled to a maximum of 20 days additional time off. Public servants and business-sector workers who determine their own schedules need not be paid overtime unless provision is made in their collective agreements. Work during statutory holidays and the weekly day of rest must be compensated at 250 per cent of the normal rate or at 150 per cent with an additional day of rest. These limits are binding and cannot be amended even by mutual consent.

Time spent on ''standby'' or ''on call'' must, unless otherwise contracted, be remunerated at a minimum of 25 per cent the normal wage, while actual working-time must be compensated at overtime rates.

Annual leave provisions in Hungary are generous. Workers aged 25 and under get 20 days annual leave and an additional day is granted every three years to a maximum of 30 days.

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* Employment protection rules regulating employment contracts, working-time, severance, fixed-term contracts and overtime compensation are outlined in the Labour Code, which applies to workers in the business sector; the Legal Status of Public Servants; and the Legal Status of Civil Servants. The Promotion of Employment and Provision for Unemployed Act contains provisions concerning mass layoffs.

Despite strong formal protection of labour's right to strike, the incidence of strikes is very low. Between 1991 and 1995 inclusive there were fewer than five strikes per year, normally involving less than 1 per cent of all workers. Strikes have been of very short duration, lasting on average less than two days.

The legal provisions protecting employment and governing working time and compensation are relatively strict and have distorted the functioning of the

labour market. However, with high unemployment and a rapidly adjusting economy, they do not appear to be particularly binding and have not prevented firms from undertaking major restructuring programmes. Firms and workers make use of a wide number of strategies to bypass the rules, which have not been strictly enforced. Notice provisions and severance pay issues are bypassed by letting workers go in small groups of less than 10 per month (over an entire year even a large firm can bring about a major adjustment in this manner without having to follow the lengthy procedures outlined in the labour code) or by use of ''mutually agreed'' dismissals. Similarly, provisions concerning the overtime rules are bypassed through contracting out and employment contracts that indicate a worker is responsible for determining his own working-time or simply by having workers perform additional unpaid hours. Over 80 per cent of firms indicate that they contract out at least some of their main business activities, while 13 per cent admit to having immediately hired, on a contract basis, workers just fired.[63]

Taxes and transfers

High payroll taxes and the problem of evasion

In Hungary the principal benefit systems (pensions, health insurance and unemployment insurance) are financed almost exclusively from payroll taxes.[64] Overall spending on these programmes declined from 30 per cent of GDP in 1991 to 22 per cent in 1996, social insurance (pensions and health insurance) making the largest absolute contribution, but cuts in family allowances and social assistance suffering the greatest percentage fall (Table 27). Despite these reduc-

Table 27. **Social security expenditures**

In constant forints

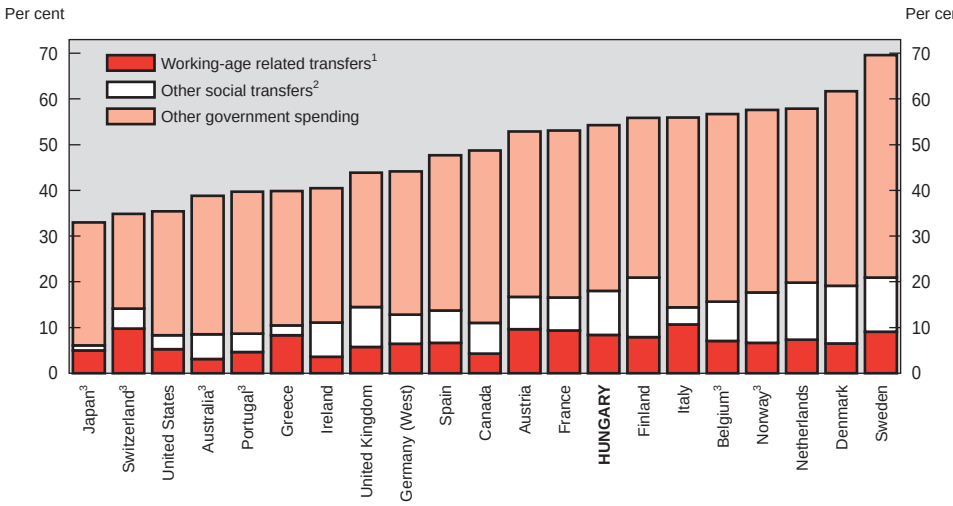
	1991	1992	1993	1994	1995	1996
Social insurance (pension and health)		445.0	426.1	424.7	375.9	345.3
Unemployment		63.8	62.2	42.5	34.9	31.8
Family support		93.4	86.9	80.9	59.1	44.6
Social assistance, personal and institutional care		125.1	138.6	137.3	138.5	102.1
Total	**750.0**	**727.4**	**713.7**	**685.4**	**608.5**	**523.8**

Source: OECD calculations using data from the Ministries of Welfare and Finance.

tions, Hungary's social security expenditures as a share of GDP are among the highest in the OECD (Figure 22). Moreover, the majority of social-security payroll taxes are levied upon the employer. Although the authorities have made efforts to reduce these fees they still raise labour costs by almost 50 per cent. Payroll taxes paid by employees are less important – 11.5 per cent of gross wages for earnings up to 900 000 forints in 1996 and 1.5 per cent on earning in excess of that amount. Personal income taxes rates vary with income. In 1997, a worker earning 50 per cent of the average income paid only 8 per cent of his income in taxes, while an average earner paid 21 per cent and someone earning two and three times the average salary paid 30 and 34 per cent respectively (Table 28). Marginal rates are significantly higher: 43.5 per cent for someone earning two-thirds of the salary of the average production worker.

Figure 22. **GOVERNMENT SPENDING AND SOCIAL TRANSFERS**

Per cent of trend GDP (1993 or nearest year)



1. Includes disability pensions, sickness compensation, survivors benefits, family cash benefits, unemployment benefits and other contingencies.
2. Includes basically old age transfers.
3. Data refers to 1992 for Japan, Switzerland, Australia and Belgium; 1991 for Norway and 1990 for Portugal.

Source: OECD.

Table 28. **Compulsory taxes and contributions rates according to earnings**[1]

Per cent of gross earnings

Gross earning		Employer			Employee			
Per cent	Forints/ person/ month	Social security contributions	Labour market contributions	Total	Social security contributions	Labour market contributions	Personal income tax	Total
20	11 010	39.0	6.0	45.0	10.0	1.5	0.0	11.5
30	16 510	39.0	6.0	45.0	10.0	1.5	0.0	11.5
40	22 010	39.0	6.0	45.0	10.0	1.5	3.8	15.3
50	27 520	39.0	6.0	45.0	10.0	1.5	8.2	19.7
100	**55 030**[2]	**39.0**	**6.0**	**45.0**	**10.0**	**1.5**	**20.6**	**32.1**
150	82 550	39.0	6.0	45.0	10.0	1.5	26.6	38.1
200	110 070	39.0	6.0	45.0	9.8[3]	1.5	30.2	41.5
300	165 100	39.0	6.0	45.0	7.5[3]	1.5	34.1	43.1

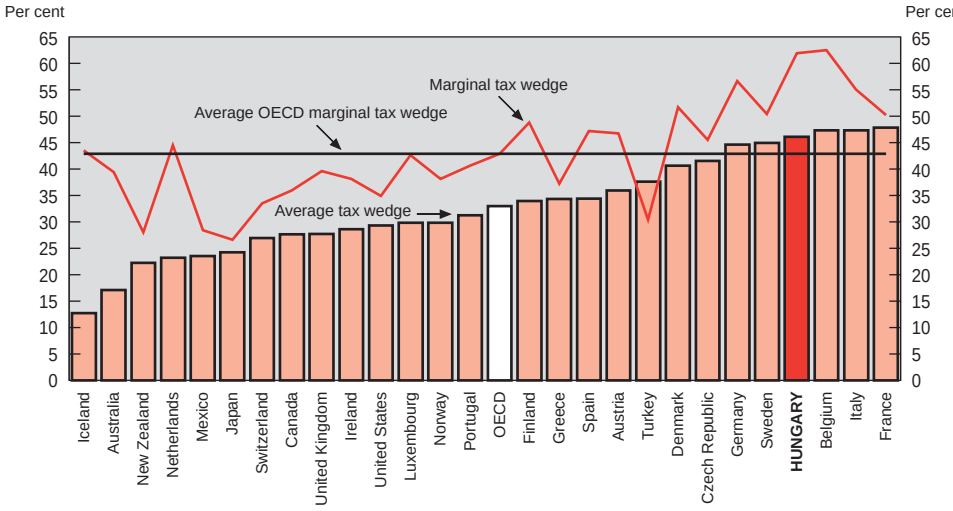
1. Data are for 1997.
2. National gross average income.
3. Social security contributions are not paid on annual income in excess of HUF 910 000.

Source: Ministries of Labour and Finance.

In many other OECD countries, very high payroll taxes have contributed to a process of disemployment of low-skilled workers (Figure 23). While low-skilled workers in Hungary also experience difficulties, it appears that the full impact of these non-wage labour costs has been attenuated by tax avoidance and tax evasion. This non-compliance contributes directly to the problem of high rates, forming a vicious circle. High tax rates incite workers and firms to systematically under-report employment and earnings, while their failure to comply with tax regulations forces the government to raise rates. The actual impact on official measures of employment and wages is difficult to assess. As already indicated, firms appear to resort to contracting out and mis-reporting of wage levels in order to avoid or minimise these charges. Surveys indicate that minimising taxes is a critical factor in designing pay schemes.[65] The increased use of contracting out

Figure 23. **AVERAGE AND MARGINAL TAX WEDGES**[1]

Single person receiving 67% of an average production worker's income



1. Data refer to 1994 except for Hungary (1995) and Greece (1993). The average wedge is the sum of employees' and employers' social security contributions and personal income fax as a percentage of gross labour costs – gross wages plus employers' social security contributions. The marginal tax wedge is the percentage of any marginal increase in gross labour costs arising as a result of an increase in gross wages which is paid in employees' and employers' social security contributions and personal income tax.

Source: OECD.

(often of previously salaried employees) may reflect efforts to evade taxation. 10 per cent of workers are paid just enough to qualify for health insurance and old-age pensions with the remainder, and perhaps the largest portion, of their income coming through other channels such as fringe benefits or ''sub-contracting''. To put the phenomenon in perspective, on 1 January 1997 there were 745 247 registered sole proprietor enterprises in Hungary, 40 per cent of which were not ''operating'', and another 167 420 partnerships in an economy with only 3.6 million workers. Including other firms, there were only 3.4 employees per registered enterprise.

A number of reforms were introduced recently to combat evasion of social security contributions and to widen the tax base:

- As of 1 January 1997 employer contributions to the health-care system were revised. In an effort to combat under-reporting of salaries (and therefore underpayment of health-care contributions) the government reduced the rate at which health-care contributions are made but introduced a minimum contribution of 1 800 forints per month. As a result, the payroll tax paid on low income earners was increased and the rate for higher-paid workers reduced. For the majority of workers (80 per cent), employers will face average rates of between 47 and 39 per cent. To reduce the economic hardship implied by higher average tax rates, a subsidy equal to between 20 and 70 per cent of these payments was made available to firms with workforces whose workers' average earnings are less than 50 000 forints.[66]
- The tax base for social security was expanded in early 1997. An initial reform levied a 39 per cent social insurance contribution on entrepreneurial income in addition to the 10 per cent accident insurance they had already been paying.
- As of 1 January 1997, individuals with a secondary entrepreneurial activity have to pay a minimum social security contribution. Those operating one or more enterprises have to pay, at minimum, a contribution equal to 39 per cent of the one-half monthly minimum wage for each of their first two enterprises. All entrepreneurial income less than 1 204 500 forints total per annum from additional enterprises, including income in excess of one half the monthly minimum from each of the first two enterprises, is subject to the same 39 per cent social security contribution.

Box 5. **Unemployment-related benefits**

Participation in the *unemployment insurance* (UI) system programme is compulsory for dependent employees, while the self-employed are excluded. As of 1995, the UI system is administered by the Solidarity Fund* and is financed by a special payroll tax. Its benefits are wage-dependent and of limited duration. The means-tested *unemployment assistance* (UA) system is cost-shared: since 1 January 1997, 75 per cent financed by the Solidarity Fund and the rest by the local governments who administer the programme.

Eligibility

Unemployment insurance benefits are restricted to workers having contributed to the system for at least 360 days during the previous four years, who are unemployed and actively seeking work. UI benefits are payable from the day after an individual registers with an unemployment office. They are not payable to individuals who receive severance payment until an amount of time equivalent to the value of the severance payment divided by their monthly salary has passed. During this period the individual's social security payments are paid by the fund. In instances of voluntary separation or where separation is the result of a disciplinary procedure benefits are delayed 90 days. Prior to 1996 an individual receiving UI benefits could earn as much as the minimum wage doing part-time work without affecting his benefits. Above that amount all benefits were withdrawn.

Unemployment assistance benefits are available to individuals whose UI eligibility has expired and whose total per capita household income is less than 80 per cent of the minimum old-age pension.

Duration of benefits

The maximum duration of benefits in the UI system was cut from two years in 1991 to one year in 1993. The duration of benefits to which an individual is entitled depends on the number of days of contribution. An individual with 360 days of contributions may receive benefits for 90 days. For every additional 120 days of contribution a worker earns 30 more days of benefit entitlement to a maximum possible 360 days' benefit. Prior to 1996, benefits under the UA system were of unlimited duration. In July 1995 a two-year maximum was imposed with the benefits of existing beneficiaries expiring in December 1996.

Benefit levels

Before 1993, UI benefits were uniform throughout an unemployment spell. Beginning in 1993, a two-phase system was introduced. Maximum possible benefits during the

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first phase (three months) were more generous than in the second phase. As of January 1997, the two-phase system was replaced with a one-phase system, with benefits set at an intermediate level. Benefits are subject to both a floor and a ceiling, which are relatively compressed and have fallen in real terms. In 1997, the floor was the lesser of 10 350 forints per month and the average monthly wage from which the benefit is to be calculated, the ceiling was 20 700 forints or 1.24 times the minimum wage.

The maximum benefit under the UA system is 80 per cent of the minimum old-age pension. All other earned-income up to the maximum benefit is deducted from the benefit. Prior to 1996, both UA and UI recipients were allowed to earn as much as the minimum monthly wage without benefit penalty. Earnings above this limit, which was reduced to one-half the monthly minimum wage in 1996, cause benefits to be cut off.

* In January 1996, the Labour Market Fund was formed by merging five pre-existing funds (the Solidarity Fund, the Employment Fund, the Vocational Training Fund, the Rehabilitation Fund and the Wage Guarantee Fund).

Support to the unemployed

Hungary operates two systems that provide income support to the unemployed, and participation is compulsory for all wage-earners. The self-employed are excluded. Benefits under the *unemployment insurance* (UI) system are wage-dependent and can be collected for a maximum period of one year, starting as soon as an individual registers with the Public Employment Service. Until 1996, the benefits under the means-tested *unemployment assistance* (UA) system, which is available to UI exhaustees, were of unlimited duration. In July 1995 a maximum duration of two years was imposed. A school leavers' allowance, equal to the amount applicable in the UA scheme, was also available for a duration of six months.

The generosity of the *unemployment insurance* system has been reduced in recent years, the duration of benefits being cut from two years in 1991 to one year in 1993 and eligibility criteria tightened. As a result the share of unemployed receiving benefits fell from 65 per cent in 1992 to 31 per cent in 1994. [67] In 1993, the benefit period was split into two phases, with maximum possible benefits during the first phase (approximately one third of the entitlement period) more

generous than in the second phase (see Table 29). Gross replacement rates are among the lowest in Central and Eastern Europe, although generosity may be understated because of in-kind social benefits and the ability to work while on benefit.[68]

Actual replacement rates vary considerably because benefits are subject to both a floor and a ceiling. For the 4 per cent of full-time Hungarian workers earning less than 10 000 forints in 1994 the unemployment insurance would have replaced the whole of their earnings. For the 32 per cent of the full-time work force earning between 20 000 and 30 000 forints, benefits replaced around 75 and 72 per cent of their previous earnings during phase I and between 58 and 48 per cent in Phase II. The impact of these floors on statutory replacement rates is illustrated in Figure 24, Panel A. Only 10 per cent of the work force would, in fact, have received, the statutory replacement rates of 75 and 60 per cent. *Ex post* replacement rates are less than 50 per cent for the majority of workers because benefits are calculated on the basis of earnings in the last year of work, while the wage an individual would earn if he were to accept employment would be higher by the amount of wage inflation (see Figure 24, Panel B). In 1996 the majority of the benefits distributed were below the official minimum subsistence level. Earn-

Table 29. **Unemployment insurance benefits and *ex ante* replacement rates**

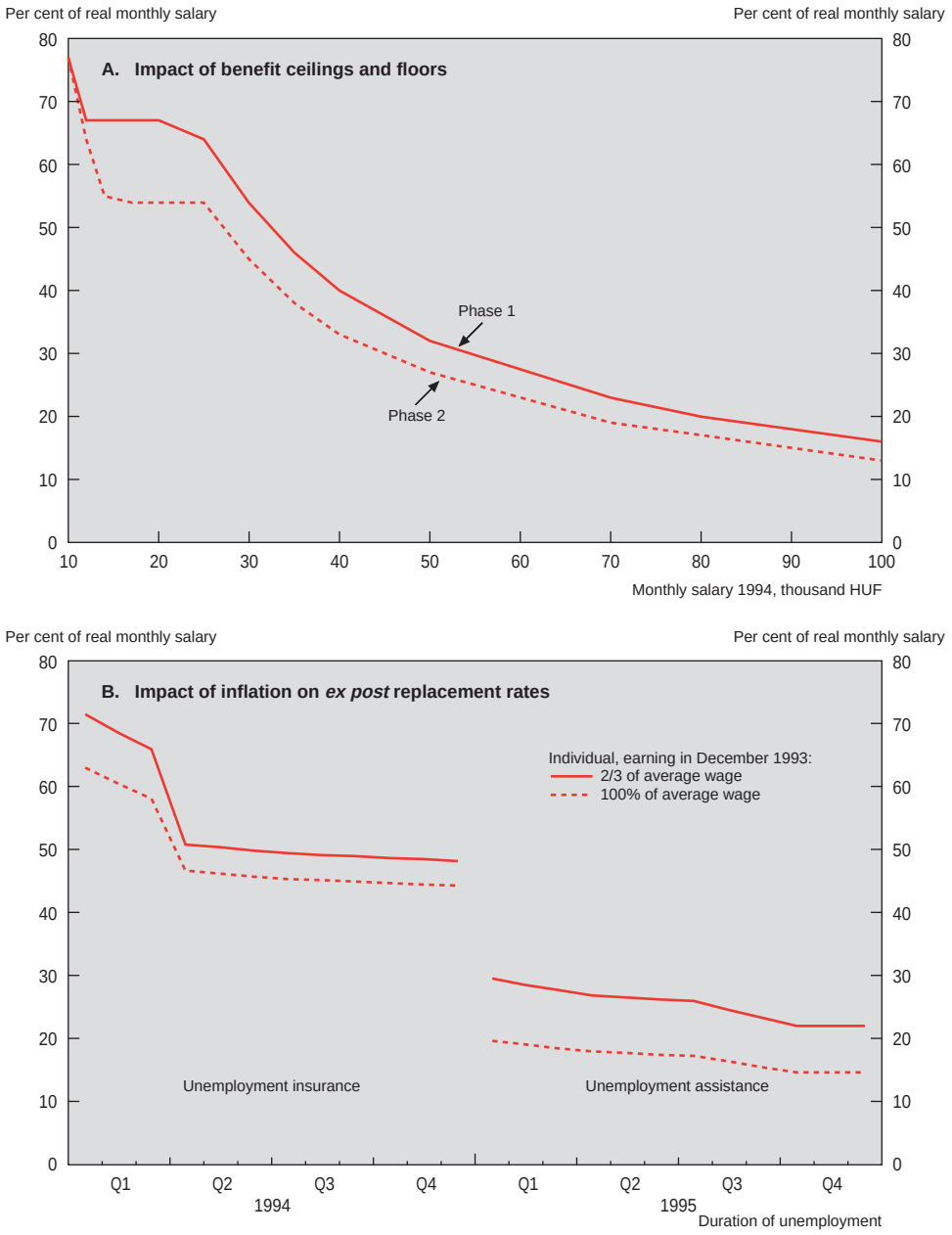
In constant 1996 forints

Monthly earnings	Benefits			Replacement rates		
	1996		1997 [1]	1996		1997 [1]
	Phase 1	Phase 2		Phase 1	Phase 2	
6 000	6 000	6 000	6 000	100	100	100
9 000	8 600	8 600	8 771	96	96	97
12 000	9 000	7 200	7 800	75	60	65
15 000	11 250	9 000	9 750	75	60	65
18 000	13 500	10 800	11 700	75	60	65
21 000	15 750	12 600	13 650	75	60	65
24 000	18 000	14 400	15 600	75	60	65
27 000	18 000	15 000	17 337	67	56	65
30 000	18 000	15 000	17 337	60	50	58
33 000	18 000	15 000	17 337	55	45	53
36 000	18 000	15 000	17 337	50	42	48

1. The benefit floor and ceiling in 1997 were 10 350 and 20 700 forints respectively. In order to facilitate comparisons with 1996 data, benefit levels are stated in 1996 forints using total-economy per-employee compensation growth as a deflator (19.4 per cent).

Source: OECD calculations using data from the Ministry of Labour.

Figure 24. **UNEMPLOYMENT BENEFIT REPLACEMENT RATES**



Source: OECD (Panel A), Boeri and Edwards (1997) (Panel B).

ings while on benefit probably imply that actual incomes of the unemployed may be much higher. Prior to 1996 beneficiaries were allowed to earn up to the minimum wage without loss of benefit. This limit has been reduced to half the minimum wage. Earnings in excess of the threshold lead to complete withdrawal of benefits.

Individuals receiving unemployment assistance are income-tested and although more than 45 per cent of the registered unemployed receive this benefit, the income derived from it is relatively low. Although the law requires additional work to be declared and deducted from the benefit, it is not clear that the joblessness and readiness of benefit recipients to accept work is adequately controlled. Benefit eligibility is determined by per capita household income. The benefit itself varies according to individuals' earnings while on benefit but is independent of household needs, *i.e.* per capita household income. As a result, some households are adequately supported by this benefit while others – especially those with children – must resort to additional social benefits in order to ensure an acceptable living standard.

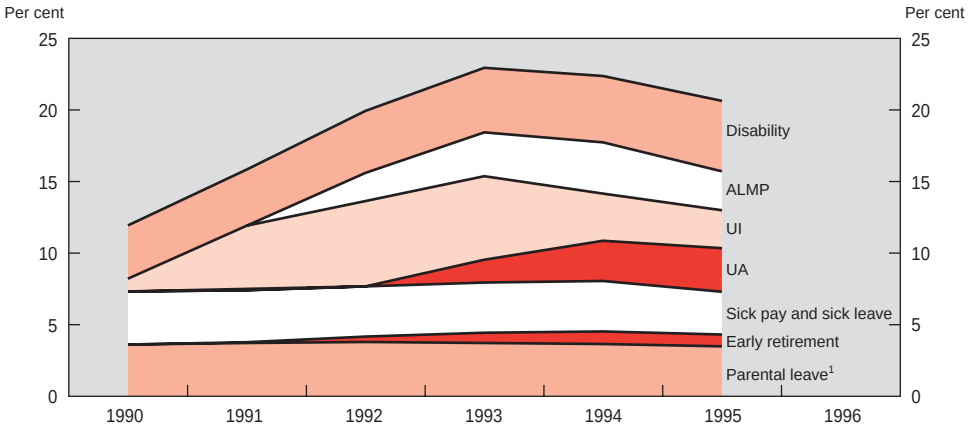
Other income-support schemes

In addition to the unemployment insurance and assistance programmes, Hungary operates several other programmes that offer labour-market related income support. In terms of labour market impact and participation, the principal of these are parental leave programmes, sick-leave, disability and early retirement programmes. The scope of these programmes is impressive. The total number of benefit recipients is equal to 20 per cent of the working-age population (some double counting is probably involved) – more than three times the number of unemployed and six times those on unemployment benefits (Figure 25).

Days lost to ill-health in Hungary are falling but remain extremely high. In 1970 the average worker lost twelve days per year to health problems; by 1994 that had risen to 26.5 days, the second highest rate in the OECD[69] (Table 30). In 1995, 7.8 per cent of employees were off sick on any give date.[70] Anomalies between the behaviour of employees and the self-employed suggest a pattern of excess use: in 1994, the incidence of sick-leave by the self-employed was half that of employees, although the average duration of sick-leave was almost twice as long. Anecdotal evidence suggests that both firms and employees use sick leave as an income support during periods of slack demand and to qualify surplus employees for the disability pension. Increases in the number of sick-days for

Figure 25. **BENEFIT RECIPIENTS BY INCOME SUPPORT SCHEME**

As a per cent of working-age population



Note: Because some individuals are likely to receive two benefits simultaneously, the working-age population shares above overstate the actual per cent of the population receiving at least one benefit.

1. Recipients of the child-care allowance and child-care fee.

Source: OECD and Ministry of Labour.

which employers are financially responsible (see Box 6) have reduced central government expenditures significantly (46 per cent between 1993 and 1996).

Major contributors to Hungary's low employment rate are its mandatory retirement and pensionable ages, which in 1995 were among the lowest in the OECD at 55 years for women and 60 years for men. The government has redressed this problem somewhat. In 1996, legislation came into effect gradually raising minimum pension ages to a uniform 62 years of age by 2009. Hungary also operates two early retirement schemes which were initiated in an effort to reduce labour supply and minimise the impact of the transition to a market economy. Participation in the two programmes has been high, with many more people in the target population on early retirement than working. During the transition the number of individuals receiving a disability pension rose dramatically from an already-high 6.5 per cent of the population aged 15 and above in 1990 to 9 per cent in 1996, the second highest rate of disability programme participation in the OECD.[71] In common with many systems in the OECD, once

Table 30. **Incidence and duration of sick leave**

Paid by:	Percentage of workers on sick leave			Average number of days on sick leave			Average duration of state-paid sick leave days
	Employer[1]	State	Total	Employer[1]	State	Total	
1992							
Employees	1.8	5.4	7.2	4.7	19.7	25.4	
Self-employed		1.9			6.2		
Total		**5.0**			**18.1**		
1993							
Employees	1.9	5.7	7.6	4.9	20.9	25.8	32
Self-employed		1.7					
Total		**5.1**					
1994							
Employees	1.9	5.9	7.8	5.0	21.5	26.5	32
Self-employed		1.8			6.4		60
Total		**5.2**			**19.0**		**33**
1995							
Employees	1.7	5.0	6.7	4.3	18.4	22.7	39
Self-employed		2.5			9.0		50
Total	**n.a.**				**16.5**		**40**

1. Information on employer-paid sick leave is unavailable for the self-employed.
Source: OECD calculations based on data from the CSO.

Box 6. **Other income-support schemes**

Parental leave

New parents are entitled to three years (ten years if the child is handicapped or ill) of child-care leave during which they cannot be dismissed. Time spent on parental and child-care leave qualifies for other benefits including pension. In addition to a 24-week maternity allowance, there are three separate income-support schemes for parents. Maternity benefits include a lump-sum payment and a regular benefit equal to between 60 and 70 per cent of insured wages. The regular benefit will be completely phased out by the end of April 1998. Means-tested benefits are equal to the current minimum old-age pension less 6 per cent, which must be contributed into the pension system and is available for three years or up to eight years for families with more than two children. In this second case the entitled parent cannot work more than 4 hours per day. People with low income and on child-care leave can receive a benefit equal to the current minimum old-age pension less the individual's pension contribution, which must be paid. Most couples take advantage of the programme. In 1995, the number was equivalent to 9 per cent of total employment, almost all receiving either a child-care allowance or child-care fees.

Early retirement

Hungary operates two early retirement schemes. A special early pension, funded by the Labour Market Fund, is granted to workers with at least 20 years' employment who have been unemployed for at least six months and have less than three years to go before they reach the mandatory retirement age. Early pensions are assigned by PES officers to individuals with poor long-term labour market prospects and to whom the PES is unable to offer an appropriate job. The second programme allows firms to lay off older workers (within 5 years of mandatory retirement) on the condition that the firm pays their pensions until they reach normal retirement age. Until 1 July 1995, firms in economic difficulty could apply to the employment fund for a subsidy of up to 50 per cent of this pension cost if staff cuts were ''significant'' or the firm was loss-making.

Sick leave

Hungary's state-run sick-leave programme pays 75 per cent of a worker's wage. In 1992, firms were made responsible for the first 10 days of illness each year and this was raised to 15 days in 1996. Workers applying for disability pensions frequently take advantage of the 12 months' sick-leave.

Disability pension

Disability pensions are awarded to workers with sufficient years of service who have endured at least 67 per cent loss of working capacity. Required years of service depend upon the age of the individual and the hazardousness of their occupation. For most

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occupations those under 22 must have worked two years, while those over 54 years of age require at least 20 years of service.

The disability system distinguishes between three types of disability pensioner. Disabilities of Type I and II are considered permanent and total, although individuals in Type II are considered able to care for themselves. Disabilities of Type III represent a loss of working capacity between 66 and 100 per cent. An examining physician may deem the disability permanent or schedule a subsequent re-examination. Approximately one-third of all disability pensioners are in the third category and one third of these are deemed permanently partially disabled. Individuals in the third category are allowed to work and although there is a maximum that they are allowed to earn this maximum is not enforced.

Each year, approximately 50 per cent of the 120 000 disability pension applications are refused. Of these approximately half, 30 000 qualify for a disability benefit which is paid for by the central budget through the Labour Market Fund.

a disability is declared permanent, a pensioner can continue to receive the benefit for the rest of his life. Pensioners able to do so are allowed to work but are supposed to declare earned income which would then be deducted from their pensions. In practice little effort is made to verify whether pensioners comply with this rule. In 1996, the government introduced a Rehabilitation Fund and another pilot programme aimed at helping disability pensioners back into the labour force. Additional legislation is being prepared which would require some disability pensioners to undergo regular medical evaluations. Disability is no longer deemed a valid reason for lay-off.

The tightening of eligibility criteria and the shortening of the maximum duration of benefits have contributed to reducing substantially the generosity of the Hungarian unemployment benefit system. The effect of inflation on *ex post* replacement rates has reduced generosity further and at the same time reduced its ability to act as an effective income insurance scheme. As inflation falls, effective replacement rates will rise, restoring the system's capacity to support workers in transition between jobs. The treatment of earnings while on unemployment benefit produces a poverty trap. Benefit recipients have strong incentives to accept jobs paying less than half the monthly minimum wage (or to not report work) but loss of benefits imply an almost infinite marginal effective tax rate at earnings just above this amount. A slower benefit withdrawal rate, whereby a fixed

proportion, say 30 per cent, of earned income was deducted from benefits until all the benefit was withdrawn, would preserve work incentives. Insofar as they fail to equitably redress household poverty, the design of benefits in the unemployment assistance system appears flawed. The other benefit systems described above have contributed directly to the reduction of labour supply and perhaps to Hungary's disappointing employment performance. Although programmes of labour-supply reduction may contribute to lower rates of measured unemployment, they exacerbate the principal problem – a lack of employment – by removing potential workers from the labour market. The high budgetary cost of the income maintenance provided by these programmes contributes to the high tax rates which in turn drive economic activity underground. The incidence of sick-leave and the high proportion of the working-age population receiving disability pensions may partly reflect the poor health of the population but would also appear to indicate programme abuse.

Active labour market policies

Spending on active labour-market policies (ALMP) prior to the transition was low in aggregate terms, grew as the incidence of unemployment rose and has since fallen, both in real terms (by 50 per cent) and especially on a per unemployed basis. In 1995, Hungary spent 0.4 per cent of GDP on active labour market policies and the Public Employment Service (PES), the smallest percentage among OECD countries for which data are available (Table 31). On average 1.7 per cent of the labour force is enrolled in ALMP programmes at any given time. Subsidised employment constitutes the most important type of ALMP – both in terms of programme participation and expenditure. Although involving fewer people and fewer resources in an absolute sense, training programmes are the most expensive activity on a per-capita basis. One in twenty unemployment insurance spell ends in ALMP participation.[72]

The PES in Hungary is responsible for administering unemployment benefits, job matching and the selection of participants for active labour market policies. It offers a wide range of placement services, including: psychological, employment and job counselling, job seekers' clubs, and computer-based career and job-search counselling systems. It also operates a training programme for unemployed adults, a programme for employed adults at risk and three types of employment promotion schemes.[73] OECD research indicates that combining all

Table 31. **Employment office networks, staff members, and work-load indicators**

	A	B	C	C/(A+B)	U/C	Flow-U/C	Flow-V/C
	Number of regional headquarters	Number of local offices	Total staff of labour offices	Average staff per labour office	Unemployed persons per staff (end of year)	New cases: monthly flow per staff	Notified vacancies: monthly inflows per staff
Hungary 1996	**20**	**176**	**4 197**	**21**	**119**	**11**	**9**
Austria 1988	9	111	3 657	30	33	n.a.	n.a.
France 1987	22	685	31 450 [1]	44	77	n.a.	n.a.
Japan 1991	n.a.	479	15 284	27	85	20	44
Norway 1991	18	108	2 800	22	65	12	7
Spain 1991	52	606	15 322	23	260	51 [2]	5 [2]
United Kingdom 1991	9	1 100	38 400	35	n.a.	n.a.	5

1. Employment services including unemployment benefit administration.
2. Vacancies exclude ''nominated vacancies'', for which employers already have candidates; inflows include those who immediately register an employment contract without experiencing unemployment.

Source: Ministry of Labour; OECD (1995).

Box 7. **Active labour market programmes**

Training

Training activities are funded through the Employment Fund of the Labour Market Fund. Since 1994 both the budget and the number of training places offered have declined, from 94 000 in 1994 to an estimated 69 000 in 1996. Training is administered either through county-level labour centres or directly through the Ministry of Labour.

More than 90 per cent of participants in *county-level programmes* are unemployed. Only 6-8 per cent of trainees are enrolled in ''preventative training'' because their current jobs or skills are deemed at risk. About 80 per cent of training programmes lead to recognised vocational qualifications, the most popular of which are those dealing with computers, office work, restaurant work and domestic trade. Reflecting a decision to encourage youth to remain in the formal educational stream and a desire to enhance practical experience, the authorities reduced the share of school-leavers in training by 35 per cent in 1996.

The Ministry of Labour administers a number of *centralised training programmes* for special groups. It also offers training and career guidance for the long-term unemployed, and, in the context of the National Public Fund for Employment, provides on-the-job training, whereby the long-term unemployed receive individualised on-the-job training from current post-holders. In addition, special training is given to disadvantaged school leavers, and there are programmes to help school-leavers set up their own businesses.

Subsidised employment

Communal employment is a public works programme operated by local governments employing local inhabitants. Up to 1996, 70 per cent of direct employment costs were paid for by local labour offices with money from the Labour Market Fund. In July 1995, this programme was supplemented with money from the central budget to promote the short-term communal employment of those receiving UA. The goals are to reinforce labour force attachment and prevent skill erosion among the long-term unemployed, while filtering out those not truly unemployed.

Wage subsidies to promote the employment of the unemployed. Employers who create extra jobs and employ the long-term unemployed (first job seekers for more than three months, others for more than 6 months) can receive a wage subsidy of between 50 and 100 per cent paid by the employment fund.

Income support to compensate for reduced working hours was introduced in the 1991 Act on Employment. The support consists of a 70 per cent replacement of foregone wages for employees who are subjected to reduced working hours. It is restricted to a

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maximum of one year and is designed to encourage employers to solve temporary employment problems not by downsizing but by part-time employment of their employees.

Support for firms and entrepreneurs

Support for persons starting an enterprise was initially provided by the Re-start programme which was replaced by a Start programme which pays an amount equivalent to the UI benefit for an additional six months and covers 50 per cent of: startup-related enterprise counselling, training and the cost of insurance on start-up loans for a period of one year. This new programme can be applied for by any unemployed worker to whom the employment centre cannot offer a suitable job. Only 1-2 per cent of those eligible choose this option.

Non-repayable grants are made available to investors who begin activities that undertake to employ workers with changed capacity for work, whether due to injury or obsolescence of previous skills. Under the same scheme, repayable interest-free loans and credit guarantees are provided to those whose investments increase employment activities of non-participants or people only marginally active in the labour market.

of these functions within one office can increase the overall effectiveness of labour-market policy.[74] However, as compared with other OECD countries, Hungary's PES appears to be spread rather thinly (Table 32). PES officers face case loads which are, on average two to three times as high as those in other OECD countries. Of the vacancies notified to the PES in 1995, it succeeded in filling 30 per cent.

Experience in OECD countries with ALMP programmes has been mixed, but frequently disappointing. Training schemes tend to be ineffective and costly unless very closely targeted to the needs of employers and the abilities of participants, while experience with employment subsidies and public works schemes is even less encouraging. In 1994, after two years of planning and a one year test period, the Hungarian Ministry of Labour set up a comprehensive monitoring system of its ALMPs. As yet, only limited analysis of these data has been conducted, due to resource constraints. However, certain broad results can already be discerned, which suggest that further refinements are necessary if

Table 32. **ALMP participation and expenditures by programme**

Programme category	Participants on 1 January 1995			Expenditure		
	Total thousands	Share of LF	Share of working-age population	Total million	Per cent of GDP	Per participant[1]
	Forints	Per cent	Per cent	Forints	Per cent	Forints
1. Public employment services and administration	n.a.	n.a.		7 051	0.13	n.a.
2. Labour market training	35.6	0.87	0.51	7 095	0.13	294 402
a) Training for unemployed adults and those at risk	34.2	0.84	0.49	6 995	0.13	328 408
b) Training for employed adults	1.5	0.04	0.02	100	0.00	35 714
3. Youth measures						
a) Measures for unemployed and disadvantaged youth						
b) Support of apprenticeship and related forms of general youth training						
4. Subsided unemployment	71.9	1.76	1.04	9 526	0.17	161 183
a) Subsidies of regular employment in private sector	23.3	0.57	0.34	3 393	0.06	175 824
b) Support of unemployed persons starting enterprise	5.5	0.13	0.08	248	0.00	75 061
c) Direct job creation (public or non-profit)	43.1	1.05	0.62	5 885	0.11	101 227
6. Unemployment compensation	191.6	4.68	2.76	39 704	0.72	211 414
7. Early retirement for labour market reasons	72.6	1.77	1.05	10 665	0.19	175 123
TOTAL	371.7	9.08	5.36	74 041	1.35	223 082
Active measures (1-5)	107.6	2.63	1.55	23 672	0.43	284 523
‘‘Mobilising labour market supply’’ (2*a*, 3*a*, 4*a*-*b*, 5*a*)	62.9	1.54	0.91	10 636	0.19	242 282
‘‘Non-targeted training’’ (2*b*, 3*b*)	1.5	0.04	0.02	100	0.00	35 714
‘‘Work as a social objective’’ (4*c*, 5*b*)	43.1	1.05	0.62	5 885	0.11	161 227
Passive measures (6-7)	264.2	6.45	3.81	50 369	0.92	202 527

1. Calculated as annual expenditure divided by average number of participants.
Source: Ministry of Labour.

ALMP are to become an effective tool in enhancing individuals' employment prospects.

- The apparent success of training programmes (whose participants have higher post-programme employment rates than non participants) is largely due to the fact that only the most able and motivated of the unemployed participate in these programmes. While 50 per cent of participants are employed two years later (as compared with 31 per cent of unemployed non-participants), this improvement in employability is reduced to only 6 percentage points once the skill levels and personal characteristics of participants are allowed for (see Table 33).[75]
- Participants in public works programmes perform significantly less well than the unemployed who do not participate in any ALMP, only 14 per cent being employed two years later. Again, selection processes are likely to be involved here, since individuals with low educational attainment are much more likely to be involved in these programmes than secondary school graduates or those with a vocational qualification.[76] But even when the observed characteristics of participants are controlled for, these programmes do not appear to improve employment performance and may even impede it. Corrected for the above influences, employment rates two years after programme participation remain 15 percentage points lower than for non-participants. The remaining differences may be explained by poor motivation, or perhaps by a screening effect if employers equate participation in these programmes with poor suitability.
- Survey evidence suggests[77] that, while three-quarters of the participants in programmes to promote self-employment were still in business

Table 33. **Employment impact of labour-market programmes**

Percentage employed two years later

	Per cent of participants Employed after two years	Programme impact	
		Raw	Corrected
Training schemes	50.6	10.2	6
Public works	14.0	–16.4	–15
Non-participants	31.4	n.a.	n.a.

Source: Godfrey *et al.* (1995) cited in ILO (1996).

6-8 months after the expiration of their subsidies, a substantial majority of respondents indicated they would have undertaken the project independently of the programme. These results do not indicate the impact which the programme had on the success of these new enterprises, but they do appear to indicate that the programmes' effect on behaviour was small.

A new ALMP programme was set up in 1997 aimed at the long-term unemployed who have never benefited from an ALMP. The programme will provide interviews, career counselling and subsidised employment where necessary. UI benefit claimants no longer receive additional benefit when undergoing training and a recipient whose benefit expires while on training will see the amount of the benefit reduced to the level of *unemployment assistance* benefit. Similarly the income support of new entrants involved in training programmes have been lowered to the level of UA. In 1997 the teacher re-training programme was expanded to include teachers, military officers and health-care professionals with higher education.

Increasing the knowledge base, efficiency and innovative capacity

Upgrading skills and competencies

In Hungary – as in all OECD countries – labour-market performance in terms of employment, unemployment, and wages is directly related to educational attainment: unemployment and low wages, as noted above, are concentrated among the less-educated. A highly-skilled and well-educated labour force is thus critical to a country's ability to raise income levels and maintain international competitiveness while, at the level of the individual, a good education and a life-long willingness and ability to acquire new skills are important elements in labour market success. The importance which Hungary attaches to education is reflected in the resources which it allocates to it. In 1993 educational expenditures were the eighth highest in the OECD (as a percentage of GDP), while student-teacher ratios are the second and sixth lowest at the primary and secondary levels.[78] Although falling, educational expenditures still represented 5.6 per cent of GDP in 1996.

Primary education is unstreamed and geared to provide a basic grounding in both academic and practical skills. The majority of students follow an 8-year programme, which in some school systems can be extended to 10 years. The

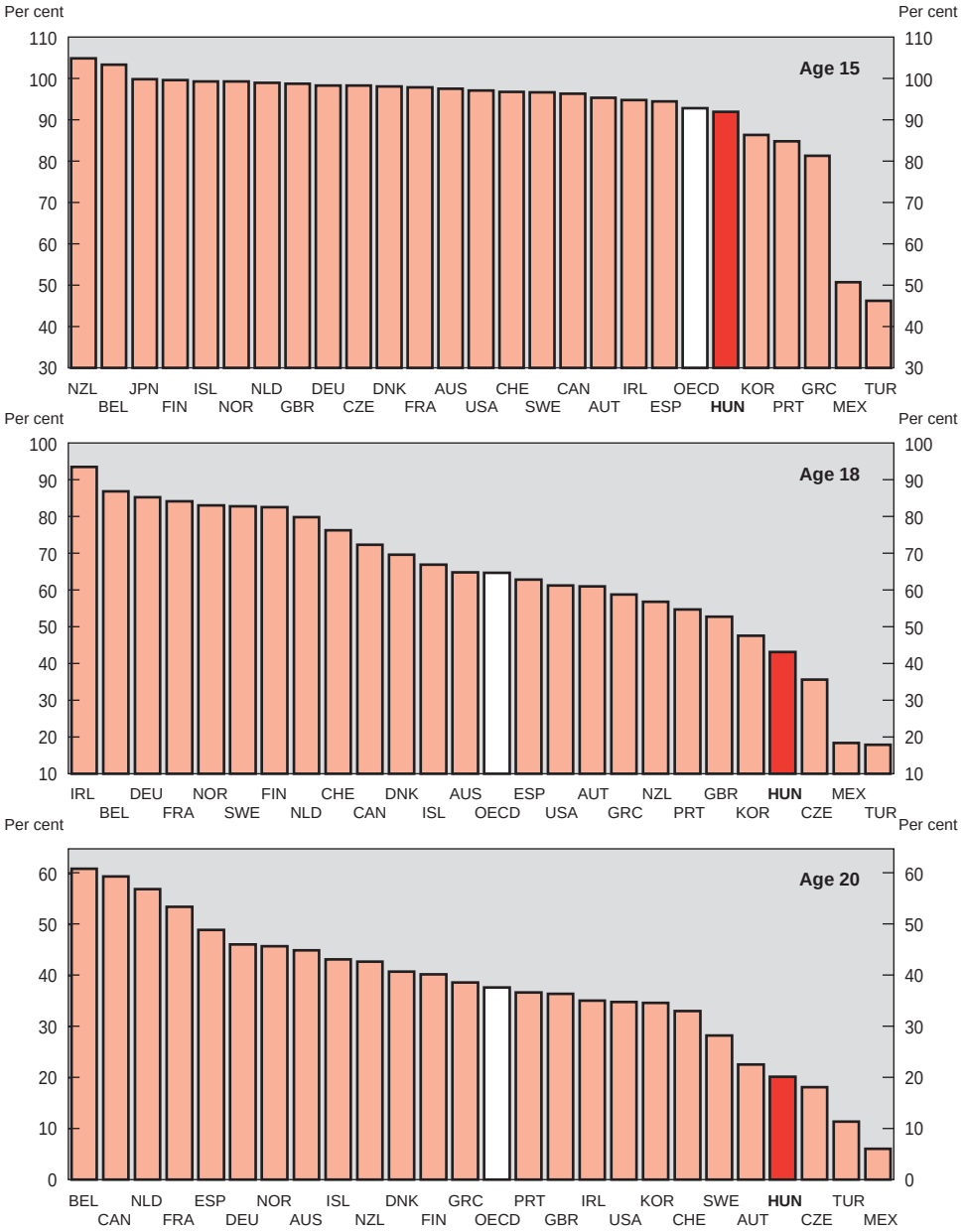
quality of primary education appears to be very good. Literacy rates are high and young Hungarians score well in international tests of mathematical and scientific ability.[79] Even more encouraging, high scores are relatively evenly distributed among Hungarian students as compared with those in other countries. Early successes at disseminating a solid level of educational attainment to a large percentage of the population are not reflected in later years. School enrolment rates drop dramatically after age 14, falling to 92 per cent for those 15 years of age (the fourth lowest rate among OECD countries). At age 18 it has fallen to 45 per cent, much lower than the OECD average of 65 per cent, and finally only 8 per cent of 24 year olds attend schools compared with 16 per cent on average in the OECD (Figure 26).

The system of secondary education consists of several streams. Two lead to the university preparatory Mature Examination for Secondary Education. The first (the gymnasia) concentrates on academic preparation, while the second provides a mix of both academic and vocational studies. In the past access to the university level of education was very restricted. Since 1990, however, first-year enrolment rates have expanded greatly – nearly doubling from 20 000 to 40 000. Nevertheless, a high percentage of applicants are refused entry and the majority of those admitted come from the gymnasia. A third secondary-school type prepares students for various technical and vocational qualifications, and will also prepare students for the Certificate of Secondary Education once it is instituted. Enrolment rates in this third type of school are declining but it remains the largest secondary-educational stream. Among OECD countries, Hungary has the sixth highest share of secondary-school graduates in vocational or apprenticeship programmes.

In the early 1990s, the administration increased the scope for the introduction of new schools and new school types. The democratisation of the education system led, among other things, to a tendency for gymnasia to extend their curricula downwards which introduced into primary education a degree of streaming (specialisation of students) and quality differentials that was not previously present. The proliferation of school types also raises questions concerning overall systemic efficiency and costs, which, of course, must be balanced against greater innovation and choice.

The aptitude for technical studies demonstrated at the primary level is not reflected in the studies of university students. Around a third of post-secondary

Figure 26. **ENROLLMENT RATES BY AGE, VARIOUS COUNTRIES**



Source: OECD.

degrees are awarded in the sciences, the second smallest percentage within the OECD.[80] As indicated above, at the aggregate level Hungary has a relatively low number of tertiary-level graduates. Only 17.7 per cent of the graduating-age population had earned a college or university degree in 1994, as compared with an OECD average of 26.1 per cent, while only 1.6 per cent earned a second university degree as compared with an OECD average of 3.5 per cent. International comparisons are complicated because, until recently, Hungarian tertiary studies did not follow a pattern of multiple degree acquisition. Rather, students received one degree, a bachelor's, master's, or doctorate depending on their course of study – and even here the relative quality of degrees varied widely. This appears to be changing, younger cohorts are pursuing formal education longer than in the past, the notion of an intermediate first degree is gaining acceptance and the Ministry of Culture and Education has set a target of 31 per cent university enrolment rates by 2002. In 1995, 17 per cent of 25 to 34-year-olds had completed some tertiary schooling (either a college or university degree) as compared with only 10 per cent of those between 35 and 60 years old. Indications are that the present 20 to 24-year-old cohort will have even higher levels of educational attainment when its studies are complete.

Since the publication of the OECD's *Review of National Policies for Education for Hungary* in 1995, there are a number of signs of improvement. Nevertheless, educational outputs, as measured by graduation rates and international test scores, suggest that the authorities need to continue efforts to widen access to higher levels of education. In particular, the current – although declining – emphasis on occupation-specific vocational training still appears excessive, while the limited transferability of educational credits (and acquired knowledge) across different secondary school systems continues to reduce the system's flexibility. It is recognised that, given their weight in overall enrolments, the curricula in vocational schools must be widened if the average quality of education is to be improved. In this context, a national core curriculum was established in 1995 which is to be implemented by all schools – including vocational schools. A lack of transferability of credits within and especially between tertiary-level institutions makes that system unnecessarily fragmented. Some course credit transferability has been introduced on a voluntary basis – within universities – but there is limited transferability of credits across schools. In a similar vein, efforts are also under way to streamline tertiary education admittance procedures so that basic

entrance exams need be taken only once. A more rational differentiation between undergraduate degrees offered by colleges and universities and greater inter-institutional recognition of these degrees would contribute to better integration of the tertiary sector into economic life. In addition consideration should be given to better integrating the research and teaching functions at the tertiary level. Although researchers of the Hungarian Academy of Science frequently teach, the relationship between these activities and their financing are not at all transparent.

Product market competition

As discussed in Chapter III, the process of privatisation is drawing to a close and control of the Hungarian productive economy lies almost entirely in private hands. The telecom, electrical and gas distribution and the banking sectors have been privatised and in this respect the Hungarian economy can be considered more liberalised than that of many OECD countries. The privatisation of natural monopolies, such as the gas, electricity and telecom sectors has allowed their production, networking and distribution functions to be separated. Multiple sources of supply ensure competition in the production of electricity and the supply of natural gas, while the national transmission network remains a regulated monopoly and local distribution concessions are licensed to firms under competitive tender. Moreover, market opening and accompanying contestability have contributed to a substantial penetration of foreign firms into a wide range of Hungarian activities. For example, although long-distance telephony remains a domestic monopoly, international call-back services are capturing substantial market share.

Overall, product market competition in Hungary is strong and the government has maintained a consistent pro-enterprise stance. The regulatory environment is relatively relaxed. Shops may open any day of the week and there are no restrictions on their hours of operation. The small and medium enterprise sector is very active. As already indicated, in 1995 there were over 1 million enterprises operating in Hungary, the vast majority of which are partnerships or sole-proprietor enterprises. On the other hand, despite this dynamic entrepreneurial activity, economic activity is concentrated in a relatively small number of successful firms. Although official concentration ratios are unavailable, press reports indicate that the top 200 firms control 38 per cent of economic activity and the

percentage of total turnover accounted for by the largest 20 per cent of enterprises increased from about 60 per cent in 1992-93 to over 75 per cent in 1995-1996.

During the course of 1996, amendments were made to Hungary's competition statute. In part this was motivated by the Europe Agreement in which Hungary undertook, *inter alia*, to change its competition law so as to approximate as much as possible what is found in the European Union (EU). Enforcement of competition policy has concentrated on consumer fraud and abuse of market dominance cases brought before the Office of Economic Competition by consumers' and competitors' complaints. Beginning in 1995 the office has investigated a growing number of cases involving mergers and acquisitions. The purchases of the government and public utilities (private or state owned) are regulated by the 1995 Act on Public Procurement which was designed to conform to EU directives. It ensures that the tender process is transparent although in some instances the state may invite tenders and negotiate a final deal directly. The Act provides for quick remedies through an arbitration committee which investigates complaints and sanctions infringements of the act. Under existing rules, and in compliance with Hungary's Europe Agreement, Hungarian products (goods with at least 50 per cent Hungarian value added) are afforded a 10 per cent price-advantage over non-Hungarian suppliers.

In areas of natural monopoly, regulatory regimes were decided upon during the process of privatisation and have presented certain teething problems. In the telecom sector the original contract set up a system of price determination whereby firms were provided with a guaranteed return on their investment, with annual increases determined by cost increases less an efficiency factor which for the initial period following privatisation was set at 0. In 1996, the government had the opportunity to adjust the efficiency factor but did not do so, allowing the operator a 23.3 per cent price increase. In the event, the operator raised its prices by only 19.3 per cent, suggesting that the current regime is not binding and that the current regulated price is actually higher than the monopolists' profit-maximising price.

In the energy sector the decision to raise prices by less than the amount recommended by the Energy Office sparked a considerable controversy in 1996. In the autumn of 1996, the Energy Office recommended a 39 per cent increase in energy prices in order to ensure the newly privatised firms the agreed 8 per cent return on their investment. The government asked the energy commissioner to

review the recommendation and he reduced the allowed price increase to 24.5 per cent for electricity and 18.8 per cent for gas. In making his revision the commissioner excluded from his calculation a wide variety of costs[81] that had been included by the Energy Office. Subsequently the government asked the Energy Office to include these costs gradually over the next five years. A number of energy-sector firms considered the revision of the price-hike a breach of contract and threatened, or are preparing, to sell their stakes. Moreover, firms frequently complain that the regulatory and legal environments are too unstable, making long-term planning unnecessarily difficult. Although the initial sales contracts prohibited subsequent sales for a period of five years the government has agreed to permit a number of firms to sell off or reduce their stakes.

Technology and innovation

The capacity of an economy to adapt to change and to improve living standards depends critically on its ability to harvest new technologies and to innovate successfully. Prior to the democratic reforms of the 1990s Hungary enjoyed an important technological advantage as compared with other Central and Eastern European countries in a number of sectors. Following the opening of the economy some of this advantage was lost, but new comparative advantages have been revealed (see Chapter III). Technological progress, in the form of technology transfers, new management, marketing and financial techniques, has been achieved through direct advice from western government and non-government agencies, but more importantly through foreign direct investment. Foreign enterprises and joint ventures bring with them best-practice technologies which are transferred directly to local employees and indirectly through demonstration effects to domestic competitors. Having access to new products and production techniques from their international affiliates, foreign-owned firms and joint-venture firms tend to be more innovative than domestic firms, in terms of both product and process innovation (Table 34). Overall, measures of research and development activity *per se* indicate a decline in activity since 1990. R&D expenditure as a share of GDP has fallen from 1.1 per cent of GDP in 1991 to 0.7 per cent in 1995, one of the lowest ratios in the OECD. However, R&D investment at higher education research units has actually increased as a share of GDP, while some multinationals, such as GE, Knorr, Bremse, Furakawa and Ercisson have established centres of excellence and R&D in Hungary. The business sector accounts for over one-third of all R&D and surveys suggest that

Table 34. **Process and product innovation by sector and firm ownership**

	Hungarian ownership	Joint ventures	Foreign ownership
Percentage of enterprises introducing new products			
Industry	71.4	76.7	75.8
Infrastructure	68.1	81.6	66.2
Food industry	70.0	71.9	79.6
Percentage of enterprises introducing new processing technologies			
Industry	40.1	48.5	66.0
Infrastructure	48.6	48.9	59.0
Food industry	46.9	51.8	53.4

Source: Survey of Hungarian enterprises in 1995.

the majority of firms are satisfied with their current levels of R&D. Among industrial firms only about a fifth of firms indicate a lack of skilled labour or financing as reasons for a lack of R&D spending. Only agriculture indicates a lack of financing as a significant impediment to pursuing additional R&D activities.[82]

Expenditures for internally-produced R&D or for purchase of R&D results are 100 per cent tax-deductible at the time the expenditure is incurred. Further tax incentives to innovation include personal income tax exemptions for income earned from intellectual property and special financing provisions for loans to support R&D activity. These include a 1 to 3-year delay before loan-repayment must begin, special low interest rates (25 basis points below the NBH repo rate) and various state and foundation-based direct loans and subsidies. Following a restructuring of Hungary's science and technology system, greater emphasis has been placed on cross-sectoral and inter-disciplinary research. Within the Academy of Science's research institutes, more emphasis is being placed on applied and technological research in collaboration with industry. In real terms, total expenditure on direct subsidisation schemes has decreased by 60 per cent since 1992, although expenditure on sectoral competition initially increased before declining somewhat between 1994 and 1995. As of 1 January 1997 firms can, for tax purposes, reduce their pre-tax profits by 20 per cent of their direct R&D and experimental expenditures.

The Central Technological Development Fund emphasises technological transfer, diffusion and regional development, especially among small and medium enterprises. Distribution mechanisms include: university sponsored institutes, local government institutes, colleges, Hungarian Academy of Sciences research institutes, professional organisations and chambers of commerce. Participation in a wide range of national and international programmes is also supported.[83] PHARE[84] provided 2 000 000 ECUs in support of technology transfer to SMEs, including a programme aimed at improving industry-university relations. The government has supported the creation of some 15-20 ''industrial parks''. PHARE money was also used to finance the Hungarian National Business Innovations Centre which was modelled on the European Business and Innovation centre. In addition, the International Technology Institute has been founded to promote international technology transfer and to market Hungarian innovations abroad. In 1996 the National Committee for Technical Development (OMFB) initiated an information technology programme to provide over 1 billion forints to support the development and diffusion of information and communication technologies. Hungarians working abroad are also thought to be a source of long-run knowledge transfer. Technologists who work abroad gather useful insights into new techniques – and although not all return, those who do help to distribute their knowledge domestically.

R&D expenditure within the higher education system has remained more or less constant, although its share in all expenditure has increased. In contrast to some other Central and Eastern European countries, the research institutes of the Academy of Sciences continue to play an important role. Some effort has been made to follow up on the recommendation of the 1992 *OECD Review of National Science and Technology Policy* which proposed, among other things, that the linkages between universities and industries research communities be strengthened. The Zoltan Bay Foundation, created by the government to promote co-operation between industry and public research, launched three technological research institutes in 1994 to promote technology transfer and development in biotechnology, production technologies, and materials and engineering. Currently, between 39 and 44 per cent of non-agricultural firms indicate that higher-education institutes and R&D institutes are among the information sources used to support their innovative activities. Among agricultural firms this ratio rises to 90 per cent.

Assessment and scope for further action

The average production worker in Hungary currently faces an extremely high marginal tax wedge of 61.9 per cent. Reducing these rates requires increasing the tax base both by incorporating the underground economy into the tax-paying economy, and improving the capacity of the authorities to enforce existing legislation by changing the way revenues are collected and improving the tax audit function. Lower average and marginal tax rates will, in turn, reduce the incentive to evade taxes and at the same time improve economic and employment efficiency. Although it is too soon to judge their overall impact, recent efforts at base widening, such as the inclusion of entrepreneurs into the social security tax base and the introduction of a minimum health care payment are steps in the right direction. However, some of the accompanying measures suggest a lack of policy coherence. In particular, the broadening of the social security base so as to incorporate compulsory minimum contributions from entrepreneurial activities still invites taxpayers to under-report revenues from third and fourth incomes, while the introduction of subsidies to pay the increased health-care costs of firms with low-income workers would seem to give firms an incentive to under-report the wages of their employees. The financing of the health-care system is a logical candidate for base-broadening and rate reduction: currently both the universality of the system and its financial viability are threatened by falling employment rates. If the system were to be financed from general revenues, effective labour tax rates could be reduced, as the tax base would be transferred to all income not just labour income.

If tax evasion is to be reduced the capacity of the authorities to verify and audit tax compliance needs to be improved. This would involve reinforcing the tax audit function, both by increasing resources, as was done recently, but more importantly by focusing the audit process more carefully, so as to ensure that all earned income is indeed fully declared. This requires that the audit authority have legal authority to investigate individuals using indirect methods; that industry profiles are developed so that statistically abnormal returns can be selected for audit; and finally that auditors be given sufficient training to conduct effective reviews. Introducing these changes will take time but they are essential if Hungary is to avoid becoming a country with a permanent tax compliance problem.

As is the case in many OECD countries, disability pensions and early retirement have been used to reduce labour supply in a misguided effort to reduce unemployment. The rapid growth and high share of disability pensioners in the population suggests that an important percentage of these pensioners are not, in fact, disabled. Replacement rates under the disability system are more than twice as generous as under alternative forms of social assistance. In order to preserve incentives and enhance horizontal equity, benefits under early retirement programmes should be reduced actuarially, and disability benefits should be reserved for the truly disabled. Proposals have been submitted to Parliament which, if passed would (in 1998) tighten access to the disability pension system and introducing a work rehabilitation and reinsertion component to its activities. These would be welcome initiatives, which should be followed by a change in the provisions by which disabled individuals can be classified as permanently disabled. Advances in medical technology and in career opportunities mean that workers' capacity to participate in economic life may change with time. All disability pensioners, and especially those classified as partially disabled, should be re-evaluated on a regular basis. Clawback provisions which deter disability pensioners from working need to be modified so that income earned is taxed at a less abrupt rate and work incentives are preserved.

The extremely high rates of sick leave and absenteeism constitute an important misallocation of resources and a drain on state finances. The introduction of a waiting period during which the employer is responsible for paying sick leave and the reduction in the replacement rate are welcome reforms that will improve self-policing. The effect of these reforms is apparent in reduced rates of sick leave in 1995 and 1996. However, rates remain well above OECD norms and a much closer control over sick leave appears to be called for. Insofar as the actuarial principles surrounding worker illness are well-understood, a full privatisation of this function might merit the consideration of the authorities.

In general, there is a lack of coherence in the delivery of social assistance. As discussed in more detail in the 1995 *OECD Review of Social and Labour Market Policy in Hungary*, the 1993 Social Act prescribes standards for assessing whether there is a need for social assistance but, with the exception of the long-term unemployed, does not lay down standards for meeting these needs. Unemployment assistance benefits serve to illustrate the problem. Access to benefits is determined by reference to per capita household income but the extent of the

benefit is independent of this measure of poverty. As a result a plethora of additional *ad hoc* benefits not discussed in this Chapter are required to ensure a decent living standard. Inevitably such a system leads to duplication of service, inefficiency and inequity. A preferable system would abolish *ad hoc* social assistance programmes including unemployment assistance and replace them with a unified, means-tested benefit whose level would be determined by reference to total per capita household income. To preserve work incentives, benefit withdrawal would have to be gradual as earned income increases. As part of its overall pension reform, the government plans to implement a new old-age benefit as of 1 January 1998.

As indicated in the 1995 *OECD Review of Social and Labour Market Policies in Hungary*, targeted programmes that focus on the difficulties of well-defined groups, such as the programme for the long-term unemployed, are most likely to be successful. Evaluations of many of Hungary's ALMP suggest, as is the case in most other OECD countries, that as currently designed these programmes have a poor record in improving the employability of programme participants. This is particularly true of employment subsidy and make-work programmes. Improving employability is not the only measure of programme success, however, as maintaining work skills and labour market attachment are also goals of these programmes. Nevertheless, the evidence to date suggests that these programmes should be carefully examined for their relative value. The authorities expect that the computer resources needed to begin analysing all of the programme data will become available in 1997. A high priority should be given to determining, at a detailed level, which programmes have been successful and for which participants. Unsuccessful programmes should be abandoned.

While labour markets have been flexible in *de facto* terms, a number of the legal structures described above have introduced distortions into the functioning of labour markets. These rules are likely to become more distorting as economic activity picks up and rules are more transparently enforced. A number of the rules concerning dismissals are, for example, unnecessarily obstructive and have been identified in other OECD countries as important causes of high unemployment. The authorities should give strong consideration to relaxing these rules while ensuring that arbitrary dismissals remain proscribed. Currently, replacement rates in the unemployment insurance and pension systems are relatively low

in real terms, because benefits are systematically eroded by inflation. However, as inflation falls this could become onerous.

Perhaps, most importantly, the wage-bargaining system will need to be changed over time. The current wage-bargaining system has the potential to play an active role in reducing inflation from its current very high levels and this potential should be exploited to its fullest possible extent (see the discussion in Chapter II). Once a low-inflation environment is established, however, the authorities should give strong consideration to de-emphasising the roles of the central bargain. In a low-inflation environment a hybrid system where a central bargain – negotiated by trade unions representing a small proportion of employees – establishes a wage floor which, through wage drift, can lead to inflationary pressures, a compression of relative wages and disemployment of the relatively low-skilled.

Notes

1. Home construction increased by 14 per cent to 28 250 units, almost all of which were financed privately.
2. The enterprise survey of firms with more than 10 employees reports larger falls of 12 and 5 per cent in 1995 and 1996.
3. Including inter-company loans, net debt was $14.5 billion.
4. Other nominal anchors could have been chosen, namely monetary aggregates or nominal wages. It is difficult to adopt a monetary aggregate target in an economy in transition, though, given the instability of the velocity of circulation. A pre-fixed growth rate in nominal wage could be used to keep inflation under control and the institutions for following this strategy are present in Hungary (see Chapter IV).
5. For an analysis of the credibility of the present exchange rate regime in the first months of its implementation, see Darvas (1996).
6. There are, of course, many other options, like the introduction of administrative measures to slow down short-term capital inflows (a ''Tobin tax'' or new capital controls or limits on the net short-term liabilities of banks to non-residents). Measures of this kind would not solve the underlying problems and would only introduce distortions in the economy. Correctly, the Hungarian authorities do not appear to be willing to follow this path.
7. The authorities may also have to engage in further sterilisation activity and face additional pressure on the exchange rate due to a reversal of currency substitution, if household expectations about the evolution of the economy improve. The stock of foreign currency-denominated household deposits is sizeable, around $3 billion at the end of June 1996, corresponding to about 18 per cent of total household savings or about 20 per cent of Hungary's net foreign debt.
8. The NBH prefers to change its reference rates, mainly the overnight repo rates, in order to control the domestic factors influencing the evolution of monetary aggregates rather than conducting open-market operations, which are inhibited by the lack of government paper.
9. The coefficient of variation of the PPI-based real effective exchange rate after the March 1995 package is indeed lower than that of the previous two years (6.2 versus 9.6, respectively). The corresponding coefficient for the CPI-based real effective exchange rate is basically the same for the two periods
10. Core inflation is defined here as CPI-inflation excluding regulated prices. Regulated prices have been defined as those prices that are set by the government, either directly or indirectly

(significant presence of subsidies/excises taxes). Regulated prices amount to slightly less than one-third of the CPI basket (see Hamecz, Vincze, Zsoldos (1996)).

11. Preliminary research work indicates that prices in the tradeable sector in Hungary are determined by movements in the exchange rate (Vincze, 1997).

12. The higher-than-expected revenues are attributable principally to higher compliance because tax revenues' share of operating surplus fell by only 9 per cent. If increased profitability alone explained the small fall in revenues, the fall would have been about 50 per cent.

13. Press reports indicate that the police force owes about 1 billion forints to the social insurance sector.

14. The World Bank is refusing to release a $2 000 000 loan earmarked to help transform the social-security system because of a lack of progress.

15. Currently benefit levels are indexed to increases in average wages. Under the current proposal, a weighted average of the increase in wages and consumer prices would be used to index pensions.

16. In the event, relatively few educators enrolled in the training programme.

17. For an analysis of the profit/loss situation of individual Hungarian banks in the early 1990s, see Varhegy (1995).

18. See OECD (1995*a*) for a description of the different programmes implemented by the government with respect to bank consolidation.

19. Budapest Bank, one of the largest banks in the country, was privatised by means of a sale to foreign investors, including the EBRD (one of the so-called big banks, Postabank, was set up as a private institution). In late 1996, 89 per cent of the Hungarian Credit Bank (MHB) was sold to a foreign bank, by means of a closed tender. Majority control in OTP, the savings bank, was transferred to the private sector through private placements, public offerings, and management and employees' buy-outs. As an indication of the progress made in restructuring the banking system, the MHB was defined as ''an unattractive communist-era banking monolith'' by *Business Eastern Europe* in its issue of 22 May 1995.

20. It is one of the long-term state assets (see the section on privatisation on this issue). The state also owns other small and medium-sized banks (see Table 10), some of which are slated for privatisation in the near future.

21. Classification of loans largely depends on decisions made by the banks themselves. Each bank, in fact, submits a debtor assessment form, which sets the bank's own criteria for loan classification, to its auditor and to the SBS for approval.

22. Defined as the ratio between long-term credits to enterprises and short-term household deposits.

23. This is by no means a ''Hungarian phenomenon'' only: the maturity transformation ratio has declined dramatically in the Czech Republic as well, see OECD (1996*a*). A move towards shorter-term bank debt may be a necessary ''growing pain'' for enterprises and banks in a transition country. By issuing short-term credit, banks develop monitoring skills and by serving it in a timely fashion, enterprises establish credit histories.

24. Blue chips have been able to borrow on the international market.

25. See Cornelli, Portes and Schaffer (1996) for a non-technical presentation of the issues concerning enterprise financing in Central and Eastern Europe.

26. A change in the tax regime has recently slowed down the growth of this market.

27. Spreads in other transition, and non-transition, countries are just as high as in Hungary. A spread of 5-6 per cent was also mentioned in one of the previous surveys as that guaranteeing a positive real rate of return on equity, once the bad loan problem had been solved, see OECD (1993).

28. At the same time, their administrative costs could be lower than those of large banks.

29. In Poland, 17 out of 85 banks had a capital adequacy ratio below 8 per cent at the end of 1995 (see OECD, 1996*b*, p. 76). In Slovakia, this ratio, for the banking sector as a whole, was 6.7 per cent at the end of 1995 (see OECD, 1996*c*, p. 52) while it was around 12 per cent for the Czech banking sector at the end of the third quarter of 1996 (in 1996 the Czech authorities launched a programme aimed at consolidating the banking sector by removing insolvent banks as well as supporting other small banks through re-capitalisation, see Czech National Bank, 1996, p. 3).

30. On the specific case of Polgari Bank, the authorities have announced that the bank is to be re-privatised in the near future. The question is thus why could not the parent bank sell Polgari Bank itself, without the intervention of the state.

31. There have been cases when the same apartment has been sold by the same ''owner'' to different people, for example.

32. The main principles of the law and the corresponding privatisation strategy were outlined in the previous Survey (OECD, 1995*a*).

33. State banks were treated slightly differently since the ministry of finance holds proprietary rights while ÁPV Rt is responsible for property management. Bank privatisation has, thus, to be conducted in agreement with the ministry of finance.

34. In many of these companies the state has retained a golden share, hence exerting influence over important decisions.

35. See ''Hungary Around the Clock'', *Hungary Report*, 29 January 1997.

36. About one quarter of the shares that will be transferred is in pharmaceutical companies (which could raise questions of conflict of interest if the health fund is the holder of these shares), about one third of the shares will be in energy sector companies and the remainder in other companies.

37. Such an approach (''sensitive/strategic enterprises must be helped'' and/or ''banks cannot fail'') is also widespread in other OECD member countries.

38. As described in the section on the banking system, such state intervention was stipulated in the contract but was not made public when the contract was signed.

39. The computation of end-user fees appear to have been determined in accordance with the inflation target of the authorities, while the law stipulates that fees are to be determined according to a formula which, among other parameters, establishes a guaranteed profit rate. The government's inflation targets and the relative price adjustments required by the utilities costs and reflected in the fee-formula may not be compatible.

40. Its revealed comparative disadvantage in 1989 was in motor vehicles and other machinery for particular industries. In 1995, it was in motor vehicles and medicines.

41. Around 15 per cent of imports and 21 per cent of exports are due to OPT.

42. See Baldone, Sdogati, Zucchetti (1997).

43. The import surcharge, which is to be eliminated by 1 July 1997, was 8 per cent and was applied to consumption goods only.

44. Hungary has also a goup of goods that fall into a ''monitoring list''. Authorities say that they maintain this list for statistical reasons, but other observers (Csaba, 1996) say that this measure is just a device for avoiding the imposition of quotas or countervailing duties. It is basically a device to make import of some goods a bit more complicated from a purely bureaucratic point of view.

45. The Labour Force Survey (LFS) unemployment rate published by the Central Statistical Office (CSO) includes among the employed (and hence the labour force) military conscripts and individuals on extended parental leave. This causes their unemployment rate to be lower than the OECD standardised rate (see Annex III).

46. Although the registered and LFS unemployment rates are broadly of the same magnitude only 54 per cent of the registered unemployed are deemed unemployed by LFS criteria. Similarly, fully 33 per cent of the unemployed (LFS definition) are not registered.

47. Calculated as total employment (excluding conscripts and individuals on parental leave) age 15-74 divided by working-age population (age 15-64). National definitions employ a smaller working-age population consisting of men 15-60 years of age and women 15-55 years of age and include individuals on parental leave among the employed.

48. Comparison of the annual and monthly data suggests that a fair amount of the monthly labour turnover represents either labour market churning by a relatively small group of individuals or spurious transitions in the monthly data.

49. See Boeri and Scarpetta (1996).

50. The 1996 ILO report *Labour market and economic transition* contains an interesting discussion of the Roma population (pp. 78-81). Roma unemployment rates are 3 times as high as those of non-Romas and their employment rates are half those of non-Roma. Roma wages are 20 per cent lower than average. Roma labour-force attachment rose significantly during the communist period. In 1993, male participation rates were 76 per cent as compared with 84.6 per cent for non-Roma. Among women, the rates were more divergent (42.5 per cent for Roma women and 72.8 per cent for non-Roma). Educational attainment among Roma is lower than average: only 10 per cent of Roma have completed secondary general education as compared with 34 per cent among non-Roma. Roma were among the first to lose their jobs in the transition and have had the most difficulty finding new employment. In 1993, the average duration of a Roma unemployment spell was 58 weeks as compared with 31 weeks for the non-Roma population. By one estimate, only 50 per cent of the Roma/non-Roma unemployment rate differential can be explained by educational, occupational and geographic characteristics while 66 per cent of the wage differential is explained by these factors. The residual may be explained by explicit or implicit discrimination. Kertesi-Kollo (1995) find one-third of the wage differential and 15-19 per cent of the unemployment rate differential is unexplained by individual characteristics.

51. Lackó (1992) found 30 per cent based on an econometric modelling of the cash needs of the economy. Arvay and Vertes (1994) got similar results. Tóth (1996), using a household survey approach, found lesser proportions. The CSO official GDP statistics add-in between 10-15 per cent to recorded activity to account for the underground economy, so at most GDP may be understated by 15-20 per cent. No correction is made, however, to employment statistics.

52. ILO (1996).

53. Tóth (1996) found similar results.

54. ILO (1996).

55. ILO (1996), based on data for the distribution of earnings among the working-age population, thus including those out of work with zero earned income.

56. See OECD (1996*c*) and OECD (1996*a*), some domestic sources suggest a return in excess of 3:1.

57. Varga (1996).

58. ILO (1996).

59. Unions are not required to report their membership.

60. The government-sector national interest reconciliation council of public sector institutions (KIET) is quadrilateral. In the public sector, collective contracts can be signed and in this framework, and, within legal limits, collective bargaining can be carried out at institutions employing civil servants.

61. The large difference in the behaviour of the PPI and CPI reflects changes in relative prices following price liberalisation. A wide variety of consumer goods were subsidised under the previous regime and their prices have increased by substantially more than producer prices.

62. *Civil servants* work as managers or as officials making decisions or performing important tasks within the scope of competence of the public administrative bodies. Civil servant status also extends to officials performing administrative functions at public administration organisations and to employees doing manual work at these organisations. *Public servants* are employees of central and local publicly-financed organisations performing public functions other than public administration (including complex public functions such as education, culture, health care, etc.).

63. See Semjen and Tóth (1997*b*).

64. The pension fund and the health insurance are administered by independent bodies responsible to the parliament but administratively separate from the government itself. Until recently there were as many as thirty-one separate and independent funds and associated programmes each of which had an independent source of funding made available to it.

65. See Semjen and Tóth (1997*b*).

66. Firms whose workers earn, on average, less than 50 000 forints and whose total liability under the programme is under 100 000 forints, are eligible to a subsidy of between 70 and 20 per cent of the 1800 monthly. The subsidy is to be paid from the labour market fund and an additional 1.5 billion transfer from the central budget has been earmarked for this purpose. Firms with liabilities between 100 000 and 200 000 forints may apply for additional help at county labour offices.

67. Reported in Micklewright and Nagy (1996).

68. See Boeri and Edwards (1997).

69. Blondal and Pearson (1995) and CSO. In the United States the comparable figure is 5.6 days (Table 208 of the 1996 Statistical Abstract for the United States).

70. Calculated as the sum of the number of workers on employer-paid sick leave (1.9 per cent of all employees) and state-paid sick-leave (5.9 per cent of all employees).

71. Comparable rates for western Germany, Greece, New Zealand, Portugal and Sweden are: 3.5, 3.8, 3.3, 1.5 and 6.4 per cent (OECD, 1997). Disability pensions in a number of countries are only available to the working-age population. The rate of disability among individuals of working age in Hungary at 7.4 per cent in 1995 remains among the highest rates in the OECD.

72. Micklewright and Nagy (1996).

73. The employment-promotion schemes include: subsidies of regular employment in the private sector, direct job-creation through public works programmes and programmes aimed at supporting the unemployed who wish to start their own enterprises.

74. OECD (1996*d*).

75. O'Leary (1994) and Godfrey *et al.* (1995).

76. Micklewright and Nagy (1996).

77. Frey (1994).

78. OECD (1996*a*).

79. OECD (1996*a*).

80. Based on calculations using data from Table R14.1 in OECD (1996*a*). For purposes of this calculation the sciences were considered the sum of medical science, natural sciences, mathematics and computer science and Engineering and Architecture.

81. Among the costs excluded were: insurance costs (estimated to account for a 1 percentage point decline in prices)' environmental costs (1.9 percentage points off); accumulation of strategic reserves (1.1 points off); costs associated to delayed maintenance (1.4 points off). Increased efficiency accounted for 2.2 points off for gas and 1.6 points off for electricity. Modifications to depreciations rules accounted for 1.9 points off for gas and 2 points off for electricity. The reduction of the ''guaranteed'' return on capital from 8 to 4 per cent accounted for a decline of 5.8 points. Finally, producer price growth equal to 19, rather than 14, per cent added 3 points (See *ECONEWS*, 26 November 1996).

82. ''Innovation processes in the Hungarian Economy'', National Committee for Technological Development (OMFB), 1995.

83. Supported programmes include: Applied Research Competition, Competition for the Improvement of RTD Infrastructural Conditions, Competition for the Development of New Exportable Products, Support of the Hungarian Participants of the Fourth RTD Framework of the EU and System of National Projects, Support of the International Registration of Hungarian Innovations.

84. Poland/Hungary Aid for Restructuring the Economy (PHARE), is a EU programme for assisting transition in a wide variety of transition countries, not just Hungary and Poland.

Glossary

ÁPV Rt.	Hungarian Privatisation and State Holding Company (Állami Privatizációs és Vagyonkezelõ Rt.)
CSO	Central Statistical Office of Hungary (KSH, Központi Statisztikai Hivatal)
HSHC	Hungarian State Holding Company (ÁV Rt., Állami Vagyonkezelõ Rt.)
EBRD	European Bank for Reconstruction and Development
IRC	Interest Reconciliation Council (ÉT, Érdekegyeztetõ Tanács)
K&H	Commercial and Credit Bank (Kereskedelmi és Hitelbank Rt.)
KIÉT	Interest Reconciliation Council for the Public Sector (Költségvetési Intézmények Érdekegyeztetõ Tanácsas)
MATÁV	Hungarian Telecommunication Company (Magyar Távközlési Rt.)
MHB	Hungarian Credit Bank (Magyar Hitelbank Rt.)
MOL	Hungarian Oil and Gas Company (Magyar Olaj- és Gázipari Rt.)
MVM	Hungarian Electricity Company (Magyar Villamosmûvek Rt.)
MTA	Hungarian Academy of Sciences (Magyar Tudományos Akadémia)
NBH	National Bank of Hungary (MNB, Magyar Nemzeti Bank)
OMFB	National Committee for Technical Development (Országos Mûszaki Fejlesztési Bizottság)
OTP	National Savings Bank (Országos Takarékpénztár és Kereskedelmi Bank Rt.)
OVIT	National Electricity Grid (Országos Villamostávvezeték Rt.)
PES	Public Employment Service
PHARE	Poland/Hungary Aid for Restructuring the Economy
SPA	State Property Agency (ÁVÜ, Állami Vagyonügynökség)

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Annex I

Pension reform

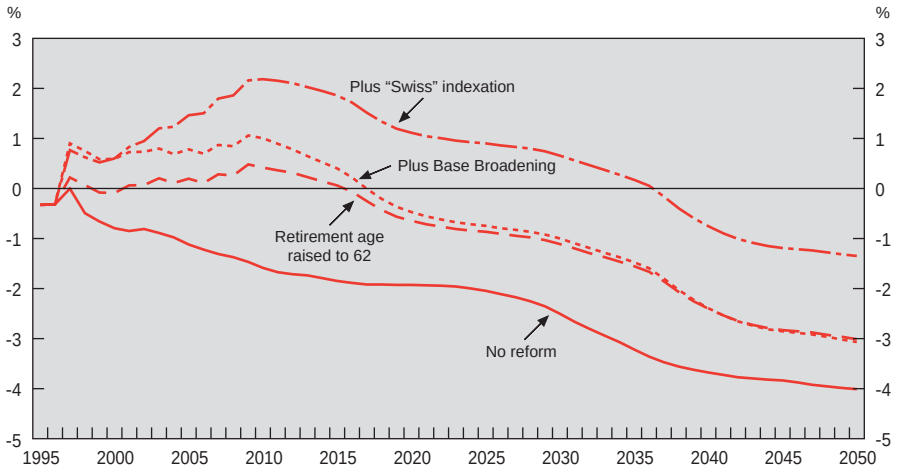
The Hungarian pension system is in the process of being reformed from a pay-as-you-go (PAYG) system to a three-tier system comprised of a PAYG tier, a fully-funded compulsory tier, and an optional fully-funded tier. The ageing of the population, declining employment rates and a large and rising share of the workforce on early retirement and disability pensions has prompted the government to undertake a number of reforms in recent years. These reforms have improved the medium-term prospects of the system, without entirely resolving the problem of substantial deficits in the next century. Reforms have included the raising of men's and women's retirement ages from 60 and 55 in 1995 to a uniform 62 years by 2009 and a broadening of the contribution base to include more people and more forms of labour income. In the absence of these reforms, the PAYG deficit would have grown from just under 0.5 per cent of GDP in 1995, to some 4 per cent of GDP by 2050 (Figure A1). The gradual increase in retirement ages will delay the emergence of a significant deficit until 2016; base-broadening improves revenues over the short-term but the effect wears off as new contributors become pensioners.

The PAYG system is still expected to develop a substantial deficit starting in 2017. In its latest reform package the government proposes to change the indexation scheme for the PAYG system from a purely wage-based system to a 50 per cent weighted average of the increase in wages and in consumer prices. This so called ''Swiss'' indexing system introduces substantial economies and would mean that, even in the absence of additional reforms, the PAYG system would generate a large surplus over much of the next thirty years before moving into deficit in 2040.

The government package takes advantage of this medium-term surplus to help finance the transition to a more equitable and financially-sustainable three-tier system. The first tier of the new system would consist of a scaled-down PAYG system, complemented by a compulsory, privately managed, fully-funded second tier and a voluntary, fully-funded third tier. The government would also introduce a new means-tested social assistance benefit for those who do not otherwise qualify for a pension. The new system would be compulsory for new entrants, while existing employees (under 47 years of age) will be allowed to opt for the new multi-tier system or remain with the modified PAYG system. Individuals falling under the new system will place one quarter of their total contribution into a personalised account with a private pension fund that will in turn

Figure A1. **CUMULATIVE EFFECT OF REFORMS TO PAYG BALANCE**

Balance as per cent of GDP



Source: Ministry of Finance.

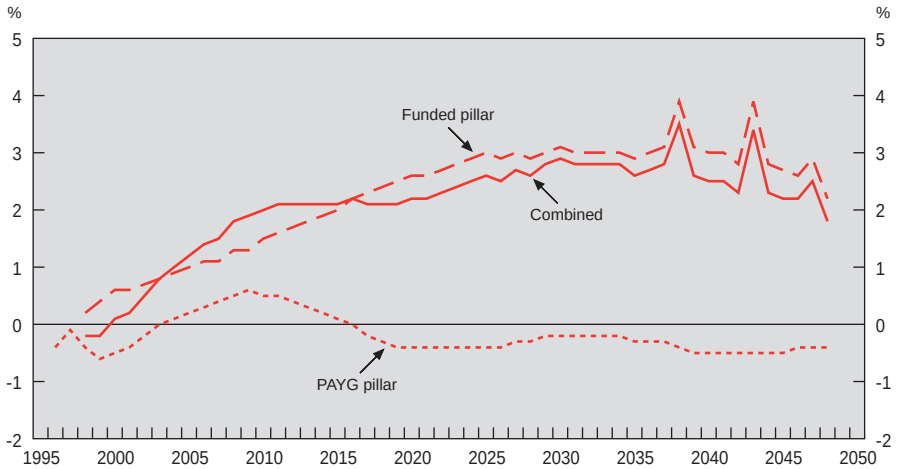
invest the money with approved mutual funds. The government will enforce the prudential regulation of pension funds by supervising and monitoring the funds, which will be required to contribute to a Pension Guarantee Fund (modelled on deposit insurance schemes). In the unlikely event that the return on an individual's savings is less than what it would have been under the PAYG system, the government would top up his PAYG pension to the level of the pension under the opted-out system.

In the new system, employers' payments would be reduced by 5 per cent. Workers participating in the multi-tier system will pay 1 per cent of gross earnings into the PAYG system and 14 per cent into the fully-funded scheme whereas those remaining in the PAYG system will pay into it. The tax treatment of pensions will be changed so that contributions are tax deductible but benefits are taxable. Personalised pension fund accounts will be inheritable under the new system and will be converted into annuities at retirement. The annuities are to be actuarially determined although there is opposition to the idea that annuities of females (whose life expectancies are longer) might be lower than the annuities of equivalent males.

The parameters of the system have been designed so that, on average, workers under the age of 35 to 40 will be better off if they opt out while those over this age are better choosing the ''one-tier'' PAYG pension. Because of the reduced contributions to the PAYG tier of the new system, it will be in deficit during the period 1995-2003 and 2016-2050. The deficit at its peak will not exceed 1 per cent of GDP (a level that the

Figure A2. **PROJECTED BALANCE OF MULTI-PILLAR SYSTEM**

Balance as per cent of GDP



Source: Ministry of Finance.

government feels can be financed comfortably). Net contributions to the compulsory second tier will peak at around 1.6 per cent of GDP between 2017 and 2025, but after that the surplus will gradually vanish (Figure A2). The combined pension system will have a positive net impact on national savings. Although the combined balance will gradually deteriorate from 2010 onwards it will remain in surplus until 2038 after which it will reach a deficit close to 0.3 per cent of GDP (Table A1).

Table A1. **Impact of various pension reforms**

	Year moves into deficit	Average balance level	Deficit in 2050
		Per cent of GDP	
System before 1995	Immediately	–2.2	4.0
Plus raised retirement ages	2016	–1.0	3.0
Plus base-broadening	2017	–0.7	3.1
Plus ‘‘Swiss’’ indexing	2037	0.6	1.3
Reformed pension			
PAYG pillar	2017	–0.2	–0.4
Funded pillar	never	2.3	2.2
Combined	never	2.1	1.8

Source: Ministry of Finance.

Annex II

Interest rate spread

The interest rate spread can be derived from the following accounting identity:

(*1*) $\Pi = i_L L + O - i_D D - A - T - P$

where Π is after-tax profits, i_L is the average lending rate, L is the stock of loans to enterprises and households, O is other net income, i_D is the average non-bank deposit rate, D is the stock of non-bank deposits, A is administrative costs, T is taxes and P is provisions. Dividing by L and using some simple algebra, yields the interest rate spread:

(*2*) $i_L - i_D = a + p + t + - o + \varepsilon$

(*2'*) $\varepsilon = - i_D (1 - D/L)$

Lower-case letters correspond to the upper-case variables divided by L. The residual is positive if non-bank deposits exceed loans to households and enterprises. A positive residual could be an indication of lack of active intermediation, while a negative residual indicates that banks are funding their loan portfolio from sources other than deposits. Although no causal link can be precisely inferred from (2), some useful insights can be gained. Between 1993 and 1995 the interest-rate spread in Hungary declined from 9.4 to 6.4 per cent. The fall in the overall spread reflected a substantial rise in ''other sources of income'' which more than offset a rising contribution to the spread from taxes, administrative costs and overall profitability (provisions plus the accounting profit margin) (Table A2).

The spread in 1995 lay within the range observed in other OECD member countries (Table A3). The ''weight'' of the different components, though, was strikingly different: taxation and administrative costs played a bigger role than in most other countries. The rising contribution of administrative costs to the overall spread in Hungary may indicate that organisational restructuring should be accelerated.

The rise in administrative costs as a per cent of loans is principally due to a fall in the volume of loans, and to a lesser extent to a rise in employment. All other factors served to reduce costs and bear witness to consolidation. Table A4 disaggregates the real rate of growth of administrative cost term in Tables A2 and *A3* (the ratio between operating expenses and loans) (d(A/L) / (A/L) = g) according to the following formula:

(*3*) $g - \theta = (w - \theta) + e + (x - \theta) - y$

Table A2. **Decomposition of bank spread**

	Hungary		
	1993	1994	1995
SPREAD	9.44	6.82	6.40
Administrative costs	7.78	8.58	10.27
Tax payments	0.32	0.84	0.88
Accounting profit margin	–15.50	1.09	3.11
Provisions	21.57	9.56	5.09
Other sources of income (net)	2.32	8.31	14.92
Residual [1]	–2.41	–4.95	1.97
Memorandum item:			
Short-term spread	9.8	7.1	6.5

1. Residual = $-i_D\{1 - D/L\}$, see main text for definitions.
Source: OECD, on the basis of data provided by the National Bank of Hungary.

Table A3. **Comparison of bank spreads**

	Hungary	Germany	France	Greece	Portugal	Czech Republic
	1995	1993	1993	1993	1993	1994
SPREAD	6.4	6.6	4.4	9.2	5.4	6.1
Administrative costs	10.3	3.1	3.9	9.0	6.7	4.6
Tax payments	0.9	0.4	0.3	1.2	0.6	0.4
Accounting profit margin	3.1	0.5	0.1	2.7	1.8	0.6
Provisions	5.1	1.1	1.6	1.2	3.1	4.4
Other sources of income (net)	14.9	–2.5	–3.7	8.3	3.4	–3.4
Residual	2.0	–1.0	–5.1	3.5	–3.4	–0.4

Source: OECD (1995), *Bank Profitability: Financial Statements of Banks, 1984-93*; OECD; International Monetary Fund.

Table A4. **Decomposition of growth in the administrative cost term**

	Real costs	Real wages	Employment	Other real costs	Volume of loans
	$g - \theta$	$w - \theta$	e	$x - \theta$	y
1993/94	0.8	7.2	0.4	–4.7	2.1
1994/95	4.6	–13.5	12.8	–18.1	–23.4

Source: OECD.

where w is the average nominal growth rate of gross wages (approximated by average gross earnings in the financial sector); θ is PPI inflation; e is the increase in employment in the financial sector; x is the nominal growth rate of ‘‘other costs’’; y is the volume growth of loans. Although, taking employment and average wages together, the real wage bill declined slightly, the high contribution of administrative costs to the overall spread and the rise in total employment in a year of declining business could be interpreted as indicating a failure to restructure. The rise in employment probably reflects necessary hiring in new areas of bank activity, but additional layoffs may yet be required in banks’ traditional areas of activity.

Annex III

Measuring employment, unemployment, labour force and the working-age population

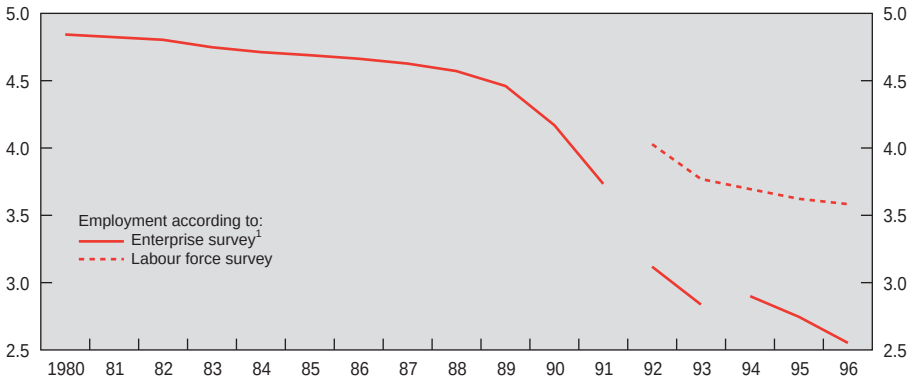
Definitions of unemployment, employment and the working-age population tend to vary across countries. Table A5 indicates the principal differences between the Hungarian administrative statistics used to calculate the registered unemployment rate, the Hungarian Labour Force Survey (LFS) statistics and those used by the OECD to ensure a maximum of international comparability. Although the number of registered unemployed and the unemployed from the labour force surveys are similar, only about 50 per cent of the unemployed from either count is considered unemployed by the other. Of the 520 000 registered unemployed in the second quarter of 1996, 13.8 per cent were classified as employed by the Hungarian LFS, 34.3 as not in the labour force and only 51.9 per cent as unemployed. Similarly only 41.6 per cent of the LFS unemployed are also registered as unemployed with the PES. The principal difference between the OECD and Hungary

Table A5. **Alternative definitions of labour-force statistics**

Statistical category	Administrative	Hungarian LFS	OECD LFS
Unemployed	All individuals (15-74 years old) registered as unemployed with the PES.	Individuals (15-74 years old) looking for work in the previous four weeks, available for work or waiting to start a job within 30 days.	Individuals (15-74 years old) looking for work in the previous four weeks, available for work or waiting to start a job within 30 days.
Employed	All employed plus unpaid family workers (15-74 years old) plus individuals on child-care leave.	Individuals (15-74 years old) who worked at least one hour in the reference week plus unpaid-family workers, conscripts and individuals on child-care leave.	Individuals (15-74 years old) who worked at least one hour in the reference week plus unpaid-family workers.
Labour force	The sum of employment and unemployment on 1 January.	The sum of employment and unemployment.	The sum of employment and unemployment.
Working-age population	All men 15-59 years old plus women 15-54 years old.	All men 15-59 years old plus women 15-54 years old.	All men and women 15-64 years old.

Figure A3. **LFS AND ENTERPRISE-SURVEY EMPLOYMENT**

Millions



1. Until end 1991 data include employees in all enterprises with legal entity and all budgetary institutions. In 1992 and 1993, enterprises with less than 20 employees were not surveyed. From 1994 on, employment data cover enterprises with more than ten employees.

Source: OECD.

LFS measures (which are both calculated from the same raw data) concerns the treatment of child-care-leave recipients and conscripts. The Hungarian LFS measure includes both groups in its count of employment, whereas the OECD measure excludes them. In 1995 there were 35 000 such people and their inclusion reduced the measured unemployment rate by 2 percentage points.

Data concerning employment are available from two sources: the LFS, which is the principal source used in this *Survey*, and an enterprise survey from which data have been available since 1980. Although the only source of data over a long period, changes over time in the enterprise employment data must be treated with care. In the first place, three major methodological changes occurred during the early 1990s which reduce the comparability of data before 1992 and after 1994. Data collected before 1992 include all legal enterprises, while data after 1994 include only enterprises with more than ten employees. Data for 1992, 1993 and 1994 each refer to a somewhat different sub-group of firms. A second source of bias is the exclusion from the enterprise survey of firms with less than ten employees. The share of employment accounted for by firms of this type has been rising and, as a result, the enterprise data overstates job loss. An indication of the overall bias in the enterprise data is provided in Figure A3 which compares the enterprise employment data and the LFS data. The enterprise data suggest a continuing decline in employment after 1992 and much lower levels of employment than the relatively stable LFS data.

Annex IV

Calendar of main economic events

1996

January

The Hungarian forint is made fully convertible.

The new customs and insurance laws comes into effect.

The rate of devaluation of the crawling peg is reduced from 1.5 per cent to 1.2 per cent per month.

The State Treasury of Hungary is created. All cash money from central government agencies and institutions is to pass through a single Treasury account. Start of net financing for local governments.

The second stage of talks concerning the consolidation of MAV, the Hungarian Railways, begin.

February

The National Bank of Hungary lowers the base rate from 28 to 27 per cent.

March

Following the approval of the social security budget, the Board of the IMF approves a SDR 261.2 million (US$382 million) stand-by arrangement.

The regional development law, establishing decentralised regional development councils, is passed.

April

The customs law and related regulatory provisions come into effect.

The centre for Government Debt Management comes under the authority of the Treasury, thereby unifying responsibility for both the government debt and the central budget.

May

On 7 May, Hungary officially joins the OECD.

The NBH lowers the base rate from 27 to 26 per cent.

The Government announces a framework for pension and social security reform to be approved by Parliament.

July

The import surcharge is reduced from 8 to 7 per cent.

The NBH lowers the base rate from 26 to 25.5 per cent.

Parliament approves legislation raising the retirement age progressively from 1 January 1997.

The Government announces the guidelines for the modernisation of the tax system in the medium term and 1997.

Hungary joins the EU/EFTA Convention on Common Transit Procedure and the Convention on the Simplification of Formalities in Trade in Goods.

A network of Treasury offices is set up.

September

The NBH lowers the base rate from 25.5 to 24.5 per cent.

The Government postpones energy price hikes to January 1997.

October

The import surcharge is further reduced from 7 to 6 per cent.

The NBH lowers the base rate from 24.5 to 23 per cent.

Standard and Poor's upgrades Hungary's rating from BB+ to BBB–.

The new customs law comes into full effect.

Hungary joins the International Energy Agency.

November

Parliament approves the tax laws as amended for 1997.

December

The Act on credit institutions and financial undertakings, the Act on securities, investment services and stock exchange and the Act on the State Banking and Capital Market Supervision are passed.

The Bill on atomic energy is passed.

A significant amendment to accounting law is passed, adopting western European accounting standards.

The Government decides to accede to the Pan-European Cumulating System as of 1 July 1997.

Magyar Hitelbank (Hungarian Credit Bank) is privatised on 18 December 1997.

1997

January

The rules governing the clearance and transformation of the non-interest-bearing debt of the central government, held by the NBH, are changed.

The composition of the currency basket against which the forint floats is changed. In the new basket the Deutschemark replaces the ECU with the same 70 per cent weight, the US dollar retains its 30 per cent weight.

The foreign exchange allowance for tourism is abolished.

The Treasury's involvement in public-sector management is further expanded to include the social security funds.

An information system to collect taxes and social security contributions centrally is developed.

Social security contribution rates are changed.

Personal income tax rates are reduced and capital income tax rates increased.

A new law on corporation and dividend taxes comes into effect.

The law governing social security contributions is amended.

March

The import surcharge is reduced from 6 to 4 per cent.

April

The authorities reduce the rate of devaluation of the crawling-peg from 1.2 to 1.1 per cent as of 1 April 1997.

May

The import surcharge is reduced from 4 to 3 per cent.

STATISTICAL ANNEX AND STRUCTURAL INDICATORS

Table A. **Selected background statistics**

	Average 1991-96	1991	1992	1993	1994	1995	1996
A. Annual percentage changes							
Real private consumption	–1.2	. .	0.0	1.9	–0.2	–7.1	. .
Real gross fixed capital formation	1.9	. .	–2.6	2.0	12.5	–4.3	. .
Real GDP	0.2	. .	–3.1	–0.6	2.9	1.5	. .
GDP price deflator	21.6	. .	21.5	21.3	19.5	25.6	. .
Real industrial production	–1.3	–18.1	–10.1	4.0	9.1	4.6	2.3
Employment	–4.1	. .	–9.6	–6.4	–2.1	–1.9	–0.5
Real compensation per employee in the business sector	0.3	. .	3.7	5.0	–0.8	–6.9	. .
Productivity	5.5	. .	7.2	6.2	5.1	3.4	. .
Unit labour cost	17.3	. .	19.6	19.4	12.9	. .	. .
B. Percentage ratios							
Gross fixed capital formation as per cent of GDP	21.9	19.9	18.9	20.1	20.1	19.1	. .
Stockbuilding as per cent of GDP	0.7	–0.5	–4.2	0.8	2.5	5.5	. .
Foreign balance as per cent of GDP	–5.5	–1.0	–0.4	–11.0	–10.2	–5.1	. .
Compensation of employees as per cent of GDP	52.2	55.5	54.6	53.7	50.8	46.0	. .
Direct taxes on households as per cent of GDP	7.6	6.9	7.1	7.7	7.4	8.1	. .
Household saving ratio	11.6	17.3	14.3	8.5	9.7	10.8	. .
Unemployment as per cent of labour force	10.6	. .	9.9	12.1	10.8	10.3	10.0
C. Other indicator							
Current balance (US$ million)	. .	267	324	–3 455	–3 911	–2 480	–1 677

Source: OECD.

Table B. **Supply and use of resources**

Billion Forints, constant 1991 prices

	1991	1992	1993	1994	1995
Private consumption	1 747	1 746	1 780	1 776	1 659
Public consumption	265	278	354	309	300
Gross fixed capital formation	523	509	520	584	559
Final domestic demand	2 535	2 533	2 654	2 670	2 518
Stockbuilding	–12	–102	19	61	127
Total domestic demand	2 523	2 431	2 673	2 730	2 645
Exports of goods and services	818	836	751	854	968
Imports of goods and services	843	845	1 016	1 106	1 098
Foreign balance	–24	–9	–265	–252	–129
Gross domestic product	2 498	2 422	2 408	2 479	2 516

Source: OECD.

Table C. **Labour market indicators**

	1992	1993	1994	1995	1996
Main indicators, thousands					
Unemployment	445	519	449	417	400
Employment	4 026	3 770	3 693	3 623	3 605
Dependent employment	3 429	3 222	3 150	3 063	3 040
Self-employed	597	549	543	560	565
Labour force	4 470	4 289	4 143	4 039	4 005
Working age population (15-64 years old)	6 928	6 938	6 939	6 933	6 927
Derived indicators, per cent					
Unemployment rate					
Total	9.9	12.1	10.8	10.3	10.0
Male	11.0	13.5	12.1	11.6	10.9
Female	8.7	10.4	9.4	8.7	8.8
Youth [1]	18.8	22.9	20.9	20.2	19.2
Participation rate					
Total	64.5	61.8	59.7	58.3	57.4
Male	71.2	68.3	66.2	66.2	64.4
Female	57.1	55.5	52.8	50.8	49.8
Employment/population rate					
Total	67.8	63.3	62.0	60.1	59.8
Sectoral employment, thousands					
Employment	4 026	3 770	3 693	3 623	3 605
Public administration	237	242	262	262	264
Agriculture	460	349	328	295	302
Mining	53	42	39	34	33
Manufacturing	1 054	938	888	850	851
Construction	217	207	201	217	218
Power and water	108	105	108	97	89
Transport and communication	347	336	315	320	321
Trade and catering	597	580	578	576	601
Financial services	210	210	198	213	212
Health and education	548	584	578	567	545
Other services	190	173	198	192	170
Sectoral employment, per cent change from previous year					
Employment	. .	–6.4	–2.1	–1.9	–0.5
Public administration	. .	2.2	8.0	0.1	0.7
Agriculture	. .	–24.0	–6.3	–9.9	2.3
Mining	. .	–19.9	–7.3	–12.9	–3.0
Manufacturing	. .	–11.0	–5.3	–4.3	0.1
Construction	. .	–4.4	–2.9	8.1	0.3
Power and water	. .	–2.9	2.8	–10.6	–7.8
Transport and communication	. .	–3.0	–6.3	1.5	0.5
Trade and catering	. .	–2.9	–0.3	–0.3	4.3
Financial services	. .	0.0	–5.8	7.5	–0.4
Health and education	. .	6.6	–1.1	–1.9	–3.9
Other services	. .	–9.3	14.8	–3.2	–11.3
Memorandum items					
Incidence of long-term unemployment [2]	20.3	33.6	41.3	49.3	51.2
Productivity index, 1992 = 100	100.0	116.6	127.7	141.2	. .
Minimum wage as a per cent of average wage, net	45.6	42.7	39.9	41.2	47.5

1. Individuals 15-24 years old.
2. Unemployed for 12 or more months as a per cent of total unemployment.

Source: OECD, CSO.

Table D. **Costs and prices**

Annual percentage changes

	1989	1990	1991	1992	1993	1994	1995	1996
Rates of pay								
Compensation per person	. .	. .	. .	27.2	27.1	18.7	18.1	19.5
Average monthly earnings	17.0	34.2	33.4	24.3	21.9	22.5	16.9	20.4
Average monthly earnings – manufacturing	16.7	22.9	25.6	26.6	22.8	20.3	20.2	21.7
Productivity per employee, business sector	. .	. .	. .	7.5	6.7	5.7	3.7	1.1
Unit labour cost								
Nominal	. .	. .	. .	19.6	19.4	12.9	13.2	17.0
Real [1]	. .	. .	. .	–1.6	–1.6	–5.5	–8.7	. .
Prices								
GDP deflator	. .	. .	. .	21.5	21.3	19.5	24.0	. .
Private consumption deflator	. .	. .	. .	22.6	21.0	19.6	26.9	. .
Consumer price index	17.1	28.4	34.8	23.2	22.5	18.9	28.3	23.5
Consumer price index – food	17.7	34.9	20.8	20.6	29.3	23.6	30.8	17.3
Producer price index – industry	14.9	21.5	34.4	10.0	14.0	12.2	28.6	22.2

1. Deflated by the GDP deflator.
Source: OECD.

Table E. **Monetary indicators**[1]

	1991	1992	1993	1994	1995	1996[2]	1996			
							Q1	Q2	Q3	Q4
Monetary aggregates, annual percentage change										
Household deposits	. .	34.8	19.5	24.5	24.8	23.9	9.5	15.4	20.3	54.8
M2	. .	26.9	17.2	13.0	18.5	20.9	–0.7	22.3	24.5	41.4
M3	. .	27.6	15.3	13.0	20.3	. .	6.7	20.9	22.5	. .
Velocity of circulation										
Household deposits	5.8	5.1	5.1	5.0	5.1	4.9	. .	. .	. .	. .
M2	2.1	2.0	2.0	2.2	2.3	2.3	. .	. .	. .	. .
M3	1.8	1.7	1.8	1.9	2.0	. .	. .	. .	. .	. .
Interest rates, per cent										
Discount rate	22.0	21.0	22.0	25.0	28.0	23.0	27.0	26.0	24.5	23.0
Interbank rate	. .	19.8	15.4	25.6	31.3	23.8	25.2	24.1	23.2	22.7
90-day Treasury Bills	34.5	22.7	17.2	26.9	32.0	24.0	26.4	24.1	23.3	22.1

1. All series are for the end of the period, except for the interbank rate and the 90-day treasury bill, which are averages.
2. Provisional.
Source: OECD and National Bank of Hungary.

Table F. **Balance of payments**

$ million

	1990	1991	1992	1993	1994	1995	1996[1]
Current account	127	267	324	–3 455	–3 911	–2 480	–1 677
Exports	6 346	9 258	10 028	8 094	7 613	12 810	14 183
Imports	5 998	9 069	10 076	11 340	11 248	15 252	16 828
Trade balance	348	189	–48	–3 247	–3 635	–2 442	–2 645
Freight and shipment, net	–164	–80	–116	–106	–176	–186	292
Government services, net	17	63	78	–17	–12	–13	0
Other services, net	302	67	103	–104	–55	195	–154
Travel							
Receipts	818	1 006	1 231	1 181	1 428	1 714	2 246
Expenditures	473	446	641	739	925	1 056	957
Net	345	560	590	442	503	659	1 288
Direct investment income, net	–24	–32	–45	–56	–117	–194	–256
Other investment income							
Receipts	230	297	420	456	661	758	1 144
Expenditures	1 644	1 628	1 636	1 586	1 947	2 357	2 321
Net	–1 414	–1 331	–1 216	–1 130	–1 286	–1 599	–1 177
Labour and property income, net	18	–20	9	–6	–43	–52	–20
Unrequited transfers, net	727	860	859	732	909	1 127	922
Other payments, net	–28	–9	110	38	1	25	13
Financial account				2 676	3 721	1 255	–342
Medium and long-term capital				5 631	2 295	5 600	–727
Direct investment, equity							
Foreign in Hungary				2 339	1 146	4 453	1 788
Hungarian abroad[2]				–11	–49	–43	3
Assets, net[3]				237	36	118	296
Liabilities, net[3]				3 066	1 162	1 072	–2 814
Short-term capital				–320	770	187	–1 075
Change in reserves[2]				–2 635	656	–4 532	1 458
Net errors and omissions				778	190	1 224	1 864
Memorandum item:							
Capital account[4]							156
Intercompany loans, net[5]							195

1. As of 1996, the classification of data in the financial account of the balance of payments was changed according to the new IMF methodology. (See National bank of Hungary, Monthly Bulletin, April 1996). Data for 1996 are reported here according to the old classification in order to facilitate comparison with previous years.
2. The negative sign (–) implies an increase.
3. Inclusive of net inter-company loans.
4. Category introduced in 1996 and different from the capital account reported prior to 1996.
5. Introduced as a separate item in 1996.

Source: National Bank of Hungary.

Table G. **General government revenue and expenditure**

Billion forints, current prices

	1991	1992	1993	1994	1995	1996
Current receipts	1 213	1 382	1 679	1 977	2 359	2 726
Direct taxes	280	298	368	450	563	667
Indirect taxes	466	516	619	739	933	1 108
Social security contributions	468	569	691	788	863	951
Current disbursements	1 438	1 616	1 927	2 314	2 903	3 147
Government consumption	265	336	491	527	642	724
Property income paid	146	163	159	251	465	508
Social security benefits	468	569	691	822	907	1 025
Subsidies	96	62	64	106	106	109
Other current transfers paid	464	487	522	608	781	781
Saving	–225	–235	–249	–337	–543	–421
Net lending	–55	–195	–281	–368	–375	–224
Net lending as per cent of GDP	–2.2	–6.6	–7.9	–8.4	–6.7	–3.3

Source: OECD.

Table H. **Financial markets**

	1991	1992	1993	1994	1995	1996
Sector size						
Sectoral employment/total employment	. .	1.7	1.9	1.9	2.2	. .
Financial assets/GDP [1]	. .	84.2	72.4	68.0	64.6	. .
Stock exchange capitalisation/GDP (shares only)	1.5	1.6	2.3	4.2	6.0	. .
Structure of financial flows						
Credits to non-financial sector as per cent of total banking assets						
Short-term	. .	. .	21.0	19.9	18.6	22.9
Long-term	. .	. .	19.7	21.2	18.0	14.5
Internationalisation of markets						
Foreign business of the banking sector [2]						
Assets	. .	. .	4.2	3.2	3.0	5.7
Liabilities	. .	. .	7.6	8.8	11.5	11.6
Budapest Stock Exchange Index (BUX) (31/12)	1 000	. .	. .	. .	1 529	4 134

1. Ratio of banks' balance-sheet total to GDP.
2. Assets and liabilities with non-residents as per cent of total balance sheet.

Source: National Bank of Hungary.

Table I. **Non-financial corporations with double-entry book-keeping**

	1992	1993	1994	1995
Total economy				
GDP, current price (billion forint)	2 935	3 548	4 364	5 493
Number of economic organisations [1]	795 172	925 863	1 059 849	1 108 597
of which:				
Sole proprietorships	606 207	688 843	778 036	791 496
Government and social security [1, 2]	15 091	14 853	15 003	14 992
NGOs (non-profit institutions) [1]	33 891	38 493	42 604	46 763
Employment (thousands)	4 028	3 770	3 693	3 623
Non-financial corporations with double entry book-keeping				
Gross value added (billion forints)	1 305	1 475	1 838	2 529
Per cent share of total GDP	44.5	41.6	42.1	46.0
of which:				
Public	24.8	17.4	14.7	12.5
Domestic private	15.3	17.3	18.8	22.1
Foreign private	4.4	6.8	8.7	11.4
Number of enterprise (units)	59 476	70 376	78 635	. .
Per cent of total number of enterprises	7.5	7.6	7.4	. .
of which:				
Public	0.6	0.5	0.3	. .
Domestic private	6.0	6.1	6.1	. .
Foreign private	0.8	1.0	1.1	. .
Employment (thousands)	2 509	2 002	2 026	. .
Per cent of total employment	62.3	53.1	54.9	
of which:				
Public	32.3	21.5	18.1	. .
Domestic private	25.4	25.6	29.5	. .
Foreign private	4.5	6.0	7.2	. .

1. Due to changes in the classification used by the Central Statistical Office, pre-1994 data for these catgories are no longer considered official.
2. Budgetary and social security institutions, including schools, hospitals, etc.

Source: Central Statistical Office yearbooks 1993-1995.

BASIC STATISTICS:

INTERNATIONAL COMPARISONS

BASIC STATISTICS: INTERNATIONAL COMPARISONS

	Units	Reference period[1]	Australia	Austria	Belgium	Canada	Denmark	Finland	France	Germany	Greece
Population											
Total	Thousands	1994	17 840	8 031	10 124	29 251	5 206	5 088	57 960	81 407	10 430
Inhabitants per sq. km	Number	1994	2	96	332	3	121	15	106	228	79
Net average annual increase over previous 10 years	%	1994	1.4	0.6	0.3	1.6	0.2	0.4	0.5	2.9	0.5
Employment											
Total civilian employment (TCE)[2]	Thousands	1994	7 680 (93)	3 737	3 724 (92)	13 292	2 508	2 015	21 781 (93)	35 894	3 790
of which: Agriculture	% of TCE	1994	5.3 (93)	7.2	2.6 (92)	4.1	5.1	8.3	5.1 (93)	3.3	20.8
Industry	% of TCE	1994	23.7 (93)	33.2	27.7 (92)	22.6	26.8	26.8	27.7 (93)	37.6	23.6
Services	% of TCE	1994	71 (93)	59.6	69.7 (92)	73.3	68.1	64.9	67.2 (93)	59.1	55.5
Gross domestic product (GDP)											
At current prices and current exchange rates	Bill. US$	1994	331.6	198.1	227.9	544	146.7	97.2	1 328.5	1 832.3	73.1 (93)
Per capita	US$	1994	18 588	24 670	22 515	18 598	28 181	19 106	22 944	27 826	7 051 (93)
At current prices using current PPP's[3]	Bill. US$	1994	327.9	162.3	204.2	596.7	107	82.5	1 111.8	1 601.7	118
Per capita	US$	1994	18 382	20 210	20 166	20 401	20 546	16 208	19 201	24 325	1 450
Average annual volume growth over previous 5 years	%	1994	2.2	2.5	1.6	1.1	1.9	–1.6	1.1	2.6	1.4 (93)
Gross fixed capital formation (GFCF)	% of GDP	1994	21.4	24.8	17.4	18.7	14.8	14.3	18.1	18.5	17.4 (93)
of which: Machinery and equipment	% of GDP	1993	9.8	8.7	7.8	6.2	7.2	5.90	8.10	7.5	7.8
Residential construction	% of GDP	1993	5.2	6.3	4.6	6.1	2.9	3.7	4.9	6.5	3.6
Average annual volume growth over previous 5 years	%	1994	0.8	3.7	0.4	–0.1	–2.8	–12.9	–1	0.8	2.7 (93)
Gross saving ratio[4]	% of GDP	1994	16.8	25.3	22	16	17	16.6	19	21	15.5 (93)
General government											
Current expenditure on goods and services	% of GDP	1994	17.5	18.8	15	20.2	25.3	22.4	19.6	17.7	19.1 (93)
Current disbursements[5]	% of GDP	1993	36.9	48.4	55.3	49	61.1	58.9	51.5	45.6	51.2
Current receipts	% of GDP	1993	33.5	48.6	50.1	43	58.3	52.5	46.8	45.7	40.2
Net official development assistance	% of GNP	1993	0.34	0.31	0.41	0.46	1.03	0.76	0.66	0.44	..
Indicators of living standards											
Private consumption per capita using current PPP's[3]	US$	1993	10 803	10 546	12 090	11 863	10 042	8 814	11 395	10 733	6 367
Passenger cars, per 1 000 inhabitants	Number	1990	430	382	387	469	311	386	413	480[8]	169
Telephones, per 1 000 inhabitants	Number	1991	464	432	410	586	577	544	511	420[8]	413
Television sets, per 1 000 inhabitants	Number	1991	480	478	451	639	536	501	407	556[8]	197
Doctors, per 1 000 inhabitants	Number	1993	2.2 (91)	2.3	3.7	2.2	2.8 (92)	2.6 (92)	2.8	3.2 (92)	3.8 (92)
Infant mortality per 1 000 live births	Number		6.1	6.5	8	6.8	5.4	4.4	6.5	5.8	8.5
Wages and prices (average annual increase over previous 5 years)											
Wages (earnings or rates according to availability)	%	1994	3	5.5	3.7	3.3	3.5	4.8	3.5	5.2	14.6
Consumer prices	%	1994	3	3.4	2.8	2.8	2.1	3.3	2.5	3.3	16.2
Foreign trade											
Exports of goods, fob*	Mill. US$	1994	47 363	44 881	137 259[7]	165 358	41 850	29 514	235 337	422 243	8 958
As % of GDP	%	1994	14.3	22.7	60.2	30.4	28.5	30.4	17.7	23	11.5 (93)
Average annual increase over previous 5 years	%	1994	5	6.7	6.5	7.1	8.3	4.9	5.6	4.4	3.4
Imports of goods, cif*	Mill. US$	1994	49 731	55 071	126 006[7]	148 297	35 932	23 091	220 508	376 566	21 111
As % of GDP	%	1994	15	27.8	55.3	27.3	24.5	23.8	16.6	20.6	30.1 (93)
Average annual increase over previous 5 years	%	1994	4	7.2	5	5.4	6.1	–1.3	3.5	6.9	5.4
Total official reserves[6]	Mill. SDRs	1994	7 730	11 523	9 505[7]	8 416	6 203	7 304	17 986	52 994	9 924
As ratio of average monthly imports of goods	Ratio	1994	1.9	2.5	0.9	0.7	2.1	3.8	1	1.7	5.6

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Refers to the public sector including public enterprises.
10. Including non-residential construction.

Sources: Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Iceland	Ireland	Italy	Japan	Luxembourg	Mexico	Netherlands	New Zealand
Population										
Total	Thousands	1994	267	3 571	57 190	124 960	398	93 010	15 382	3 526
Inhabitants per sq. km	Number	1994	3	51	190	331	153	47	377	13
Net average annual increase over previous 10 years	%	1994	1.1	0.1	0	0.4	0.8	2	0.6	0.8
Employment										
Total civilian employment (TCE)[2]	Thousands	1994	138	1 168 (93)	20 152 (93)	64 530	162 (91)	32 439	6 631	1 560
of which: Agriculture	% of TCE	1994	9.4	12.7 (93)	7.5 (93)	5.8	3.7 (91)	25.8	4	10.4
Industry	% of TCE	1994	26.1	27.7 (93)	33 (93)	34	31.5 (91)	22.2	23	25
Services	% of TCE	1994	65.2	59.7 (93)	59.6 (93)	60.2	64.8 (91)	52.1	73	64.6
Gross domestic product (GDP)										
At current prices and current exchange rates	Bill. US$	1994	6.2	52	1 017.8	4 590	10.6 (92)	371.2	334.3	51.2
Per capita	US$	1994	23 199	14 550	17 796	36 732	27 073 (92)	3 991	21 733	14 513
At current prices using current PPP's[3]	Bill. US$	1994	5.1	54.3	1 068.4	2 593.7	11.7	673.3	285.9	57.3
Per capita	US$	1994	19 271	15 212	18 681	20 756	29 454	7 239	18 589	16 248
Average annual volume growth over previous 5 years	%	1994	0.6	4.7	1	2.1	4.1 (92)	3	2.3	2.5
Gross fixed capital formation (GFCF)	% of GDP	1994	15.2	15.1	16.4	28.6	20.4 (93)	20.7	19.3	20
of which: Machinery and equipment	% of GDP	1993	3.9	6.3	7.4	11.5	..	9.4	8.6	9.3
Residential construction	% of GDP	1993	4.4	4.1	5.3	5.4	..	4.9	5.1	4.9
Average annual volume growth over previous 5 years	%	1994	–4	1	–2.3	1.4	6.5 (92)	7.7	0.4	5.8
Gross saving ratio[4]	% of GDP	1994	16.9	19.5	18.8	31.2	60.2 (92)	15.1	24.4	20.7
General government										
Current expenditure on goods and services	% of GDP	1994	20.6	16	17.1	9.8	17.1 (92)	11.8[9]	14.2	14.7
Current disbursements[5]	% of GDP	1993	34.9	..	53.2	26.9	..	..	55.4	..
Current receipts	% of GDP	1993	35.9	..	47.1	32.9	..	..	54.5	..
Net official development assistance	% of GNP	1993	..	0.15	0.42	0.27	0.34 (92)	..	0.88	0.22
Indicators of living standards										
Private consumption per capita using current PPP's[3]	US$	1993	11 546	7 750	11 029	11 791	15 545	4 853	10 726	9 266
Passenger cars, per 1 000 inhabitants	Number	1990	464	228	478	282	470	85	356	440
Telephones, per 1 000 inhabitants	Number	1991	527	300	400	454	511	70	477	436
Television sets, per 1 000 inhabitants	Number	1991	319	276	421	613	267	148	485	443
Doctors, per 1 000 inhabitants	Number	1993	3	1.7 (92)	1.7 (91)	1.7 (92)	2.1 (92)	1	2.5 (90)	2
Infant mortality per 1 000 live births	Number		4.8	5.9	7.3	4.5 (92)	8.5 (92)	18	6.3	7.3
Wages and prices (average annual increase over previous 5 years)										
Wages (earnings or rates according to availability)	%	1994	..	4.6	5.9	2.4	..	5.3	3.2	2.1
Consumer prices	%	1994	6.3	2.7	5.2	2	3.1	16.1	2.8	2.5
Foreign trade										
Exports of goods, fob*	Mill. US$	1994	1 628	34 125	189 802	396 149	..	60 882	155 084	12 169
As % of GDP	%	1994	26.3	65.7	18.6	8.6	..	16.4	46.4	23.8
Average annual increase over previous 5 years	%	1994	2.7	10.5	6.2	7.6	..	21.7	7.6	6.5
Imports of goods, cif*	Mill. US$	1994	1 464	25 812	167 690	274 916	..	79 346	139 800	11 859
As % of GDP	%	1994	23.6	49.7	16.5	6	..	21.4	41.8	23.2
Average annual increase over previous 5 years	%	1994	0.7	8.1	1.9	5.5	..	25.5	6.1	6.1
Total official reserves[6]	Mill. SDRs	1994	201	4 189	22 102	86 214	..	4 301	23 655	2 540
As ratio of average monthly imports of goods	Ratio	1994	1.6	1.9	1.6	3.8	..	0.7	2	2.6

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Refers to the public sector including public enterprises.
10. Including non-residential construction.

Sources: Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

BASIC STATISTICS: INTERNATIONAL COMPARISONS *(cont'd)*

	Units	Reference period[1]	Norway	Portugal	Spain	Sweden	Switzerland	Turkey	United Kingdom	United States
Population										
Total	Thousands	1994	4 337	9 900	39 150	8 781	6 994	60 573	58 375	260 651
Inhabitants per sq. km	Number	1994	13	107	78	20	169	78	238	28
Net average annual increase over previous 10 years	%	1994	0.5	–0.1	0.2	0.5	0.7	2.1	0.3	1
Employment										
Total civilian employment (TCE)[2]	Thousands	1994	1970 (93)	4 372	11 760	3 926	3 772	19 664	25 044 (93)	123 060
of which: Agriculture	% of TCE	1994	5.6 (93)	11.5	9.8	3.4	4	44.8	2.2 (93)	2.9
Industry	% of TCE	1994	23.1 (93)	32.8	30.1	25	28.8	22.2	26.2 (93)	24
Services	% of TCE	1994	71.3 (93)	55.7	60.2	71.6	67.2	33	71.6 (93)	73.1
Gross domestic product (GDP)										
At current prices and current exchange rates	Bill. US$	1994	103.4 (93)	87	482.4	196.6	257.3	130.7	1 019.5	6 649.8
Per capita	US$	1994	23 984 (93)	8 792	12 321	22 389	36 790	2 157	17 468	25 512
At current prices using current PPP's[3]	Bill. US$	1994	95.3	122	531.7	153	167.4	319.3	1 030.2	6 649.8
Per capita	US$	1994	21 968	12 335	13 581	17 422	23 942	5 271	17 650	25 512
Average annual volume growth over previous 5 years	%	1994	2.1 (93)	1.4	1.5	–0.3	0.5	3.6	0.8	2.1
Gross fixed capital formation (GFCF)	% of GDP	1994	22 (93)	25.7	19.8	13.7	22.8	24.5	15	17.2
of which: Machinery and equipment	% of GDP	1993	..	..	5.7	5.7	7.5	10.3	7.3	7.7
Residential construction	% of GDP	1993	..	..	4.1	4	14.9[10]	9.1	3.1	4
Average annual volume growth over previous 5 years	%	1994	–3.93	2.7	–1.2	–7.6	–0.4	5.1	–2.1	4.6
Gross saving ratio[4]	% of GDP	1994	21.9 (93)	24.2	18.8	13.7	29.3	22.5	13.5	16.2
General government										
Current expenditure on goods and services	% of GDP	1994	22.1 (93)	17.2	16.9	27.3	14.1	11.7	21.6	16.4
Current disbursements[5]	% of GDP	1993	..	..	43.7	67.3	36.7	..	42.7	35.8
Current disbursements[5]	% of GDP	1993	..	..	40.1	59	36	..	36.8	31.7
Current receipts	% of GDP	1993	1.23	0.36	0.32	1.33	0.49	..	0.34	0.19
Net official development assistance	% of GNP	1993	9 826	7 780	8 412	9 240	13 730	3 617	10 942	16 444
Indicators of living standards										
Private consumption per capita using current PPP's[3]	US$	1993	378	260	307	418	441	29	361	568
Passenger cars, per 1 000 inhabitants	Number	1990	515	273	340	687	603	143	445	553
Telephones, per 1 000 inhabitants	Number	1991	423	187	400	468	406	175	434	814
Television sets, per 1 000 inhabitants	Number	1991	3.2 (92)	2.9	4.1	3	3	0.9	1.5 (92)	2.3 (92)
Doctors, per 1 000 inhabitants	Number	1993	5	8.7	7.6	4.8	5.6	52.6	6.6	8.5 (92)
Infant mortality per 1 000 live births	Number		4	..	7.2	5.4	..	..	6.7	2.8
Wages and prices (average annual increase over previous 5 years)										
Wages (earnings or rates according to availability)	%	1994	2.7	9	5.6	5.7	3.9	73	4.6	3.6
Consumer prices	%	1994	34 645	17 072	73 129	61 122	70 467	18 456	205 170	512 627
Foreign trade										
Exports of goods, fob*	Mill. US$	1994	30.9 (93)	19.6	15.2	31.1	27.4	14.1	20.1	7.7
As % of GDP	%	1994	5	6.1	10.5	3.4	6.4	9.5	6.1	7.1
Average annual increase over previous 5 years	%	1994	27 345	25 967	92 182	51 730	68 126	22 976	227 026	663 256
Imports of goods, cif*	Mill. US$	1994	23.3 (93)	29.9	19.1	26.3	26.5	17.6	22.3	10
As % of GDP	%	1994	2.9	6.6	5.2	1	3.2	37.9	2.8	7
Average annual increase over previous 5 years	%	1994	13 033	10 627	28 475	15 929	23 790	4 911	28 094	43 350
Total official reserves[6]	Mill. SDRs	1994	5.7	4.9	3.7	3.7	4.2	2.6	1.5	0.8

* At current prices and exchange rates.
1. Unless otherwise stated.
2. According to the definitions used in OECD *Labour Force Statistics*.
3. PPPs = Purchasing Power Parities.
4. Gross saving = Gross national disposable income minus private and government consumption.
5. Current disbursements = Current expenditure on goods and services plus current transfers and payments of property income.
6. Gold included in reserves is valued at 35 SDRs per ounce. End of year.
7. Data refer to the Belgo-Luxembourg Economic Union.
8. Data refer to western Germany.
9. Refers to the public sector including public enterprises.
10. Including non-residential construction.

Sources: Population and Employment: OECD, *Labour Force Statistics*. GDP, GFCF, and General Government: OECD, *National Accounts*, Vol. I and *OECD Economic Outlook*, Historical Statistics. Indicators of living standards: Miscellaneous national publications. Wages and Prices: OECD, *Main Economic Indicators*. Foreign trade: OECD, *Monthly Foreign Trade Statistics*, series A. Total official reserves: IMF, *International Financial Statistics*.

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